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OECD ECONOMIC SURVEYS

2001-2002

United Kingdom

OECD

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BASIC STATISTICS OF THE UNITED KINGDOM (2000)

THE LAND

Area (1 000 km^2):	
Total	241
Agricultural (1997)	187

Major cities (thousand inhabitants, 1997):	
Greater London	7 122
Birmingham	1 014
Leeds	727
Glasgow	612

THE PEOPLE

Population (thousands, mid-2000)	59 756
Number of inhabitants per km^2	248
Net increase in population, 1997-2001, estimated annual average (thousands)	154

Total labour force (thousands)	29 572
Civilian employment (% of total):	
Agriculture, forestry and fishing	1.5
Industry and construction	25.1
Services	73.1

PRODUCTION

Gross domestic product:	
In £ billion	943.4
Per head (US$)	23 930

Gross fixed capital investment:	
As a % of GDP	17.5
Per head (US$)	4 192

THE GOVERNMENT

Public consumption (% of GDP)	18.5
General government (% of GDP):	
Current and capital expenditure	37.0
Current revenue	39.0
Net debt	33.1

Last general elections: 7 June 2001

Composition of House of Commons (number of seats):	
Labour	410
Conservatives	164
Liberal	52
Ulster Unionists	6
Other	27
Total	659

FOREIGN TRADE

Exports of goods and services (% of GDP)	28.1
Main commodity exports (% of total):	
Chemicals	13.3
Manufactured goods and articles	23.4
Electrical machinery	22.6
Mechanical machinery	11.8

Imports of goods and services (% of GDP)	29.8
Main commodity imports (% of total):	
Manufactured goods and articles	28.6
Electrical machinery	23.4
Road vehicles	10.8
Mechanical machinery and other transport equipment	11.7

THE CURRENCY

Monetary unit: Pound sterling

September 2001, average of daily rates:	
£ per US$	0.683
£ per euro	0.623

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of the United Kingdom were reviewed by the Committee on 22 October 2001. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 13 November 2001.

•

The Secretariat's draft report was prepared for the Committee by Paul van den Noord, Vincent Koen and Laurence Boone under the supervision of Peter Hoeller.

•

The previous Survey of the United Kingdom was issued in June 2000.

Assessment and recommendations

Growth has slowed less than elsewhere…

Growth has slowed since the summer of 2000, falling from significantly above to just below potential, but held up better than in the other major OECD economies. A series of domestic shocks, including the most severe foot-and-mouth disease crisis ever to hit the country, bad weather conditions and rail disruptions, do not appear to have had much adverse effect on overall economic activity, and the slowdown has mostly stemmed from global factors, notably the unwinding high-tech bubble and faltering overseas demand. This has been reflected in a decline in total fixed capital formation in the first half of 2001, notwithstanding a pick-up in government investment and resilient residential investment. The weakening of activity since late 2000 will be reinforced by the economic consequences of the 11 September terrorist attacks in the United States.

… but domestic and external imbalances continued to build up

While macroeconomic performance has been good overall, concerns about growing domestic and external imbalances have heightened. To date most of the private services sector has continued to grow relatively strongly, and construction activity has strengthened, contrasting sharply with weakening activity in the internationally-exposed industries, especially in parts of manufacturing. While the high-tech industries have been disproportionally hit by the slowdown in global demand this year, the persistent strength of sterling against the euro has continued to put pressure on the more traditional manufacturing industries. It has severely squeezed output, profit margins and employment in manufacturing, which went into a recession in the first half of 2001. Volume growth of imports has consistently outpaced that of exports, and the trade deficit has widened further this year. One counterpart of this emerging

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imbalance has been the sharp fall in the household saving ratio since 1997, as macroeconomic stability, including sustained low inflation, and strong gains in wealth have reduced the appetite for saving. This has been associated with buoyant private consumption underpinned by strong household confidence, which was further bolstered in the first half of 2001 by falling interest rates, rapidly rising house prices and vigorous after-tax income growth.

Unemployment has declined further…

Despite the job losses in manufacturing, total employment has continued to expand. Lately, this has been helped by the first rise in public sector employment in two decades, reflecting stepped-up recruitment in education and, to a lesser extent, by hospital trusts. While the employment rate has continued to rise, the unemployment rate, based on the labour force survey measure, has come down further from already fairly low levels by historical standards, and has stabilised at close to 5 per cent since spring 2001. It has dipped below most estimates of the rate that is compatible with stable inflation, indicating that the labour market has indeed become pretty tight.

… while inflation has remained subdued

Wage growth has been relatively subdued so far, however, and consumer price inflation has been remarkably low. Indeed, on the harmonised measure (HICP), the United Kingdom has had the lowest inflation rate of all European Union countries since February 2000, averaging close to one per cent, against 2.5 per cent in the euro area. On the domestic measure of retail prices excluding mortgage interest payments (RPIX) as targeted by the central bank, inflation has averaged 2.1 per cent over that period, below the 2½ per cent monetary policy target. Various measures of core inflation have run below 2 per cent. To a considerable extent, this has reflected the lagged impact of the exchange rate appreciation. More recently, inflation has picked up to around target, partly due to the impact of poor weather and of the foot-and-mouth epidemic on food prices and partly because the exchange-rate effect is waning.

The outlook holds serious risks…

The projection is for growth to drop below potential in 2002, as confidence has deteriorated after the terrorist attacks in the United States, with a recovery reaching potential growth by 2003. However, fiscal measures on both the

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tax and on the spending side provide a significant demand stimulus, so that the slowdown should be less severe than in most other European OECD countries. Accordingly, inflation is projected to remain close to the target. This seemingly benign baseline will depend in large part on the outlook overseas, but in any case the underlying imbalances are projected to worsen and cannot continue to do so indefinitely. Therefore, the probability that they would unwind abruptly is on the rise. One key adjustment channel would be a re-alignment of exchange rates, plausible in the light of most assessments of the fundamentals but which so far has failed to materialise, and which UK policymakers cannot readily make happen. Depending on the circumstances, speed and extent of such an exchange rate shift, the effect on growth and inflation might be significant.

... which represents a challenge for setting the right policy stance

While monetary policy has already been eased considerably, the monetary authorities should stand ready to move swiftly if the underlying imbalances in the economy were to unwind abruptly or the economy to slow even more than expected. The more restrictive policy stance in 2000 reflected above-potential growth. It has eased in 2001, but reaction lags imply that its impact will be felt mostly next year. If the international environment were to weaken further while the exchange rate remained broadly unchanged, a further relaxation of monetary policy would be called for. Indeed, reversing a cut in interest rates which, with hindsight, was seen to be unnecessary would probably be less costly than excessive caution in the UK context, since central bank credibility is well-enough established to weather such a reversal. If, in contrast, the exchange rate were to fall sharply, monetary policy would need to relax by less or may even have to tighten to offset the external stimulus on demand and inflation.

Inflation targeting has functioned well thus far, but some aspects of the framework may yet evolve

While monetary policy has been successful over the past several years, questions have been aired about the framework underpinning monetary policy. A number of them have been addressed very transparently by the Bank of England, including in the context of an external and published audit. One issue, which pertains to the remit set by the Government, is the possible reformulation of the target in terms of the HICP – the harmonised index used for international

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comparisons across the European Union – as opposed to the well-known national measure RPIX. Switching from the RPIX to the HICP might be desirable at some point in the future, not least because the HICP formula is less susceptible to an upward bias in measured inflation. However, the HICP as it currently stands excludes owner-occupied housing costs, and it may be wise to wait until agreement is reached at European level on how to include these. Another issue, which may become more prominent in case of the adoption of the HICP, is a lowering of the numerical target. In spring 2001, the Treasury reconfirmed the key elements of the framework, including the target itself and, more fundamentally, the position of the Government on joining the euro area. Abstracting from what adopting the euro would call for, the authorities seem to sense that it may be too early, too risky and not obviously profitable to amend a still relatively recent framework. With respect to the adoption of the euro, the position spelled out back in October 1997 remains unchanged: this option will be put to Parliament and to voters at large if and when the Treasury assesses that the economic case can be made, unambiguously, that joining the euro area would benefit the UK economy. The assessment is due by mid-2003.

The Government is increasing spending on its key priorities

Budgets in the late 1990s embodied significant fiscal consolidation. *Ex post*, the stance was even tighter than planned, with revenue higher and spending lower than budgeted. As a result, fiscal stock and flow ratios now look very comfortable, leaving room for the automatic stabilisers to operate unfettered in the event of a slowdown. They also offer room to address some long-standing problems, most prominently the poor quality of public infrastructure and some key public services, which not only reflects that available resources are not properly mobilised but also results from a long period of under-funding. Public spending is therefore being stepped up in some areas – notably public transport, health and education. Going forward, the imperatives stemming from the current budgetary framework and a legacy of under-investment imply that the structural fiscal position will move from a small surplus at present towards a deficit of around one per cent of GDP over the medium term. This is in line with the projections set out in Budget 2000 and confirmed in Budget 2001, and implies a significant easing over time.

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The budgetary framework has addressed earlier weaknesses…

The fiscal framework has evolved considerably in recent years and is the subject of a special chapter in this *Survey*. The current spending plans are consistent with the medium-term budgetary framework introduced in 1997. The latter had addressed a number of weaknesses of the former regime, notably a bias against capital expenditure and, more generally, poor conditions for longer-term planning adversely affecting central government spending departments, local authorities and public enterprises. Departmental spending was indeed characterised by pronounced swings and capital spending was squeezed to very low levels. The Government considers that these weaknesses are the major cause for the poor performance of crucial public services. Improvements in this regard are seen as key to enhancing economic growth and welfare. At present, the core of the budgetary framework consists of biennial Spending Reviews, comprising a set of three-year plans for discretionary expenditure, specified per department, called Departmental Expenditure Limits. Remaining expenditure (mostly social security) is managed separately on an annual basis. Once agreed, the Treasury is committed to funding the projected levels of discretionary expenditure. However, in exchange spending departments are being held accountable for achieving their policy targets, which are specified in Public Service Agreements.

… and is built upon transparent and simple fiscal rules, although these need to be interpreted with care

To prevent capital expenditure embodied in the expenditure limits from being squeezed, the framework includes a "golden rule" which states that, on average over the economic cycle, current expenditure should be funded through current revenues whereas investment may be debt-financed. Therefore, in the event of a permanent fall in government revenues, current, not capital expenditure would be affected *a priori*, while cyclical fluctuations in revenues should not affect discretionary spending at all. The golden rule is complemented by a "sustainable investment rule" stipulating that public sector net debt should remain at a prudent level. Together, they are instrumental in pursuing several key objectives of budgetary policy, including a better allocation of resources, macroeconomic stability and fiscal sustainability. The rules improve the prospects for intergenerational fairness, but do not ensure it. For example, the national accounts definition of current and capital

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spending on which the golden rule is based neglects the fact that the effects of benefits resulting from current expenditure in areas like education extends well beyond the current fiscal year. The rules support the notion that those generations who benefit from public spending should meet, as far as possible, the costs of the services they consume. However, the rules' contribution in this regard cannot be fully assessed satisfactorily without knowing the ultimate incidence of the costs and benefits of both public expenditure and taxation, although long-term projections and generational accounting, both of which the Government undertakes, can be helpful in this respect. There is also an associated risk of misallocation of resources to the extent that the fiscal rules favour fixed over human capital formation, which heightens the need for careful cost-benefit analysis prior to expenditure decisions. While the Council of the European Union has noted that in the medium-term the government's finances would not be in line with the prescription of "close to balance or in surplus" contained in the Stability and Growth Pact, the fiscal projections are sufficiently prudent.

Target-based expenditure planning is laudable, but its effectiveness should be enhanced

While the principle of target-based expenditure planning is laudable, past experience has revealed some scope for greater effectiveness in its implementation. The formulation of targets has improved considerably since their introduction, as they have become better geared to relevant policy outcomes as opposed to inputs and processes. However, it is important that spending departments do not focus excessively on quantifiable targets to the detriment of harder to specify but perhaps equally important policy objectives. Ministers are responsible for delivering their targets published in Public Service Agreements. Where departments fail to meet targets, they will be held to account on the basis of a process of regular reviews. The achievement of the targets is currently audited within the central administration, but with much information being made available publicly, there is a strong public commitment to deliver on the targets by the Government. Appointing an external auditor such as the National Audit Office might, however, strengthen the framework further. Meanwhile, the Government could take further steps to encourage good performance against targets by more systematically granting

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financial bonuses or other forms of rewards to departments or teams that perform well.

Experience with public private partnerships is mixed, and a broader range of options might be explored

The Government intends to expand the involvement of the private sector in the funding and operation of the public capital stock where this is expected to yield gains in operational efficiency, through public-private partnerships. Around one-third of net public infrastructure investment is currently carried out under this regime. However, experience to date with such partnerships has been mixed. Through public-private partnerships, the Government purchases the services of public infrastructure, rather than the infrastructure itself, from a private provider, which may result in cost savings. In some cases the Government also participates in the capital of the provider through a joint venture. The advantages of this set-up are that partnerships can be tailor-made, while private sector skills are introduced in the public sector and benefits from higher efficiency may be shared with taxpayers. The flip-side of such arrangements is that the taxpayer may also bear the financial risk of failure. Moreover, some potential efficiency gains may be foregone, because the incumbent provider likely faces less market scrutiny as compared with a situation where the purchaser-provider link would be looser. Therefore, the Government should carefully weigh the pros and cons of entering into partnerships as a shareholder, and, more generally, reduce its dependence on the incumbent franchise or concession holders. Overall, the current plans to provide services privately in sectors such as health and education are limited. Such services are provided on a much larger scale privately in many OECD countries and greater ambition in this respect would raise competition and performance in these sectors.

Funding of local government could be better geared to promote effective public expenditure

Like many OECD countries, the United Kingdom is grappling with difficulties in striking an appropriate balance between mobilising local authorities (county, district and town councils) for the delivery of national priorities and ensuring accountability *vis-à-vis* their own electorate. A particular challenge in the UK context is the need to reform the grant distribution system, which is complex and controversial, not least because of growing *ad hoc* "ring-fenced" grants

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to promote national policy goals. The new budgetary framework has aimed to bring greater predictability and stability to local authority funding, with the Spending Reviews setting firm funding for three years. However, funding could be organised in a way that better reflects the demarcation lines between public expenditure programmes that are their own responsibility and those that are within the domain of central government. In particular, while national priorities should be grant-funded, local governments could be given more freedom to levy fees and charges that reflect the marginal cost of provision of local public services.

The United Kingdom faces a productivity challenge

In addition to the need to raise the effectiveness of the public sector, the United Kingdom also faces the challenge to increase the low level and modest growth of productivity in the private sector – issues that are intertwined. By international standards, investment in both human and physical capital has been weak and sluggish productivity growth is an important reason for the longer-term decline endured by manufacturing. The Government has long recognised the problem, and numerous initiatives, big and small, have been launched to address it. Changes have frequently been made to policies that have yet to fully run their course, complicating business and household decisions and making it hard to administer and evaluate the measures. Assessing their effectiveness is also hampered by their incremental nature. While the thrust of the Government's reform agenda is commendable, it should be pursued in a way that fosters greater stability in the policy environment.

Investment in human capital has been stepped up but remains insufficient

While the United Kingdom enjoys a low unemployment and high employment rate by European standards, exclusion of low-skilled workers from the labour market and attendant poverty remain high, distressingly so in some localities. To some extent, this is because the education and training systems have failed to provide the right skills. Efforts to remedy this have been intensified in recent years, including via the hiring of more teachers. Pay scales remain overly rigid, however, and further differentiation in teachers' remuneration packages might help relieve the remaining bottlenecks. Literacy and numeracy targets have been set and on those measures progress is being made. At the executive

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level, a deficit in homemade managerial talent, both in the private and in the public sector, has necessitated hiring managers from overseas. Similarly, teachers and nurses are being recruited abroad to fill supply shortages. Joblessness can also reflect insufficient incentives to take up a job. However, the working families tax credit and the national minimum wage, both in place since 1999, strengthen these incentives. Combined with other tax and benefit changes, they have had a significant redistributional impact in favour of families with children and pensioners, partly offsetting the trend widening in income disparity. The various welfare-to-work "New Deal" programmes also reinforce work incentives for those who are on the fringes of the labour market. This approach appears to deliver worthwhile results for some labour market groups, despite the inevitable deadweight losses and the difficulties many programme participants face in finding a stable job. In a tightening labour market, the hardest to help account for an increasing proportion of the New Deal client group. This highlights the importance of the personalised advice provided to enhance their employability and justifies the increase in the degree of benefit-conditionality in the New Deal which was prompted by initial problems in its implementation. More can be done, however, notably by reforming the council tax credit and the housing and disability benefits, so as to lower further the high marginal effective tax rates still faced by some of the jobless.

Measures are being taken to unleash competitive forces…

The regulatory environment, broadly defined, inhibits competition less than in most other OECD countries. Even so, earlier *Surveys* have noted that there is scope for lowering market entry barriers. Recent measures include the creation of a research and development (R&D) tax credit for small and medium-sized enterprises, which is to be extended to large firms, although in what form remains to be determined. Efforts at streamlining regulation have also been deployed, although at the same time a considerable volume of new regulations has continued to be introduced. New proposals have been launched in 2001 to go further on several fronts. An Enterprise Bill is in the works, which *inter alia* would make cartel behaviour a criminal offence, revamp merger control and reform bankruptcy rules. The proposed toughening of the antitrust framework and proposals to

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depoliticise merger control are welcome, and should be swiftly enacted. As regards the regulation of utilities, the remit of the regulators should be better focussed on competition issues, with the environmental and social agenda delegated to the competent ministries.

… and entrepreneurial spirits

Entrepreneurs generally face a better business environment in the United Kingdom than in most other OECD countries. Nevertheless, earlier *Surveys* have highlighted various institutional factors that discourage risk-taking. In particular, the stigma of bankruptcy remains an impediment to business creation. The proposed measures – including the abolition of government agencies' privilege to be paid before other creditors and easier involvement of external administrators – attempt to facilitate a fresh start for those who failed honestly while sanctioning those who abuse creditors. This distinction might be difficult to make in practice, however. Another strand of work is the review of company law. So far, the latter has evolved piecemeal, incorporating European directives and responding to corporate scandals as they arose. As an overall set of rules, it has become arcane and out-of-date. A large, albeit not exhaustive set of recommendations has now been tabled to modernise company law, a notable omission being measures to tighten the link between managerial performance and compensation. Many would represent genuine improvements but should now be combined into a new body of law that can be enforced in practice. Moreover, rendering the traditionally uncertain and slow urban planning system more business-friendly is urgently needed.

Efforts are underway to enhance the safety and efficiency of financial markets

One of the major recent reforms in the financial sector has been the creation of an integrated regulator, the Financial Services Authority (FSA), in place of the nine supervisory entities previously responsible for prudential and conduct-of-business supervision. With financial institutions increasingly engaging in a range of business activities crossing traditional functional boundaries, this centralised approach has some clear advantages. It provides these institutions with a single regulatory interlocutor, reduces the risk of inconsistent regulation and regulatory arbitrage and facilitates the understanding and monitoring of individual

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financial institutions' risks. A potential risk would be that the lender of last resort is not sufficiently well informed about the development of financial institutions, but this issue has been addressed by a memorandum of understanding between HM Treasury, the Bank of England and the FSA, and regular – formal and informal – contact between the three institutions. The new framework has not been tested yet by a genuine recession or by a major financial institution failure, but some smaller scale pension saving problems have highlighted that supervision is intrinsically difficult because there is a trade-off between ensuring competition and consumer protection. Moreover, the Government should implement the measures recently put forward concerning pension funds, in particular stricter requirements as regards trustees' professionalism, as these may help prevent future mishaps.

Summing up

Overall, the United Kingdom's macroeconomic performance has been robust. Growth has slowed only little so far and unemployment has declined further than most observers expected, without igniting inflationary pressures. While sound monetary and fiscal policies have contributed to greater macroeconomic stability, domestic and external imbalances have been building up and some deep-seated structural problems endure, as acknowledged by the authorities themselves. In particular, productivity growth remains disappointing. Furthermore, while the sheltered sector has expanded rapidly, manufacturing continues to be in structural decline, moving into recession this year due to faltering overseas demand, and in particular the global ICT slump. These developments came on top of persistent sterling strength against the euro, which had already made trading conditions tough. Looking ahead and taking into account the heightened downside risks due to the recent terrorist attacks in the United States, further interest rate cuts might be required, unless a sharp fall in the exchange rate were to boost demand and inflation. Fortunately, the impressive fiscal consolidation in recent years is providing ample room for the automatic stabilisers to operate in the event of a sharpening downturn. Due to the previously announced trend increase in public expenditure aimed at addressing longstanding under-investment in public services, the fiscal stance is loosening significantly over time from its current

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strong position. In particular, government spending on health, education and infrastructure will rise significantly, though the authorities will need to ensure that the improvements being sought are implemented efficiently. In exchange for more stable funding, spending departments will be held accountable for results. To improve productivity performance and also to lower poverty among marginalized groups, further efforts are needed to raise human capital and work incentives, to reduce obstacles to entrepreneurial activities, and to strengthen competitive pressures. Continuing with a focussed and well-prioritised programme of structural reforms to address remaining weaknesses, while preserving the gains from building a more stable and predictable framework for macroeconomic policy, offers the best prospect for continuing good economic performance in the present uncertain global environment.

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I. Macroeconomic performance and prospects

Prior to the terrorist attacks of 11 September 2001, activity in the United Kingdom had already slowed since mid-2000, reflecting soft external demand and a drop in business investment. However, the deceleration was less steep than in the United States and in the euro area. Put in a broader historical perspective, a striking feature of the ongoing cycle is its limited amplitude, notwithstanding a series of shocks including surging oil prices, weakening overseas demand and, domestically, wet weather, rail disruptions and a severe foot-and-mouth disease. Another prominent feature, not unlike in the United States, is the contrast between the momentum of consumption and the external drag, reflecting at least partly a strong exchange rate. This pattern is the mirror image of the one witnessed in the mid-1990s. Also very different from that period are the low level of unemployment and the degree of entrenchment of low inflation. Looking ahead, uncertainties have risen sharply following the terrorist attack in the United States and activity is likely to weaken further in the near term. However, as long as the present uncertainties dissipate, and helped by the monetary and fiscal stimulus currently underway, growth should recover by the middle of next year, unless the imbalances in the economy unwind abruptly.

Output: imbalances have built up

Supply: a tale of two economies

During the second half of the 1990s, annual real GDP growth averaged 2.8 per cent, a good performance by historical UK standards, and slightly better than in the euro area, albeit far less impressive than in the United States (Figure 1).[1] Against the background of a sharp real effective exchange rate appreciation (Figure 2), this robust expansion was primarily driven by the dynamism of transport and communication services as well as business services and finance, which together accounted for only 29 per cent of value added in 1995 but for 63 per cent of GDP growth between 1995 and 2000 (at constant 1995 prices). In stark contrast, manufacturing grew by a meagre 0.7 per cent per annum over this period while agriculture essentially stagnated. Within manufacturing, "new economy" sectors such as electronics and telecommunications equipment did well but "old economy" ones such as steel, textiles, or motor vehicles experienced

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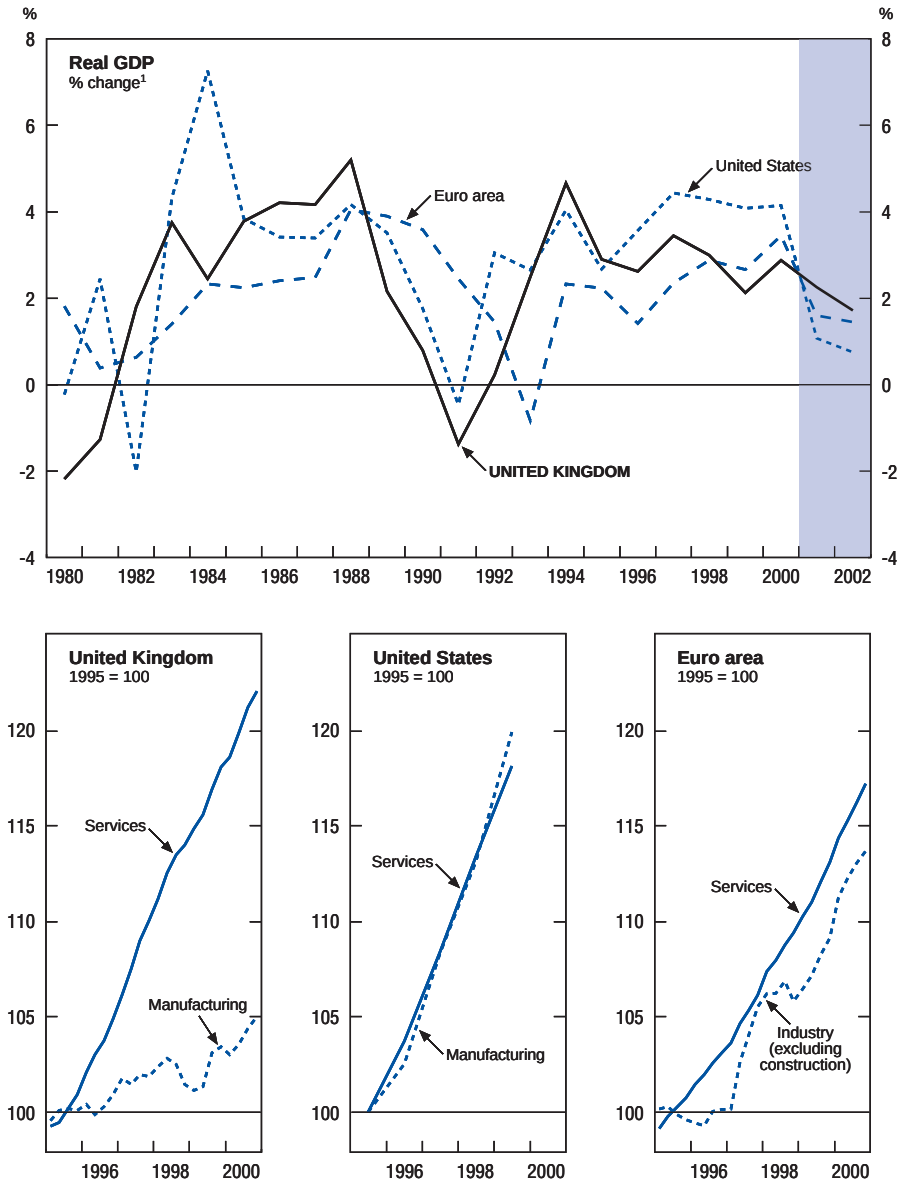
Figure 1. **Growth**
Value added



1. 2001 and 2002 are *Economic Outlook 70* projections.
Source: OECD.

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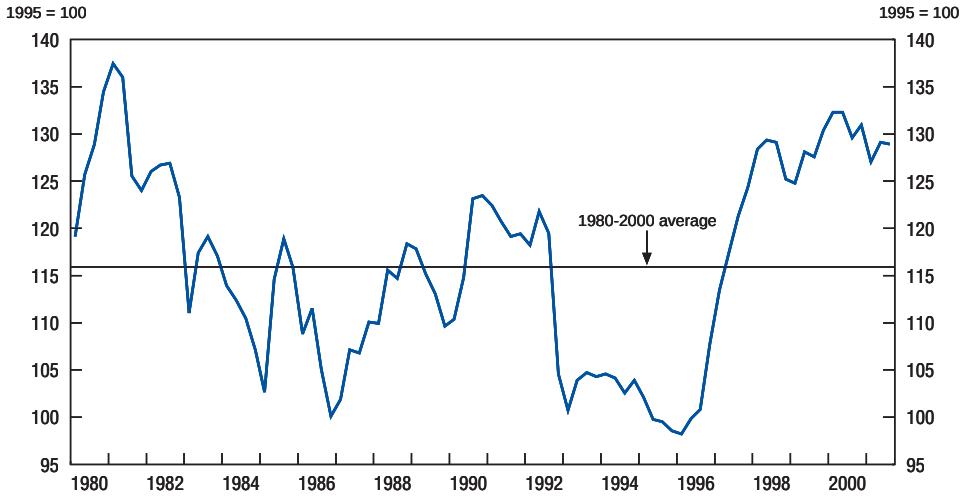
Figure 2. **Sterling real effective exchange rate**
Based on consumer prices



Source: OECD.

cutbacks. The contrast between manufacturing and services – which is starker than in the United States or the euro area – is also striking as regards corporate profitability, with the United Kingdom ranking third world-wide in services, but eleventh in manufacturing (Walton, 2000).[2]

The pace of GDP growth has edged down to just below potential of 2½ per cent since the summer of 2000. In part, this reflected a recession in manufacturing, but activity in parts of the service sector also slowed. The electrical and optical engineering sector in particular, which accounts for around 12 per cent of manufacturing, ceased abruptly to grow at the end of 2000, and output slumped sharply in the first half of 2001. Additionally, several high profile closures occurred amongst mobile phone producers. Besides the high-tech cycle, the foot-and-mouth epidemic contributed to reduce supply, although its effect on GDP was probably small (see Annex I).

Consumption fuels aggregate demand

Private consumption expanded steadily by around 4 per cent annually during the second half of the 1990s, supported until 1999 by sizeable wealth gains (Figure 3). In 2000, household wealth rose a bit less than income, as the fall in the value of equity holdings was only partly offset by rising house prices, and

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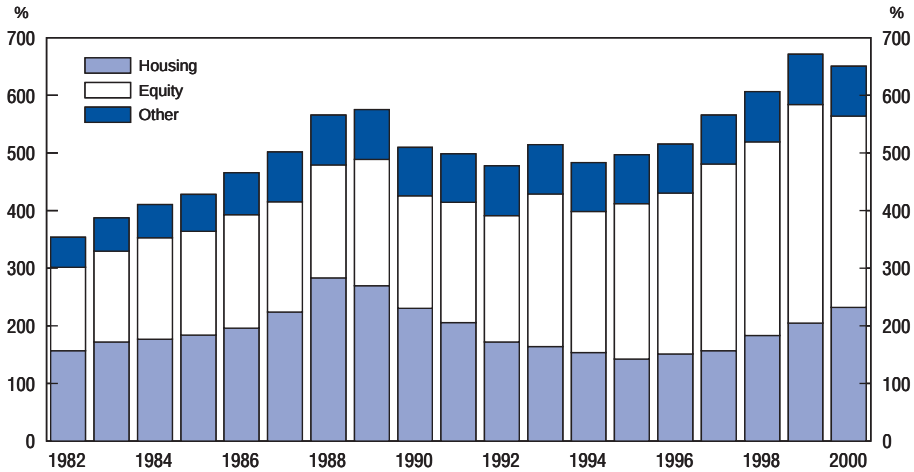
Figure 3. **Household wealth**[1]
In per cent of annual disposable income



1. Housing wealth is calculated net of mortgage liabilities.
Source: Bank of England.

consumption decelerated slightly, while the saving ratio edged up. The latter, at around 5 per cent, is below its historical average even on an inflation-adjusted basis, and households have turned into net borrowers.[3] Private consumption has also been underpinned by intensifying competition in the mortgage and retail banking markets, which has contributed to reducing the cost of household debt. It has further been spurred by the continuous improvement in labour market conditions and the associated growing feeling of job security. In the first half of 2001, household wealth declined further, notwithstanding accelerating house prices, but the dynamism of private consumption remained intact.[4]

Overall investment has weakened

Following a lull in 1999, gross fixed capital formation accelerated in the second half of 2000, to an annualised rate of nearly 10 per cent, but fell by 1 per cent in the first half of 2001. In particular, business investment declined in the first half of 2001, both in manufacturing and to a lesser extent in services, owing to pressure on margins and a weakening outlook. This was partly offset by the rise in government and residential investment associated respectively, with plans to rejuvenate the public sector's capital stock (see chapters II and IV) and with a

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buoyant housing market. Meanwhile, there was a large and involuntary build-up of inventories in the first quarter, mainly in manufacturing. In the second quarter, this ceased and stockbuilding contributed negatively to growth.

The external deficit widens

Competitiveness (as measured by relative unit labour costs) and export performance (as captured by a market share indicator) have considerably worsened since the mid-1990s, primarily because of sterling's sharp appreciation in effective terms, which saw it rise to levels not seen since the early 1980s (Figure 4 and Annex II).[5] In the process, the goods trade deficit widened from 2 per cent of GDP in the mid-1990s to 3 per cent in 2000, and the current account, which was broadly in balance in the mid-1990s, swung into a deficit reaching 2.1 per cent of GDP by 1999, though it was somewhat smaller in 2000. Consequently, for the first time in more than a century the external contribution to economic growth was negative for five years on end. The external deficit would have swelled even more had it not been for the surge in oil prices in 1999-2000, since the United Kingdom is a net oil exporter (see Annex III). In the first half of 2001, both exports and imports slowed markedly, reflecting the global slowdown and softer internal demand. The goods trade deficit increased to 3.5 per cent of GDP and excluding oil, the goods trade deficit amounted to 4 per cent of GDP. On the other hand, the current account deficit fell to 1.1 per cent of GDP, because of a sharp rise in the investment income balance.

Low unemployment

Total employment expanded at an average annual rate of 1.3 per cent during the second half of the 1990s, while labour productivity rose by only 1.5 per cent per annum, a rate significantly below the long-term trend of around 2 per cent. Although productivity growth showed a cyclical pick-up over the year to mid-2000, it has subsequently fallen back as output slowed more than employment growth, in large part reflecting the sharp downturn in the manufacturing sector. Looking more closely at labour market flows, public sector employment started to rise in 1999, for the first time in two decades, and in the year to mid-2000, more jobs were created in the public than in the private sector, reflecting significant hiring in education and, to a lesser extent, by hospital trusts. With the labour force growing by only 0.6 per cent per year since the mid-1990s, the unemployment rate, based on the labour force survey (LFS) measure, declined by almost 4 percentage points, to 5 per cent in spring 2001 (Figure 5). As employment continued to rise, even though the economy slowed, the unemployment rate remained around this level until August 2001. On the claimant count, unemployment shrank likewise, to 3.1 per cent of the labour force. For quite a while, unemployment has thus remained somewhat below most estimates of the rate compatible with stable inflation. On the other hand, actual working time as measured by the average number of hours worked per week is lower than in 1997 and has been

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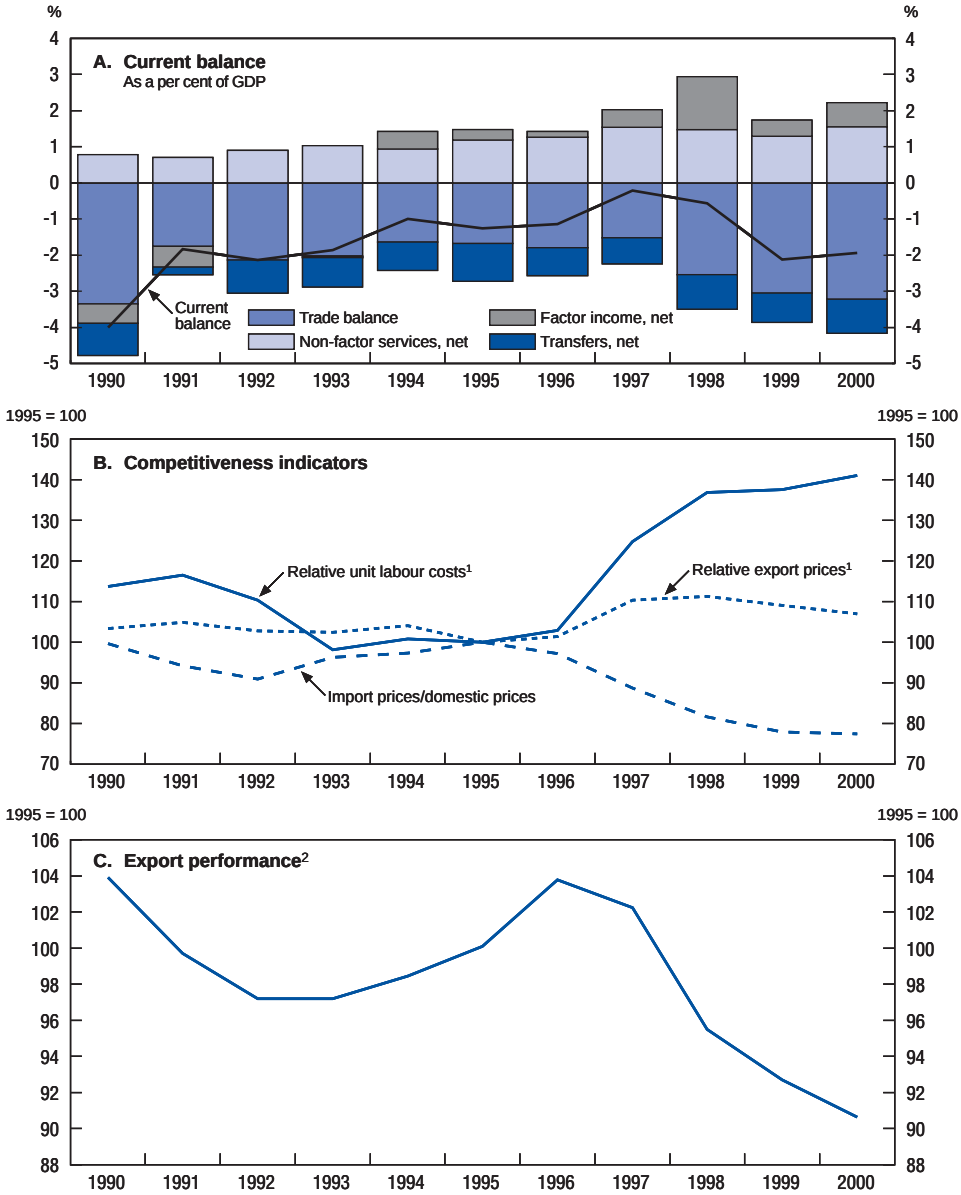
Figure 4. **External trade**



1. Manufacturing.
2. Export performance is the ratio between export volumes and export markets for manufactured goods.

Source: OECD.

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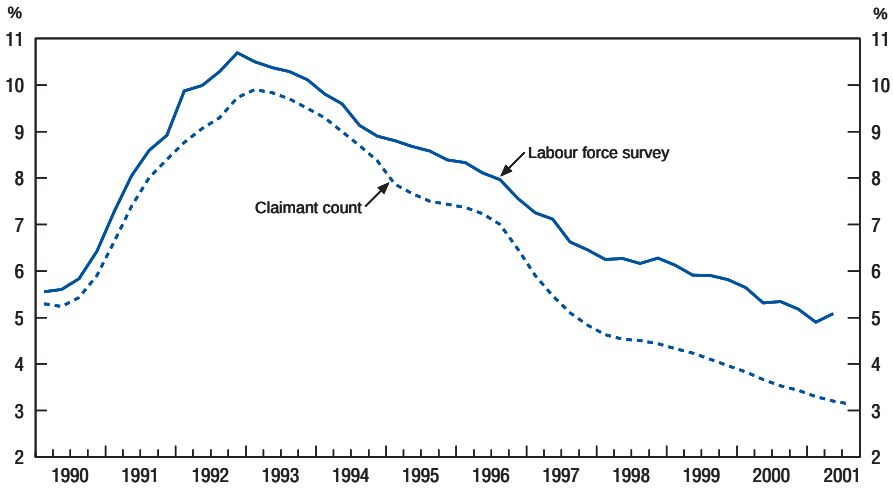
Figure 5. **Unemployment**
As a per cent of total labour force



Source: National Statistics, *Labour Market Trends.*

stable lately at around 38 hours for full-time and 15½ hours for part-time workers, a pattern which tends to hold across sectors and occupations.

Against this background, and abstracting from erratic month-on-month fluctuations,[6] wage inflation picked up, with the headline economy-wide average earnings index (AEI) rising at around 5 per cent in summer 2001. However, with employment growth softening and some edging up of unemployment (on the LFS measure) since the summer, earnings growth has fallen back to the 4½ per cent rate that is broadly consistent with the inflation target and most estimates of trend productivity growth, though excluding bonuses the rate is still above 5 per cent. Earnings in the public sector have been rising faster than in the private sector, but to some extent at least this represented a catch-up, as for example in the case of the backdating of threshold payments to teachers joining a new salary structure. Possibly, it also reflected some intensification of competition on the demand side of the labour market between private and public employers.

Inflation was subdued, but has picked up recently

As underlined in the previous *Survey*, inflation has remained remarkably subdued in the United Kingdom over the past few years (Figure 6). Besides

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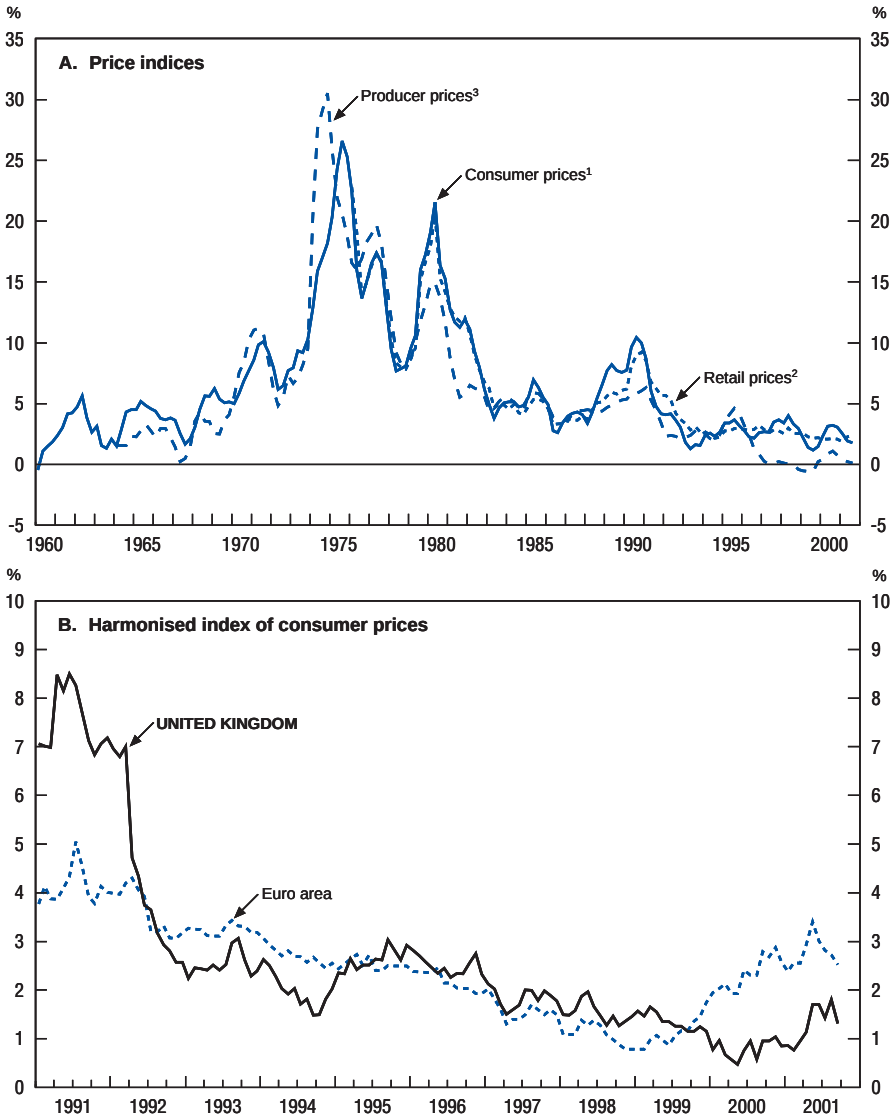
Figure 6. **Inflation**
Annual percentage change



1. All items.
2. All items excluding mortgage interest payments (RPIX).
3. Products of manufacturing industries except food, beverages, tobacco and petroleum manufacturing.

Source: National Statistics and Eurostat.

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disciplined macroeconomic policy – discussed in Chapter II – several factors have contributed to keeping inflation low. One is relatively low inflation in many of the United Kingdom's trading partners combined with the strength of sterling. As a result, import prices as captured by the goods and services deflator in the national accounts dropped by 14 per cent during the second half of the 1990s. Another factor is increasing competition: implementation of the EU Single Market Programme renders domestic markets more contestable and contested, and a more forceful competition policy – described in Chapter III – has been putting downward pressure on prices. More ephemerally, the direct impact of the last budget's indirect tax measures reduced retail price inflation by around half a percentage point in spring 2001. Offsetting these, however, were the effects of wet weather and foot-and-mouth disease on food prices and, perhaps more importantly, the waning of the impact of sterling's past appreciation and stronger labour cost growth. Indeed, since last spring, underlying inflation (RPIX) has picked up, moving slightly above the Bank's inflation target in August, before falling back below it in September.

The near-term outlook and risks

Recent indicators suggest that private consumption and the housing market have remained very strong until September 2001 and that the manufacturing sector has continued to suffer in recent months. Immediately following the tragic events of 11 September, business and consumer confidence were down, but the decline was less marked than in most other OECD countries, even though the most recent data on business and consumer confidence show a marked deterioration. Looking ahead from early November 2001, foreign demand and the international climate more generally are set to worsen further for some time. However, a vigorous recovery in world trade is projected to take hold from mid-2002 onwards, from which the United Kingdom should benefit fully (Table 1). Accordingly, the current account deficit is projected to remain at close to 2 per cent of GDP.

Besides sub-par activity and demand overseas and their impact via trade, investment and confidence channels, several specific factors will contribute to shaping the UK outlook. Consumption should be supported on the public side by the acceleration of government spending described in Chapters II and IV. As regards households, a number of tax and benefit measures, detailed in Chapters II and III, will stimulate participation and consumption. The 10.8 per cent increase in the national minimum wage effective in October 2001 will work in the same direction, although by how much depends *inter alia* on the extent to which there will be a knock-on effect higher up the wage scale. Furthermore, consumption is projected to receive a small boost from the demutualisation of Friends Provident, Scottish Provident and Scottish Life, three of the largest remaining mutual organisations. The associated windfall payments are estimated at around £6 billion,

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Table 1. **Recent outcomes and short-term projections**
Percentage change, constant prices

	1997	1998	1999	2000	2001H1[1]	2001[2]	2002[2]	2003[2]
Consumption								
Private	3.8	3.8	4.2	4.0	4.1	3.7	2.0	2.5
Government	0.1	1.5	2.8	1.6	2.0	2.1	3.4	3.6
Gross fixed investment	7.1	13.2	0.9	4.9	–1.0	1.4	–0.7	2.4
Private								
Business	10.5	18.9	1.7	5.1	–3.7	0.3	–2.7	1.4
Housing	5.1	–1.9	–1.3	0.8	2.1	–2.3	1.5	2.1
Government	–11.7	2.5	–1.4	11.5	19.8	19.2	11.2	10.0
Final domestic demand	3.6	5.0	3.4	3.7	2.8	3.0	1.8	2.7
Change in stockbuilding[3]	0.3	0.1	0.1	–0.3	–0.2	–0.2	0.0	0.0
Total domestic demand	3.9	5.1	3.4	3.4	2.6	2.8	1.8	2.7
Foreign balance[3]	–0.5	–2.2	–1.4	–0.7	–0.4	–0.7	–0.2	–0.3
Exports of goods and services	8.3	3.1	5.4	10.2	2.6	3.6	3.4	7.3
Imports of goods and services	9.7	9.6	8.9	10.7	3.2	4.8	3.3	7.1
Gross domestic product	3.5	3.0	2.1	2.9	2.3	2.3	1.7	2.5
Deflators								
Private consumption	2.3	2.7	1.5	0.6	1.3	1.6	2.3	2.3
GDP	2.9	2.9	2.6	1.7	2.4	2.4	2.5	2.5
Current account (% of GDP)	–0.2	–0.6	–2.1	–1.9	–1.1	–1.8	–2.0	–2.2
Total employment	2.0	1.1	1.3	1.0	1.1	0.9	0.3	0.3
Labour force	0.4	0.5	1.4	0.5	0.6	0.5	0.5	0.5
Unemployment rate[4] (in %)	6.5	5.9	6.0	5.5	5.1	5.1	5.3	5.5
Personal saving ratio (in % of income)	9.5	5.7	4.8	5.0	5.0	5.2	5.6	5.8

1. Annualised rate where applicable.
2. Projections.
3. Contributions to changes in real GDP (as a per cent of GDP in the previous year).
4. Labour Force Survey.

Source: OECD.

which is equivalent to 1 per cent of annual consumption. However, no more than a tiny portion is likely to be spent, as the payments are only partly in upfront cash and policyholders become increasingly concerned that they will not receive the target payout.[7]

Public investment is currently accelerating, consistent with the government's intention to catch up with years of underfunding. Business fixed investment is likely to suffer a further decline in the short run, against the background of a crescendo of profit warnings, weaker share prices, lower global demand and rising unused capacity in the manufacturing sector. However, it is likely to stage a recovery in response to strengthening output growth from mid-2002 onwards.

Following activity with a lag, job creation in the business sector is projected to grind to a halt in 2002, while overall employment growth is supported to

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some extent by fast employment growth in the public sector. With the labour force growing at its trend rate, unemployment could rise to 5½ per cent of the labour force, which is somewhat above the structural rate. Increasing labour market slack and lower bonus payments should damp labour cost pressures and inflation could fall marginally below the inflation target. With inflation close to target and a small negative output gap emerging in 2002, only a small further interest rate cut by the Bank of England is built into the projections.

Several risks surround the outlook. One is that the slowdown overseas turns out to be more pronounced than anticipated. OECD simulations suggest that if US growth were 1 percentage point lower than expected, UK growth would also be lower by a full percentage point after three years, reflecting the knock-on effects on third countries and the consequences for internal demand. The effect on the United Kingdom is roughly the same as for the euro area, the UK's dependence on trade with the United States being often overrated.[8] With inflation down by 1¼ percentage points after 3 years and no policy reaction built into the simulation, an additional monetary easing would be warranted.

Another risk stems from the imbalance between domestic demand and supply, which cannot continue indefinitely. As highlighted by the authorities themselves, at some point, "the elastic is likely to break – quite possibly through a sharp exchange rate adjustment" (George, 2001). For illustrative purposes, one can simulate the impact of a 10 per cent depreciation of the effective exchange rate. Assuming unchanged nominal interest rates and real general government consumption, the UK Treasury's model suggests that in the first year a permanent exchange rate adjustment of this magnitude would boost real GDP by about ½ per cent and would add between ½ and ¾ per cent to the retail price index excluding mortgage interest payments. In the second year, it would push the level of real GDP up by a further ¾ per cent while adding another per cent to the price level. Such simulation results, however, are highly model-specific and should not be taken too literally. In reality, the actual impact of a depreciation would also depend on the exact nature of the shock causing it, as well as on the policy reaction, which is abstracted from in the above simulation.[9]

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II. Macroeconomic policy

Against the background of a small positive output gap and buoyant aggregate demand, the macroeconomic policy stance was fairly tight in 2000, but it has eased since. Short-term interest rates were raised early in 2000 and then remained unchanged, while fiscal consolidation continued, with the cyclically-adjusted primary surplus rising by another 0.3 per cent of GDP on a year-average basis. In the context of a significant drop-off in external demand, however, interest rates were brought down starting in early 2001, and concerns over the economic consequences of the terrorist attacks in the United States prompted further cuts. Stepped-up public spending combined with a small projected decline in the revenue ratio should amount to a significant easing in the fiscal stance in 2001 and beyond. Viewed in this light, monetary and fiscal policies have both turned from restrictive to supportive in 2001. However, since this shift in stance will take some time to work its way through the economy, its impact will mostly be felt in 2002.[10]

Against this backdrop this chapter analyses the evolution of the monetary and fiscal stance in more detail. It also reviews a selection of monetary framework issues that have been discussed publicly since the last S*urvey*. Fiscal framework issues are dealt with in the special chapter of this S*urvey* on public expenditure.

Monetary management

In the course of 2000, near-term growth prospects as seen by the Monetary Policy Committee (MPC) of the Bank of England did not change much, with projected output close to potential, while projected inflation remained subdued. Accordingly, the official repo rate was left unchanged after the February 2000 hike to 6 per cent (Figure 7). But towards the end of 2000 and more unambiguously in early 2001, the international environment started to deteriorate; as a result, activity looked set to weaken (Figure 8). With inflation projected to continue to run below the 2½ per cent target in the near future, the MPC decided to cut the official rates in three steps of 25 basis points each, in February, April and May. The weaker global environment, easier outturn data for activity in the second quarter, coupled with disquieting signals from some of the advance indicators and a strong exchange rate, led the MPC to proceed with an additional 25 basis point cut in

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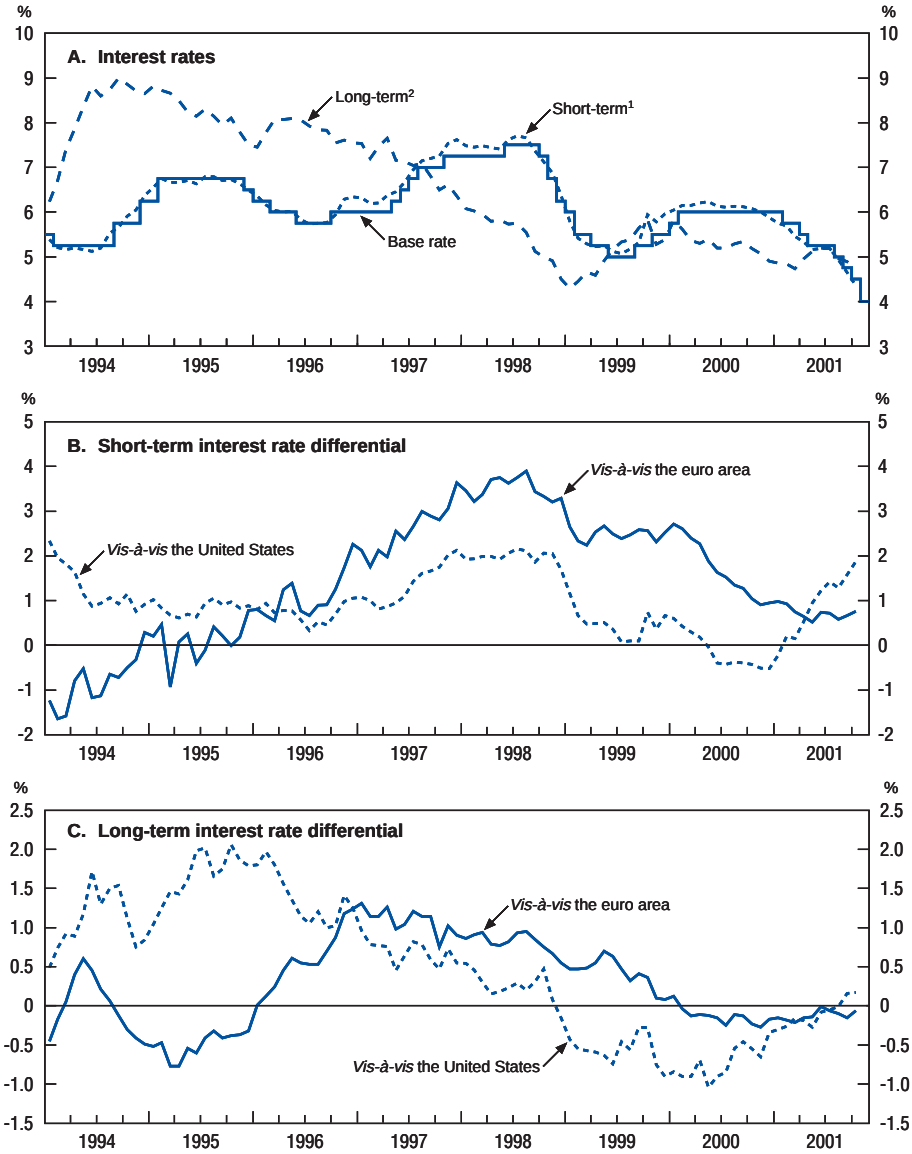
Figure 7. **Interest rates**
Per cent



1. Three-month interbank rate.
2. Central government ten-year Treasury bonds.

Source: ECB, *Monthly Bulletin* and OECD, *Main Economic Indicators*.

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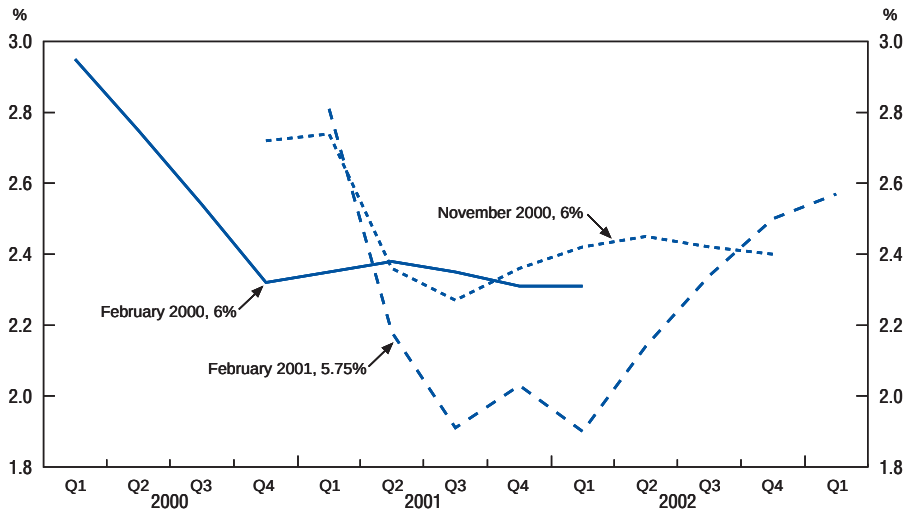
Figure 8. **MPC GDP projections**

Median constant-interest rate projection in the Inflation Report



Source: Bank of England.

early August, notwithstanding buoyant retail spending and household borrowing as well as close to double-digit house price inflation. Unlike the situation for most of the earlier rate changes, markets were taken by surprise by the August move. Despite those downward moves the repo rate of 5 per cent was 75 basis points higher than the corresponding euro area policy rate and 150 basis points above the US one. By domestic standards, however, it was as low as in mid-1999, which itself marked a trough since the early 1970s.

In its early-September meeting the MPC considered further moves to be unnecessary, but this decision was soon overtaken by the terrorist attacks in the United States, which prompted three further cuts in the repo rate, to a historical low of 4 per cent. The cuts were smaller than those by the Federal Reserve and of the same size as the European Central Bank's. As a result, the three-month interest rate spread against the euro has remained around 80 basis points since September, but the narrowing from the 2¾ percentage point spread in January 1999 is marked. On the other hand, long-term interest rates have increased a bit since the start of 2001, while consistently remaining a notch below euro area ones. It should be stressed that since mid-1997, when the Bank was given operational independence, both short-term and long-term interest rates have fluctuated within what

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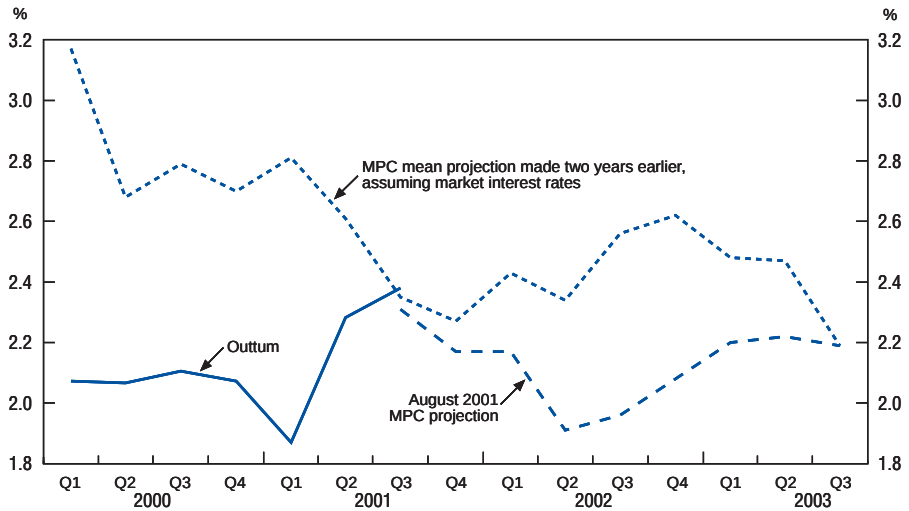
by UK historical standards is a remarkably compressed range. As regards the official repo rate, the range was indeed narrower than what market participants tended to expect, and also narrower than in the euro area.

Inflation has been close to target

As noted in Chapter I, inflation has remained low and stable in recent years. On the RPIX measure, which is the retail price index excluding mortgage interest payments targeted by the Bank of England, the 12-month rate of inflation has fluctuated between 1.8 and 3.2 per cent since mid-1997, when the current monetary policy framework was put in place. Between the spring of 1999 and summer 2001, it has consistently undershot the symmetric 2½ per cent target, and since the last OECD S*urvey*, published in mid-2000, it has averaged 2.1 per cent. Actual inflation has thus systematically surprised the MPC (Figure 9) as well as private sector forecasters on the downside, even though in August 2001 it rose to just above the inflation target.[11] It has to be stressed however, that the strength of sterling, which is a key driver underlying these developments, was largely unanticipated by the MPC and outside observers alike and could not have been reasonably factored into interest rate policy decisions *ex ante*.[12] In the light of

Figure 9. **Projected *versus* observed RPIX inflation**

Annual percentage change



Source: Bank of England and National Statistics.

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historical inflation volatility and taking into account the fact that since the inception of the present regime in 1997 it has averaged 2.4 per cent, inflation can fairly be judged to have stayed remarkably close to target. Indeed, the Governor of the Bank of England has confessed his "amazement" at not having had to write the Chancellor any explanatory letters thus far.[13]

A number of alternative measures confirm that inflation has been very subdued. HICP inflation has averaged only 1.3 per cent since mid-1997. In fact, on this indicator, a distinctly greater measure of price stability has been achieved in the United Kingdom since the start of 1999 than in the euro area, with HICP inflation averaging just over one per cent in the former against close to 2 per cent in the latter. Turning to core inflation measures, which attempt to strip out temporary departures from trend, a similar picture emerges. RPIY inflation, which excludes indirect taxes from the RPIX, has almost uninterruptedly remained below RPIX inflation since the mid-1990s. Trimmed mean inflation, which excludes the 15 per cent largest and smallest price changes, averaged 2 per cent since mid-1997, and 1.8 per cent in the two years to mid-2001. Against this background, and with the latest MPC central projection involving persistent undershooting of RPIX inflation through early 2003, some on and outside the MPC have argued that monetary policy has been overly tight,[14] while others have proposed to lower the inflation target.

Were monetary conditions too harsh?

The evolution of monetary conditions can be gauged using a variety of measures. Looking at interest rates alone may not be enough when the exchange rate, which also directly and significantly affects aggregate demand, moves around. Some central banks therefore calculate and publish Monetary Conditions Indices (MCIs), which jointly reflect interest rate and exchange rate movements.[15] Traditional MCIs are weighted averages of the percentage point change in the domestic interest rate and in the exchange rate *vis-à-vis* some base period. The weights typically represent the estimated relative impact on aggregate demand of interest and exchange rate changes. Recent research at the Bank of England by Batini and Turnbull (2000) has attempted to overcome some of the shortcomings plaguing traditional MCIs with the development of a dynamic MCI (DMCI). It explicitly takes into account the lags with which interest rates and exchange rates affect GDP, with interest rate changes starting to bite two quarters down the road, but exchange rate movements impacting on activity with a much longer lag.

The DMCI points to a significant tightening of monetary conditions during the two years ending in the spring of 1999 (Figure 10)[16] and signals that conditions eased marginally during the following year, but have become somewhat more restrictive since mid-2000. Given the aforementioned lags, conditions are bound to continue to have tightened until mid-2001, before easing again thereafter.[17] In common with static MCIs, the DMCI is not a gauge about whether monetary policy

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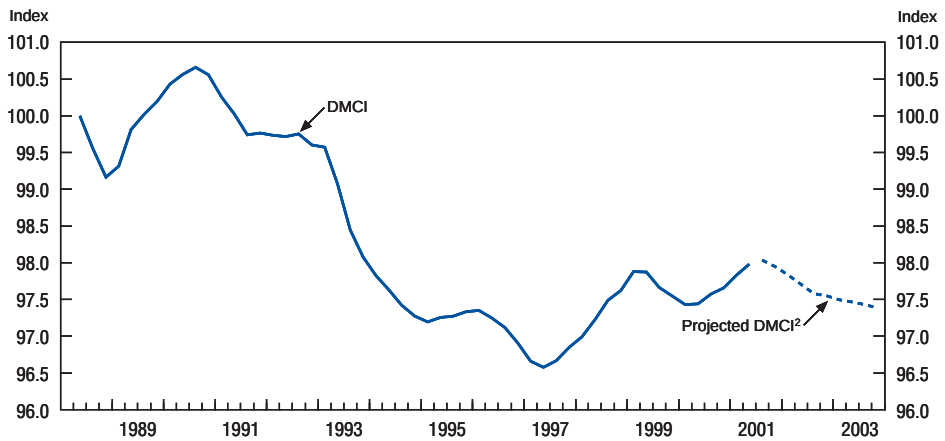
Figure 10. **Dynamic monetary condition index**[1]
June 1988 = 100



1. A downward movement in the index indicates an easing of monetary conditions while an upward movement represents a tightening.
2. On the basis of the central assumptions in the August 2001 Inflation Report.

Source: Batini and Turnbull (2000) and OECD.

is too tight or too loose. It is only an indicator of whether monetary policy has tightened or has become looser. Moreover, the DMCI's exchange rate weight is much lower than the weight usually found in static MCIs.

The pain endured by many producers in the tradeable sector, as described in the previous chapter, reinforces the impression that the exchange rate has been strong. However, even if the effective exchange rate is widely reckoned to be too strong, there is no obvious lever for the authorities to pull to correct this misalignment.[18] Moreover, monetary policy in any currency area has to be set in accordance with area-wide rather than regional or sectoral conditions. Overall, inflation outcomes would tend to suggest that the monetary stance has, if anything, erred on the restrictive side.

On the other hand, the evolution of key money and credit aggregates can hardly be taken to suggest that monetary policy throttled growth (Figure 11). In fact, on that score, concerns have been voiced that corporations have built up excessive debt, with debt-to-profit ratios reaching historical highs, contributing to a sharp increase in the number of rating downgrades in 2001. But income gearing (*i.e.* the ratio of interest payments to pre-tax profits) remains well below earlier peaks, despite its increase in recent years. Lending to households has also been

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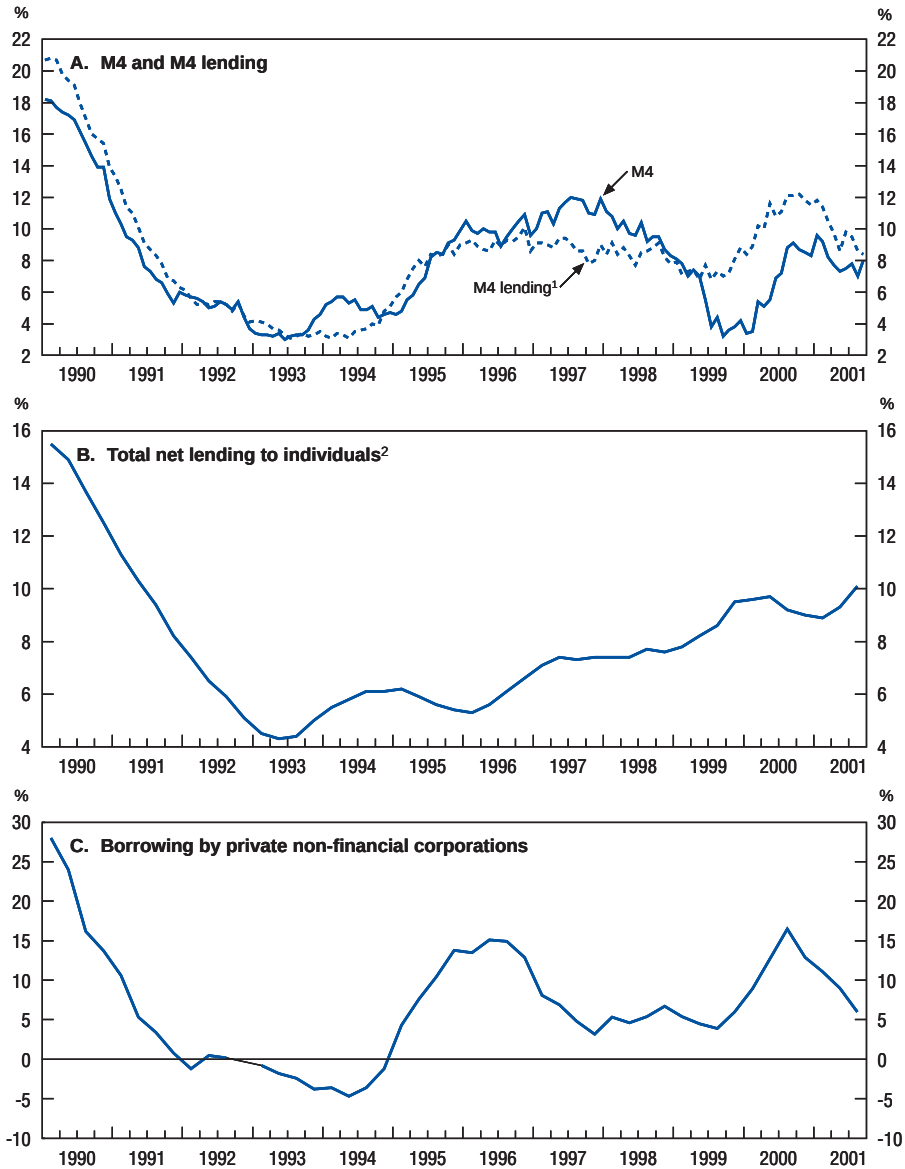
Figure 11. **Money and credit**
Annual percentage change



1. M4 lending measures bank and building society lending to the rest of the private sector.
2. Households excluding non profit making institutions and unincorporated businesses.

Source: Bank of England.

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rising fast, with default rates on credit cards for example on the rise since 1999. Spurred by heightened competition between banks, mortgage-loan-to-income ratios have been rising substantially, although mortgage payments as a share of household income remain around their long-run levels, and far below the ominous levels around the end of the 1980s. In addition, the share of mortgage loans in arrears is at its lowest since the early 1980s. In this context, the authorities consider that overall households' balance sheet positions remain sounder than in the late 1980s.[19]

Can the monetary policy framework be improved further?

With the benefit of hindsight, few observers, if any, would dispute that the changes to the monetary policy framework introduced in spring 1997 have significantly improved it. Nonetheless, suggestions have been tabled to amend some of the features of the current regime, in particular as concerns the definition of the target, the forecast and forecasting process, the degree of transparency and accountability and the appointment and terms of MPC members.[20, 21]

Since 1997, the numerical inflation target is spelled out annually by the Chancellor of the Exchequer in the budget. At the time, the Treasury indicated that the "presumption is that there will be no changes during the present Parliament. However, the target could be lowered if the Government judges that an improvement in the underlying performance of the economy or international trends justifies such a move" (HMT, 1997). In light of the aforementioned sustained undershooting of the target, and with a view to more closely align it with the ECB's objective, some have suggested to lower it to 2 per cent (Pain and Kneller, 2001). The undershooting, they argued, means that shifting the target down by half a percentage point could be done seamlessly. The proposal to settle on 2 per cent takes into account the formula bias between RPIX and HICP, which currently explains half a percentage point of the gap between annual HICP and RPIX inflation (Figure 12),[22] on the assumption that the difference in coverage between the two indices does not impart any lasting bias:[23] targeting RPIX inflation at 2 per cent would then be broadly equivalent to an HICP objective of around 1½ per cent, which can be interpreted as the implicit ECB medium-term notion of price stability (OECD, 2001*a*). While in the long run such a redefinition of the target would translate into a downward shift of nominal interest rates, it would call for tighter monetary policy in the short run.

The proposal to lower the target raises a number of questions, however. *First*, it remains to be established that a target significantly below the current one would not be too low. The ECB's recent experience can be interpreted as illustrating the difficulties associated with an overly "ambitious" quantitative definition of price stability (OECD, 2001*a*). On the other hand, durable undershooting in the United Kingdom does not appear to have harmed growth and employment, although the counterfactual is hard to pin down. *Second*, it would have been problematic, and might

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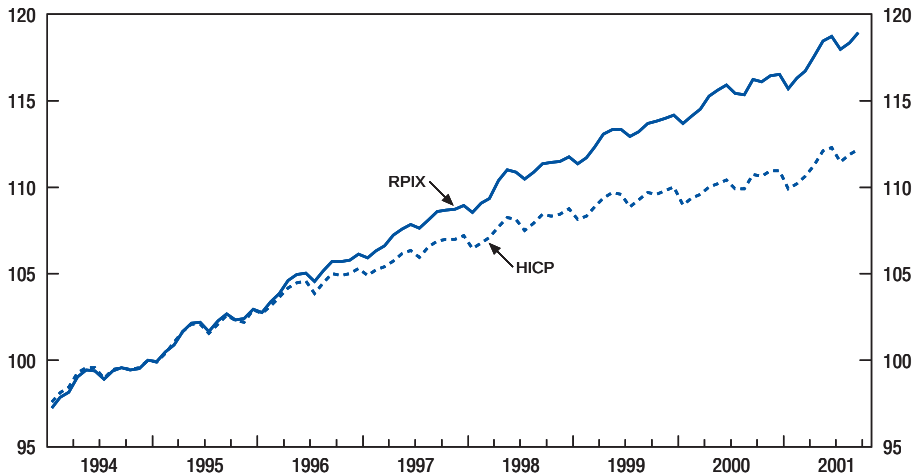
Figure 12. **Drifting apart**
December 1994 = 100



Source: National Statistics.

still be in the near future, to change the target so soon after the inception of the new regime, and before the latter was tested more fully.

A closely related issue pertains to the choice of the targeted index. One option would be to target the HICP directly, thus going one step further than the above suggestion. Another would be to target some smoother measure of inflation. In both cases, the corresponding numerical target might be below 2½ per cent, although that need not correspond to an effectively lower rate of inflation. Over time, the index switch might help bring down perceived and anticipated inflation.[24] In turn, lower inflation expectations would translate into more moderate wage settlements. But the merits of targeting the HICP would of course become more palatable in the context of prospective euro area membership, or at least once the HICP includes a measure of owner-occupied housing costs. As long as the latter are excluded, the HICP is unlikely to be used as the benchmark in wage-setting and more broadly, to anchor the public's perception of inflation.

A feature of the MPC forecast that has given rise to debate is the fact that, as put by one commentator, it resembles a Victorian novel, in that it always has a happy ending, with inflation after two years at or very close to 2½ per cent, the only suspense residing in how the plot will unfold along the way. This analogy is

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somewhat misleading, however, insofar as a key dimension of the story depicted in the fan chart pertains to the degree of symmetry of the envisaged outcomes around the central forecast ("the news is in the skews"). Moreover, at least some of the MPC members have indicated that that they see the 2½ per cent forecast as just an intermediate target to help the MPC achieve the objective set by the Government, and that they would not necessarily wish to adjust policy to always keep two-year-ahead projected inflation exactly at 2½ per cent (Kohn, 2000).[25]

Although the Bank of England is far more transparent than most other central banks, some former MPC members advocate even greater openness. In particular, it has been argued that the minutes of the MPC meetings should spell out more explicitly the reasons underlying each member's vote so as to enhance individual accountability (Budd, 2000).[26] Alternatively, it has been proposed that the Governor, instead of the MPC, take personal responsibility for the *Inflation Report* and for the forecast therein, which would be approved by the MPC but without committing each member individually, and allowing members to come out with dissenting forecasts (Goodhart, 2001).[27] It is not obvious, however, that more transparency of this sort would provide for more clarity. It might also stifle the debate within the MPC, which at present is genuinely open and allows participants to change their minds if swayed by others' arguments. Furthermore, individual MPC members already publicly explain their views and votes when periodically questioned by the Treasury Select Committee as well as in the speeches they give.

Another issue concerning the framework that has been raised by a number of observers and also by Bank staff is the frequency of MPC meetings.[28] The 1998 Bank of England Act stipulates that the MPC should meet every month, which is more frequent than in the United States. An argument against meeting less often is that much of the relevant news comes in a monthly cycle. Moreover, the Bank has recently streamlined the process, so that the associated demands on staff and policymakers' time have been eased.

Alongside the Governor, two deputy governors, and two executive Bank directors, the MPC includes four "outside" experts, who are nominated by the Chancellor of the Exchequer. The House of Commons Treasury Committee examines new members. Some parliamentarians in this Committee have, however, long demanded a bigger say in the choice of these MPC members, believing that they should be allowed to conduct US-style confirmation hearings with the ultimate right of veto over government appointees. There are also suggestions that the outside MPC members be given fixed, non-renewable five- or six-year terms, instead of the current three-year renewable terms. By precluding reappointment, such an arrangement would insulate members more clearly from perceived or actual political pressure. The Government considers that it is already difficult to get outstanding experts to accept a three-year career break and that there is no evidence to

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suggest that any appointment or re-appointment would have been influenced by expected or past voting behaviour (Balls, 2001).

Important as they are, the above are not the only aspects of the framework that are at times questioned. One more fundamental dimension pertains to the Bank of England's independence. The 1997 reform granted it "instrument independence", *i.e.* full independence to set interest rates, but the target – both the index and the number – continues to be set annually by the Treasury. This is done in an open, transparent and explicit way. In addition, the Chancellor decides on currency intervention and more generally on exchange-rate policy. Only in very exceptional circumstances, the Treasury is entitled to override MPC interest rate decisions. While the Bank of England is very transparent and has full operational independence, the Bank of England remains less independent than the European Central Bank in certain respects,[29] and a legislative change would be required if the United Kingdom were to join the euro area.[30]

The fiscal stance

Recent evolution

Fiscal consolidation has been impressive in recent years in the United Kingdom, not least when compared with the EU average (Figure 13). While the EU saw its fiscal position improving from a 2.5 per cent deficit of GDP in 1997 to virtual balance in 2000, the United Kingdom turned its 2 per cent deficit into a 2 per cent surplus – excluding third-generation mobile phone (UMTS) auction proceeds in both cases. Concomitantly, the UK gross debt ratio had declined to under 43 per cent of GDP, against 64 per cent for the EU as a whole, helped in 2000 by large UMTS auction proceeds, equivalent to 2.4 per cent of GDP. As stressed in the previous S*urvey*, the extent of fiscal adjustment has been equally remarkable by the standards of the United Kingdom's own past. It has also consistently exceeded what had been projected *ex ante* in budgets, reflecting a combination of revenue overshooting and spending undershooting underpinned by sustained strong growth (Table 2).

Going forward, however, from an admittedly strong fiscal position, the fiscal stance is easing over time, in line with the projections already set out in Budget 2000 and confirmed in Budget 2001.[31] Over the medium term, the Government is now projecting a deficit of around one per cent of GDP, both in unadjusted and on a cyclically-adjusted basis (since the output gap is projected to remain very small). Correspondingly, the net debt and net worth ratios would not change much from FY2001/02 onwards. The projected move into a small deficit is consistent with the government's fiscal rules and is mainly the result of increased investment spending to redress past under-investment. The move to a moderate deficit contrasts with the European Union as a whole, where a zero balance was

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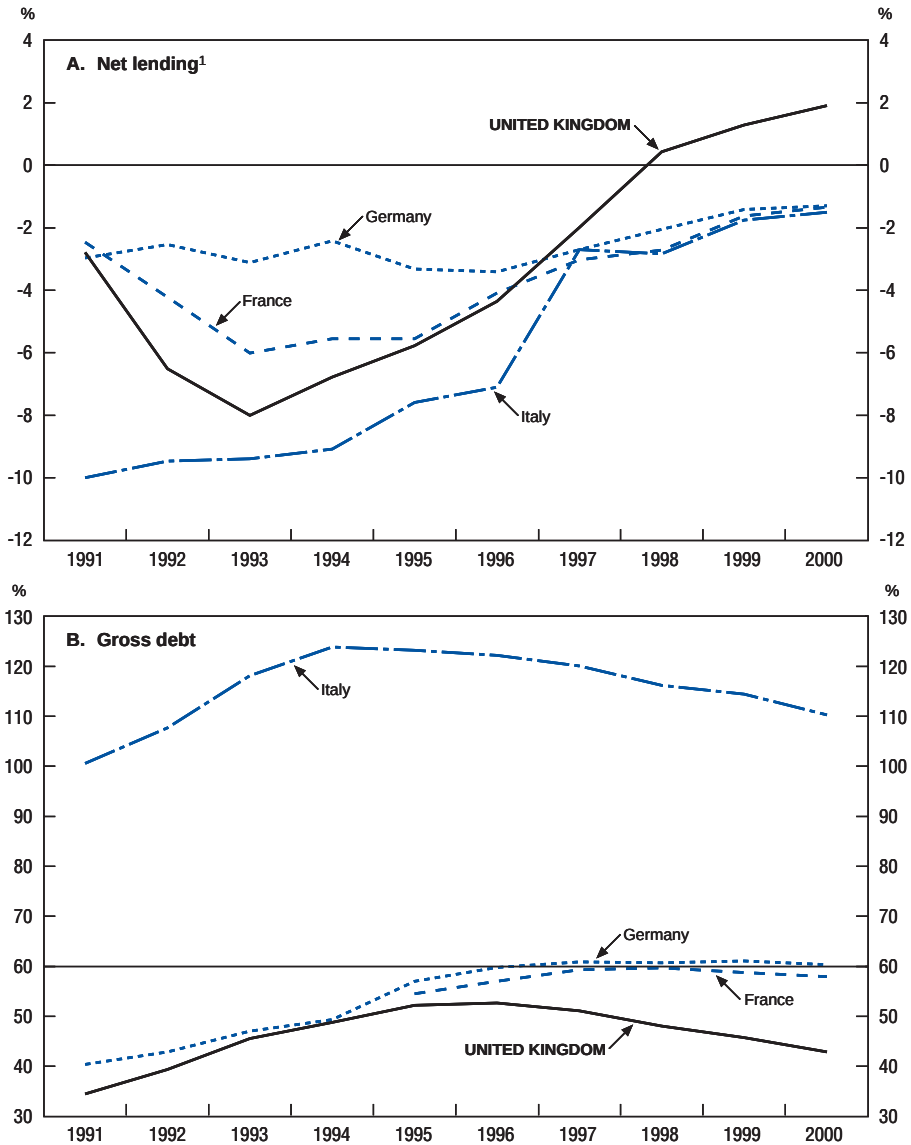
Figure 13. **Fiscal position with respect to the Maastricht criteria**
As a per cent of GDP



1. For 2000, excludes receipts from sale of UMTS licences where applicable (in line with national UK practice). This affects in particular Germany and Italy where net lending would be 1.2 and –0.3 per cent respectively.

Source: National Statistics and Eurostat.

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Table 2. **Public sector finances: selected summary indicators**

As a per cent of GDP[1]

	1999/2000	2000/01	Budget 2001 projections				
			2001/02	2002/03	2003/04	2004/05	2005/06
Flow							
Current receipts							
Budget 1999	39.2	39.4	39.5	39.6	39.7	. .	. .
Budget 2000	39.6	39.7	39.9	39.8	39.4	39.3	. .
Budget 2001	39.6	40.5	40.2	40.1	39.8	39.9	39.8
Latest estimate	39.4	40.0					
Current expenditure							
Budget 1999	37.4	37.4	37.1	37.1	37.1	. .	. .
Budget 2000	36.2	36.8	36.9	37.1	37.2	37.2	. .
Budget 2001	35.9	36.6	37.1	37.3	37.5	37.5	37.5
Latest estimate	35.7	36.1					
Depreciation	1.4	1.3	1.6	1.5	1.5	1.5	1.5
Gross investment[2]	2.5	2.5	3.1	3.4	3.6	3.6	3.6
Net investment[2, 3]	0.5	0.7	1.1	1.5	1.7	1.8	1.8
Cyclically-adjusted balances							
Surplus on current budget							
Budget 1999	0.6	1.0	1.1	0.9	1.0	. .	. .
Budget 2000	1.8	1.3	1.3	1.0	0.7	0.7	. .
Budget 2001	1.9	2.1	1.4	1.1	0.6	0.7	0.7
Latest estimate	2.3	2.7					
Net lending[4]							
Budget 1999	0.0	0.2	0.1	–0.3	–0.4	. .	. .
Budget 2000	1.2	0.5	0.3	–0.5	–1.1	–1.1	. .
Budget 2001	1.6	1.4	0.3	–0.3	–1.1	–1.1	–1.1
Latest estimate	1.8	2.0					
End-period stocks							
Public sector net debt	36.7	31.7	30.3	29.6	29.7	29.9	30.0
Net worth	17.4	18.8	21.3	21.6	21.4	21.0	20.4
Stability and Growth Pact indicators							
Balance[4]	1.7	1.7	0.5	–0.1	–0.9	–0.9	–1.0
Debt ratio	43.7	40.6	37.6	36.1	35.7	35.6	35.6
Memorandum item							
Output gap	0.2	0.6	0.5	0.3	0.2	0.1	0.0

1. Budget 2001 unless noted otherwise
2. Latest estimate for FY2000/01.
3. Equals gross investment minus asset sales and depreciation.
4. The receipts from the UMTS licence auction (amounting to 2.4 per cent of GDP) are treated as rental payments and spread over the duration (21 years) of the licences.

Source: HM Treasury.

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Table 3. **Key fiscal aggregates on a national accounts basis**
General government, calendar year, as a per cent of GDP

	1993	1994	1995	1996	1997	1998	1999	2000	2001[1]	2002[1]	2003[1]
Flows											
Total expenditure	43.2	42.6	42.2	40.7	38.9	37.7	37.1	37.0	38.4	39.4	39.8
Current receipts	35.3	35.9	36.5	36.3	36.7	38.1	38.2	39.0	39.5	39.4	39.1
Financial balances											
Net lending	–7.9	–6.7	–5.8	–4.4	–2.2	0.4	1.1	1.9	1.1	0.0	–0.7
Primary balance[2]	–5.7	–4.1	–2.8	–1.6	0.8	3.2	3.5	4.1	2.9	1.8	1.0
Structural balance[2]	–5.6	–5.6	–5.0	–3.7	–2.0	0.4	1.4	1.9	1.2	0.4	–0.5
Primary structural balance[2]	–3.5	–3.1	–2.1	–0.9	1.0	3.2	3.8	4.1	3.0	2.1	1.2
Gross saving	–6.7	–5.7	–4.7	–4.1	–2.4	0.2	0.9	1.6	1.6	0.7	0.1
Government debt											
Gross[3]	45.4	48.5	51.8	52.3	50.8	47.6	45.2	42.4	41.3	40.5	40.2
Net	30.9	31.1	36.9	38.7	40.1	41.9	36.7	33.1	30.5	29.2	28.5

1. Projections.
2. As a per cent of potential GDP.
3. Maastricht definition.
Source: OECD.

projected for 2003 in the latest vintage of stability and convergence programmes. On the other hand, a deficit of the Union as a whole of a similar size to the United Kingdom is projected in the autumn 2001 *Economic Outlook*. These OECD projections also suggest that the move into a small deficit may be a bit more pronounced than implied by the Budget (Table 3).

This raises two questions. *First*, how "safe" is a 1 per cent deficit compared with the margins needed to avoid being pushed over the 3 per cent Stability and Growth Pact threshold in the event of a slowdown? Treasury estimates suggest that the UK economy can allow the automatic stabilisers to operate fully without breaching the Maastricht Treaty 3 per cent reference value. *Second*, might fiscal outcomes continue to outshine budget projections, in which case the available margins would in fact be more comfortable? In the current situation, however, some of the pleasant fiscal surprises witnessed lately and partly built into the projected revenue ratios, are less likely to reoccur. However, the assumptions underpinning recent budget projections are deliberately cautious, which helps ensure fiscal sustainability.

Budget projections and outcomes to date

Budget 2000, covering the financial year April 2000-March 2001, was made public in March 2000 and its main features were described in the last *Survey*. Taking into account the latest data, current revenue has exceeded and current spending has undershot Budget 2000 projections, respectively by 0.3 and 0.7 percentage

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points of GDP. Coupled with a 0.2 percentage point of GDP shortfall in planned net investment, this led to net lending turning out 1.3 per cent of GDP above the Budget 2000 projection – a surplus of 2.0 per cent of GDP compared with the 0.7 per cent in the Budget.

As in previous years, "over-performance" resulted to some extent from the deliberately cautious assumptions underpinning the budget, but there were also other reasons. The revenue surprise in FY2000/01 stemmed mainly from extra income tax receipts (0.7 percentage point of GDP) and social security contributions (0.1 percentage point), as a result of higher and perhaps also more unequal than anticipated regular earnings and bonuses. Much of this was, however, offset by slight weakness in Corporation Tax, value added tax (VAT) and various other taxes. The bedding in of the still relatively recent self-assessment system may also have played a role, with incomes that heretofore had remained undeclared now recorded and taxed.[32] On the spending side, social security and debt interest outlays came in lower than budgeted, reflecting the fall in unemployment, lower-than-projected interest rates and the larger-than-projected fall in public debt associated with the UMTS auction proceeds. As a matter of fact, virtually all departments spent less than originally planned. This might be partly because they can now carry forward entitlements that were not spent during the fiscal year. Difficulties in setting up various kinds of public-private partnership contracts may also have caused delays.

Budget 2001 was unveiled on 7 March 2001. It contained a number of new measures and confirmed the implementation of others that had been announced in the November 2000 *Pre-Budget Report* or in earlier budget documents. The measures coming into effect in FY2001/02 included:

- An increase of the threshold for the 10 per cent starting rate of the personal income tax by £300 on top of indexation for inflation, which over the medium run will reduce tax receipts by £1 billion per annum (or about 0.1 per cent of GDP).
- A freeze of fuel duties (plus a £1 billion-worth cut for ultra-low sulphur diesel and petrol), and a mere indexation of duties on tobacco products on projected inflation. This contrasted with the automatic annual increases ("escalators") that had prevailed between 1993 and early 2000, justified *inter alia* by environmental and health considerations. The end of the escalator regime has to be seen against the background of the fuel protests and oil refinery blockades that disrupted activity in September 2000 and of the increasing concerns about cross-Channel tobacco smuggling.
- A freeze of alcohol and automobile vehicle excise duties and the abolition of the betting tax (replaced with a tax on bookmakers' gross profits).[33]
- The implementation of the climate change levy applicable to energy use in the business, public and agriculture sectors, which together account for one third of carbon dioxide (CO_2) emissions. It is to raise

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around £1 billion per annum but the associated revenue is recycled through a 0.3 percentage point cut in employer national insurance contributions (implying a net gain for some labour-intensive sectors).

- Various tax relief measures targeted at deprived areas (complete stamp duty exemption for all property transactions, lower VAT rate on conversion of dwellings).
- Additional resources for hospitals and schools, over and above what was committed in Spending Review 2000, which itself exceeded the amounts enshrined in Budget 2000. The Departmental Expenditure Limit for education was raised by £290 million and that for health by £360 million for FY2001/02 (and by similar amounts for the next two years).
- Increases in various family-oriented tax credits compared with the amounts envisaged earlier (for the children's tax credit [CTC], which from April 2001 replaced the married couples allowance that was repealed in April 2000) or compared with mere indexation on inflation (*e.g.* for the working families tax credit [WFTC], which was introduced in October 1999, and for the childcare tax credit limits within the WFTC).
- A 7.4 per cent increase in the basic state pension from April 2001 (to be followed by a 4.1 per cent increase one year later) and a sizeable increase in the minimum income guarantee for pensioners. In total, the pensioners' package is projected to cost £1.6 billion in FY2001/02 and £2.4 billion in FY2002/03.

Budget 2001 also contained measures to come into effect after FY2001/02, of which: the introduction of a year-long CTC top-up for new-born babies of up to £10 per week, as well as an increase in various maternity benefits, starting in FY2002/03; the introduction of two-week paid paternity leave for working fathers from FY2003/04; and a sizeable increase in age-related personal allowances (above indexation) from FY2003/04.

Outturn data for the first five months of FY2001/02 up to August 2001 suggest an acceleration of both current and capital spending, combined with more subdued revenue increases. As a result, public sector net borrowing rose to 0.9 per cent of GDP, from –0.2 per cent a year earlier.[34] Among the unforeseen developments, the foot-and-mouth crisis is estimated to add at least 0.1 per cent of annual GDP to net budgeted spending (for details, see Annex I).

A number of other measures, spelled out in recent budget documents or in the Government's June 2001 strategy on enterprise and productivity (HMT and DTI, 2001), are still up for consultation. Several of them are discussed in Chapter III. They notably relate to:

- The extension of research and development tax credits to larger companies.

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- The tax regime applicable to gains arising on the disposal of substantial shareholdings.
- The taxation of intellectual property, goodwill and other intangibles.
- The introduction of an optional flat VAT rate for smaller firms simply calculated as a percentage of their taxable turnover.
- The consolidation of child-related income support payments, the WFTC and the CTC into a means-tested integrated child credit, which would be introduced in April 2003.
- The extension of the principle of the WFTC to childless low-income families in the form of a means-tested employment tax credit.
- The creation of a pension credit, from 2003, allowing pensioners to benefit from modest private incomes.
- The creation of a new tax credit for community investment that would support projects in deprived areas which cannot attract financing on market terms even if they stand a fair chance to become commercially viable over time.
- The encouragement of saving through "asset-based welfare" schemes (see Annex IV).

Several of these measures have significant and intended redistributional effects in favour of lower income groups, as have the tax and benefit changes that have already been introduced in recent years. Some of the measures may be quite costly and would come on top of existing medium-term spending plans, although the final shape of the measures may significantly depart from the original blueprints, as illustrated by the case of the climate change levy. Moreover, the contingency reserves built into the 2001 Budget have already largely been spent *inter alia* on fighting foot-and-mouth disease and on improving rail safety after the Hatfield crash, prompting a call from the Treasury to spending departments to refrain from demands for further top-ups of expenditure limits.

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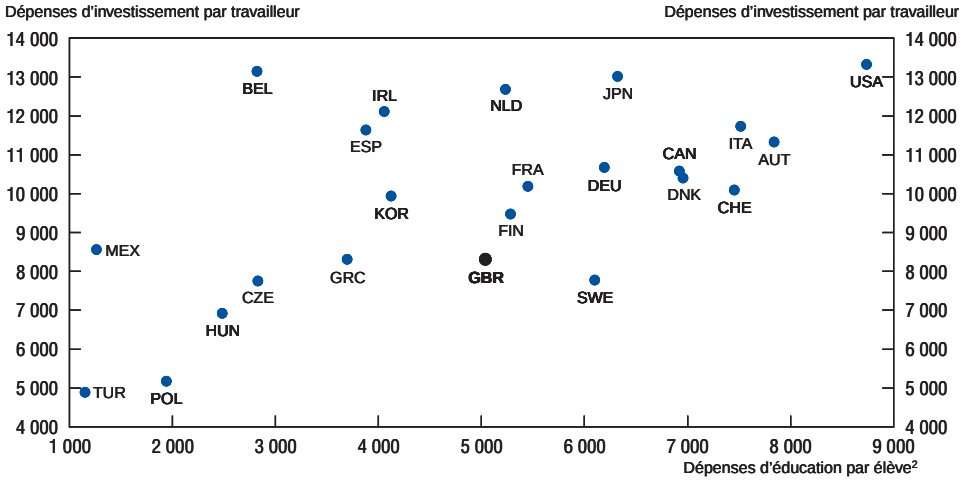
III. Raising productivity to enhance potential growth

Following the June 2001 general elections, the Government stressed that it would step up its efforts to raise productivity by pursuing policies intended to boost physical and human capital and to enhance the capacity to innovate. Despite progress in recent years, the United Kingdom continues to trail behind many other countries in terms of investment per worker and education spending per student (Figure 14), while productivity performance has remained disappointing.

Figure 14. **Investment in human and physical capital**

US dollars converted using PPPs,[1] 1998



1. PPP: Purchasing power parity.
2. Expenditure per student on public and private institutions for all levels of education (based on full-time equivalents).

Source: OECD, *Education at a glance* and OECD Analytical database.

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Table 4. **Structural reform recommendations and follow-up**

Based on previous and current *Surveys* and action taken since 2000

Previous *Surveys*	Main actions taken	Current *Survey*
Labour market		
Early results for the *New Deal* suggest some rise in labour supply, but deadweight losses are considerable.	Extension of New Deal by sector, to older workers (25 years and more, 50 plus), to Lone Parents, for Partners of Unemployed People, for Disabled People.	High dead-weight loss and low sustainability of jobs. Some options of the NDYP do not provide satisfactory results.
Minimum wage: differentiation by age should be maintained.	10.8 per cent increase from October 2001. Age differentiation is maintained.	The assessment of the impact shows little effect on employment. To be monitored closely in the event of a slowdown.
Working families tax credit introduced in October 1999. Should raise participation rates for some categories but may have slight adverse effect on number of hours worked.	£5 increase in WFTC from April 2001.	Participation rates have risen and people have been lifted out of poverty. Yet, take-up is low, and the combination with other benefits still yields high marginal income tax rates.
	Increase of Children's Tax Credit by £1.5 to £10 from April 2001.	Proposed integration of different schemes for children should bring a simplification of the system.
	Disability and carers package.	The high level of benefits provides a disincentive for the disabled to take up.
Restructure *housing benefits* so as to reduce associated work disincentives.	New rules make it easier for people to claim a "run-on" of housing benefit when they leave benefits for work (April 2001).	Incentive problems remain.
Social benefit schemes: fraud and errors remain substantial and a better control and co-ordination of access to various welfare benefits is still needed.	Social Security Fraud Act 2001.	It targets a 10 per cent reduction in fraud by March 2002.
Enhance *education level*.	Educational targets for age groups set.	Targets in the process of being reached for some age group, but 11-14-years-old group is still a problem. Make sure the exam standards are not being lowered.
	More teachers hired and new pay scheme for school teachers.	Nearly all teachers received a bonus, without an obvious link to performance.

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Table 4. **Structural reform recommendations and follow-up** (*cont.*)

Based on previous and current *Surveys* and action taken since 2000

Previous *Surveys*	Main actions taken	Current *Survey*
Product market		
Resources of the *competition authorities* need be targeted appropriately because of the proliferation of M&As.	Resources increased during 2001. Reforms of merger legislation will be included in a soon to be published Enterprise Bill.	It should be ensured that legislation is in line with EC law and does not increase the burden on companies.
Discourage large number of *mergers* notifications.	Further detailed guidance to companies was provided. Fees of £13 000 for a notification decision and £5 000 for a guidance notice are collected.	Policy has been effective.
	Criminalisation of cartel activities is proposed.	Should enhance the deterrent effect.
Concurrent enforcement of competition legislation by OFT and *sector regulators* may be difficult in practice.		The process has not been thoroughly tested yet. The high cost of sector regulators should be scrutinised. Their scope of action should focus narrowly on competition issues.
Remove impediments to efficient use of land or property stifling business development in sectors such as retailing, hotels and software.		Recommendation maintained.
Improve *corporate management* by enhancing the link between boardroom pay and performance.	Under review.	Recommendation maintained.
Improve *corporate governance*.	Proposals in the Company Law Review to suppress the need for an AGM for private companies. For others, information disclosure should be quicker and wider.	These moves may improve the situation, but will need to be kept under review.
	Reform of Insolvency Law.	Ensure that only reckless managers are punished.
Raise *entrepreneurship and innovation*.	Numerous little schemes and tax changes favour SMEs. The R&D tax credit will be extended, various funds have been launched or enlarged for university and business research support.	There should be a thorough assessment of the effectiveness of these schemes. Rationalising them should improve take-up.

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Table 4. **Structural reform recommendations and follow-up** (*cont.*)

Based on previous and current *Surveys* and action taken since 2000

Previous *Surveys*	Main actions taken	Current *Survey*
	Reduced corporate tax rates, enhanced capital allowance for small firms investing in ICT equipment, improved incentives for both individuals and corporation to invest in small firms and reduced capital gains tax on business assets held by individuals.	There has been a significant rise in business investment over the past years, but it is hard to attribute this to specific policy actions.
Reduce *red tape* burden.	Regulatory Reform Act 2001.	Ensure consistency of action between the three bodies involved in regulation, the SBS, the BRTF and the RIU.
Financial market		
	Pension reforms.	Consider the possibility of a minimum level of contributions to private scheme, to ensure an adequate replacement rate.
		Reform BSP and MIG, taking into account the interaction of the Pension Credit and other benefits.
		Implement the conclusions of the Myners report.
	Implementation of the FSA.	Keep the regulatory burden proportionate to the regulatory goals.

Source: OECD.

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This chapter examines recent structural policy initiatives,[35] in particular those most likely to affect investment and productivity. The strong labour market performance in recent years has partly compensated for the drag of subdued productivity growth on living standards. It is now critical to raise labour supply further by improving the labour market programmes put in place during the last Parliament and the coherence of the tax and benefit system. Moreover, lifting education standards will be important for boosting productivity and is a key policy objective. Concerning product markets, the Government focuses on raising innovative capacity, eliminating red tape and stimulating competition. The chapter concludes with a review of policy changes affecting financial markets, focusing on the gradual switch to personal pension schemes and on financial supervision, which saw the emergence of an integrated Financial Services Authority. A synopsis of the OECD's recommendations for structural reform are provided in Table 4.

Building up human capital and raising work incentives

Human capital is critical for raising the economy's potential growth and depends not only on the growth rate of employment but also on how fast its quality improves. A number of policy initiatives have been launched in recent years to address both aspects. These are reviewed below.

Education and skills

Low investment in education over the last couple of decades has taken a toll (Figure 15).[36] According to the International Adult Literacy Survey, only a few OECD countries have a higher percentage of adults with literacy and numeracy skills at the lowest level (OECD, 2000*a*) while educational attainment is weak (Table 5). This results in a poorly skilled workforce (DfEE, 2001*a*). In addition, in-work education and training is less developed than in the OECD on average. Only for tertiary level education does the United Kingdom score relatively well. Even so, home-grown managerial skills are scarce both in the private and in the public sector, as attested *inter alia* by recourse to foreign, often US, top executives.[37] While the best UK managers compare well with the best abroad, there is a long tail of under-performers.

Against this background, the Government decided to spend more on teaching and infrastructure and to target the extra resources on specific age groups, specific projects (such as specialised schools), or specific areas. Concerning physical capital in the education sector, a priority is to renovate buildings and increase investment in information and communication technology (ICT). The required funding is large and the Government intends to involve the private sector to fill the gap. A number of public-private partnerships (PPPs) have been set up to build and run schools, although government intentions are still unclear regarding the scope of future PPPs (see Chapter IV). The number of teachers in

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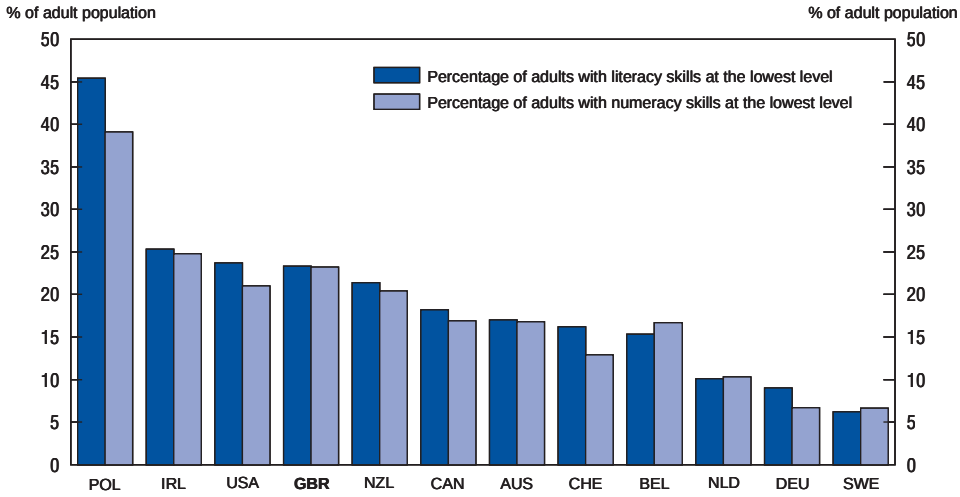
Figure 15. **Literacy and numeracy**
1994-98



Source: OECD.

Table 5. **Educational attainment**
Percentage of the population that has completed at least upper secondary or at least tertiary phases of education by gender and age group, 1999

	Men						Women					
	At least upper secondary[1]			At least tertiary			At least upper secondary[1]			At least tertiary		
Age group	25-34	55-64	total 25-64	25-34	55-64	total 25-64	25-34	55-64	total 25-64	25-34	55-64	total 25-64
United States	87	81	86	36	32	37	89	81	87	39	24	35
Japan	91	63	81	44	19	35	95	57	81	46	10	29
Germany	87	83	86	23	28	28	84	63	76	20	11	17
France[2]	76	48	65	29	14	21	77	36	59	33	11	22
United Kingdom[2]	70	61	69	29	20	26	60	39	53	28	16	24
Italy	53	25	44	9	7	10	58	17	41	11	4	9
Canada	86	64	79	42	28	37	89	60	80	52	27	41

1. Excluding ISCED 3C Short programmes.
2. Not all ISCED 3 programmes meet minimum requirements for ISCED 3C Long programmes. Full details of the ISCED 97 classification system used to define upper secondary and tertiary in individual countries are given in Annex 3 of *Education at a Glance*, OECD 2001.

Source: OECD.

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post has risen by 12 000 since 1998 to over 410 000, but bottlenecks endure. In this context, the Government attempts to entice retired teachers or professionals back into work and is recruiting heavily abroad. Performance-related payments have also been introduced.[38] However, this is not always sufficient to cover the extra costs associated with life in areas lacking teachers, such as London and more generally the South East.[39] So, in spring 2001 the Government announced a recruitment incentives package for teachers moving to work in high cost areas. In addition, the new Starter Home Initiative is helping key public sector workers buy homes.

To improve education outcomes, the Government has adopted a step-by-step strategy, setting targets per age group, and developing alternative curricula, through an increasing number of specialised schools. The first step is to improve literacy and numeracy for the 7 to 11 year-olds. In 2002, 80 per cent of this age group is to reach the standard literacy level (up from 65 per cent in 1998), and 75 per cent the standard numeracy level (up from 59 per cent). By 2000, these targets were reportedly already almost met. The targets set for the 16 year-olds were also nearly achieved but they are much less ambitious. For the 11 to 14-year-olds, further efforts are required. The government's strategy is also based on diversification. Education in secondary schools is becoming increasingly varied across schools, with a rising number of specialised establishments.[40] For instance, the so-called Beacon schools, which share best practice with other schools, help raise standards. Their number has risen rapidly, to around one thousand. Within schools, the number of alternative options included in the national curriculum has expanded (to represent up to half thereof).

While the United Kingdom scores relatively well at the tertiary level in international comparison, the Government has also set recently a target for this sector for 2010. By that time, 50 per cent of young people should have the opportunity to benefit from higher education before they reach the age of 30, from a current level of 40 per cent. However, the budgetary implications could be considerable, with investment in this area running at around £6.6 billion annually in England, although the shift to income-contingent loans for living expenses and the introduction of tuition fees for UK domiciled students have helped to reduce the costs that the taxpayer would otherwise have borne.

Vocational training is improving as well through the work-based training for young people (WBTYP) initiative, introduced in the mid-1990s. It encompasses the modern and foundation apprenticeships and the advanced modern apprenticeship programmes, which aim at providing in-work experience and qualification to 16 to 24 year-olds. Participants usually have full-employed status. Although the schemes will be reformed soon, the WBTYP has been fairly successful, with over 300 000 enrolees at the end of 2000. Around 60 per cent of the participants ended up with a full qualification and close to 70 per cent moved from the programme

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into a job. Following this relative success, funding for learning of people older than 16 years that do not pursue higher education and local funding for enterprise training have been amalgamated in an enhanced common funding system, the Learning and Skills Council since April 2001.

Thus, although education has improved for the young, there is still room for further progress for the 11 to 14 year-olds and older age groups.[41] For example, the individual learning accounts initiative that benefits adults, and was reviewed in the previous *Survey*, have experienced some difficulties. Take-up was faster than expected – with over 2.5 million accounts opened by September 2001 – and the scheme expanded beyond its capacity. Actual usage of accounts was a lot lower (though building up) and there is some evidence that there may have been disproportionate take-up by the already well educated. Due to concerns about its rapid expansion the scheme was suspended in October 2001. Further attention should also be devoted to increase the relatively low upper secondary participation rates and to lower the relatively high proportion of young people not in employment or education.

Labour market developments

As well as a more productive labour force, higher participation would tend to boost potential growth. After nine years of economic expansion, the UK's labour market performance is good, both in international comparison and from a historical perspective. The unemployment rate has steadily come down to levels unseen since the1970s, and employment has increased for both gender groups, albeit at a slightly slower pace recently, to reach close to 75 per cent of the working-age population in June 2001 (Figure 16).[42] During the last Parliament, the Government launched a variety of labour market programmes. Most important are the welfare-to-work programmes under the umbrella of the so-called New Deal, which aim at boosting participation and qualifications, with special attention for disadvantaged groups. The launch of the national minimum wage and ongoing reforms of the welfare system are also intended to reinforce work incentives.

Despite the rapid decline in unemployment, 7.7 million people of working age were classified as economically inactive in June 2001, about the same number as in the mid-1990s or the mid-1980s. Among these, 70 per cent claimed they did not want a job. For men, the main reasons are twofold, in similar proportions: they are either studying, long-term sick or disabled. By contrast, about half of the inactive women cite family care as the main reason for not entering the labour market.[43] The low participation of older men and of the disabled partly reflects the strong incentives to retire early, which led to a sharp fall in the participation rate for 60 to 64 year-old men in the early 1980s. This rate now stands at 50 per cent, against 85 per cent in the early 1970s. Moreover, the disabled are nearly seven times as likely as the others to be out of work and claiming benefits.

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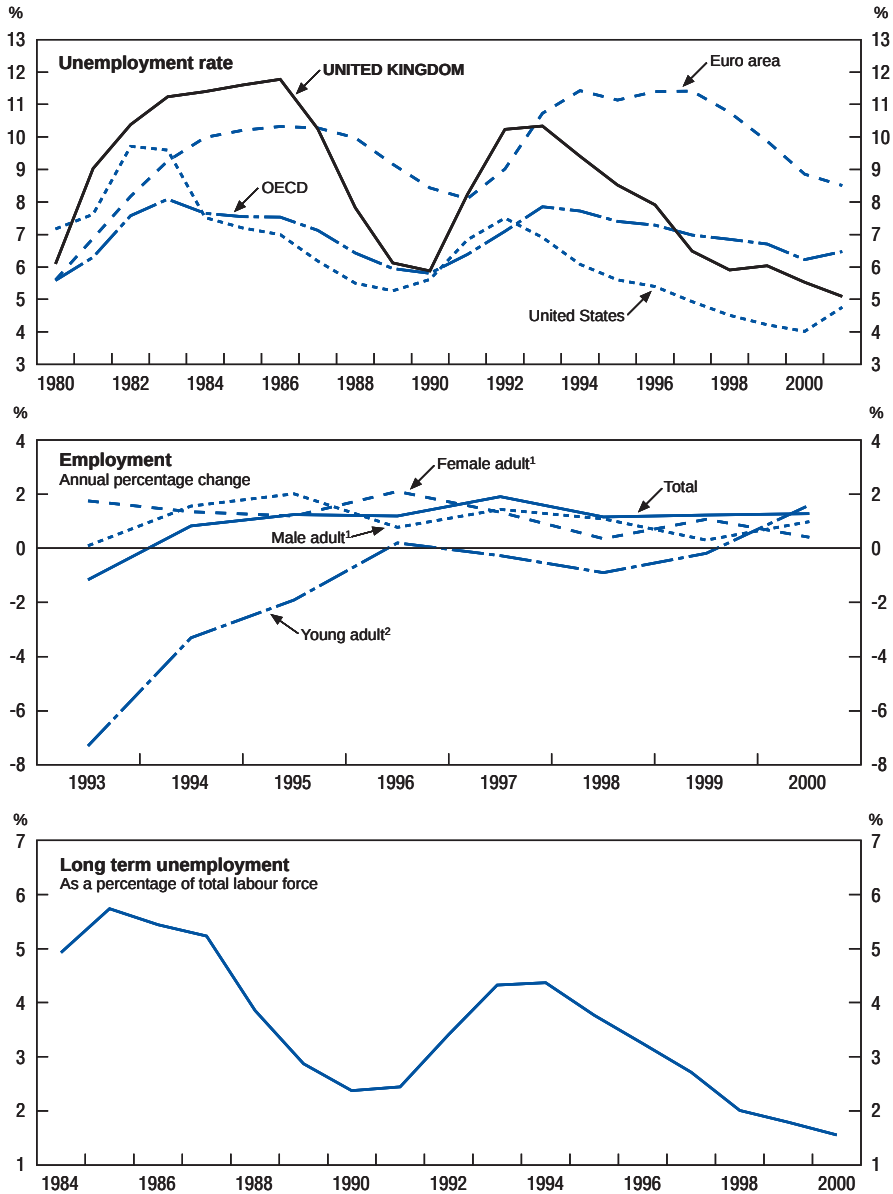
Figure 16. **Labour market indicators**



1. 25-49 years old.
2. 16-24 years old.

Source: National Statistics, *Labour Market Trends* and OECD, *Labour Force Statistics.*

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Overall, there were over 2.6 million disabled people out of work and on benefits in spring 2000.

New Deals

The New Deal was reviewed in-depth in earlier OECD surveys. In short, a New Deal for Young People (NDYP) was launched in 12 pathfinder areas in January 1998 and rolled out nationally three months later. Participation is mandatory for all 18 to 24 year-olds who are unemployed and have been claiming the job seekers allowance (JSA) for six months.[44] On entry, they embark on a four-month Gateway period: a personal adviser assists them with job search, provides career advice and prepares them for one of four options in case they have not found employment by the end of the Gateway: *i*) subsidised employment; *ii*) work on the Environmental Task Force (ETF); *iii*) work with a voluntary sector organisation; or *iv*) full-time education and training (FTET). If a participant declines, fails to take up an option or leaves an option early without good reason, a benefit sanction may be applied (two weeks loss of benefit, increasing to four weeks and then six months for subsequent violations).

A pilot version of a New Deal for the Long-term Unemployed (NDLTU), targeted at those aged 25 or over who have been unemployed for 18 months or more, started in June 1998 and provided personal advisor support and a range of options. However, from April 2001, the programme was extended and intensified on a national basis, building on the pilots and the NDYP and now offers more intensive contact and greater access to support services.

There are several other New Deal programmes, all voluntary and all including advice and guidance from a personal advisor. A New Deal for Lone Parents (NDLP), introduced nationwide in October 1998, is primarily aimed at lone parents claiming income support and, in April 2002, will be extended to all lone parents, regardless of whether or not they receive benefits. From April 2002, the NDLP will include compulsory work-focused interviews. A New Deal for people aged 50 and above (ND50+) started nation-wide in April 2000, aimed at those who have been claiming incapacity benefit, income support or JSA for at least six months. Those finding employment through the programme can receive an employment credit for up to a year. A New Deal for Partners of the Unemployed (NDPU) was rolled out nationally in April 1999. It was extended as the New Deal for Partners in April 2001, to include partners of people who have been receiving income support, incapacity benefit, invalidity care allowance or severe disablement allowance for 6 months or more. A New Deal for Disabled People (NDDP), piloted from September 1998 and extended nationally in July 2001, intends to raise awareness among employers and service providers of the employment needs of disabled people. The New Deal is also being used to address skill short-

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ages, with for instance the recent IT New Deal, which is the first sectoral, employer-led one (Box 1).

The largest programmes in terms of the number of participants are, in order, those for the young, the long-term unemployed and lone parents (Table 6). By July 2001, 684 000 people had participated in the NDYP. Of those who left the Gateway, 60 per cent left the programme and 39 per cent chose one of the four options. Of those who left the programme, 47 per cent took on an unsubsidised job. Among the four options, full time education and training has been the most in demand, although the option has witnessed poor attendance records and high dropout rates. From October 2000, however, measures to intensify the Gateway process have significantly reduced the number of inappropriate referrals to the education and training option. By July 2001 referrals were spread almost equally amongst all the options. For the NDLTU, prior to the recent reforms, the share of

Box 1. The IT New Deal

"Ambition: IT" was announced in March 2001 as a new government-business partnership building on New Deal experience. It encompasses three programmes:

- *Career Ambition* is a three-year pilot programme to help the long-term unemployed and lone parents to become technicians in the IT industry. It aims at providing 5 000 jobs typically paying between £15 000 and £20 000. It is funded up to £14.5 million by the Employment Opportunities Fund.
- *First Ambition* provides opportunities for long-term unemployed and lone parents to take up ICT training. It aims at enrolling 15 000 people in the European Computer Driving Licence* or an equivalent course in its first year.
- *Challenge Ambition* allows New Deal providers to bid for resources to market innovative ICT solutions.

The IT sector business partners for Career Ambition are Cisco Systems, FI Group, Siemens, IBM, Consignia, Cap Gemini, Ernst and Young, Dixons, Sage Group, ICL, EDS, RM plc, Oracle, BT and Microsoft. The unemployed and lone parents who attend this scheme are to be offered employment with one of these companies.

* The European Computer Driving Licence syllabus covers the key concepts of computing, its practical applications and their use in the workplace and society in general. In the United Kingdom, this programme is managed and promoted by the British Computer Society. For details, see *http://www.ecdl.com/*.

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Table 6. **New Deal summary statistics**[1]

To end of…	NDYP (July 2001)	NDLTU (July 2001)	NDLP (July 2001)	NDDP (June 2001)	ND50+ (July 2001)
Number of participants since the start of the programme	683 600	355 400	282 670	n/c	n/c
Currently participating	89 300	26 700	102 520	n/c	n/c
Number of participants who have found jobs to date	319 670	74 170	100 661	8 200	45 039
As *a per cent of total participants*	47	21	36	n/c	n/c

1. n/c = not comparable.
Source: Department of Work and Pensions.

leavers ending up with an unsubsidised job was only 21 per cent. For the NDLP, almost two-thirds of the leavers do not get a job.

A full assessment of the effectiveness of the New Deal cannot yet be carried out, owing to the lack of data and the later start of some programmes. However, the NDYP and the NDLTU before the recent reform have been running for over three years and can be subjected to a first evaluation. At first sight, the sharp drop in youth and very long-term unemployment (*i.e.* exceeding 24 months) looks very encouraging. But this cannot be entirely attributed to the New Deal, as the buoyant economic situation must have played a role. Indeed, various studies suggest that these programmes involve a sizeable dead-weight loss. According to Van Reenen (2001), the increased probability to find a job due to the NDYP programme is about 20 per cent, and Riley and Young (2001) estimated that of those leaving unemployment, between 50 and 80 per cent would have done so in the absence of the programme. This would correspond to an increase in youth employment directly due to the programme of only around 15 000 people two years into the programme. Taking into account some people on the New Deal but recorded as unemployed, the overall reduction in youth unemployment induced by the programme would be around 35 000 (House of Commons Select Committee on Education and Employment Fifth Report, 2001). This would imply a dead-weight loss of 60 per cent.[45] For the NDLTU, in its previous form, the dead-weight loss would have been around 80 per cent.

Although the informational follow-up of New Deal leavers is not complete, the available results to date show differences across options. *First*, the number of people landing in sustained jobs (in the sense of lasting over 13 weeks) is disappointing, especially for the long-term unemployed.[46] Around 40 per cent of job placements through the NDYP are not sustained. For the NDLTU, less than one sixth of the participants entered sustained jobs. *Second*, fewer than 20 per cent of those entering the FTET option achieve the qualification for which they are aiming,

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and only 45 per cent complete a course and obtain a qualification. T*hird*, the voluntary sector and ETF options have been much less popular than these two, and only about a third of the leavers enter unsubsidised employment. An explanation for these relatively disappointing results might be the uneven performance of personal advisors. In some areas, particularly heavy caseloads have triggered high staff turnover. Moreover, sanctions have been inconsistently applied across regions.[47]

It is difficult to provide reliable cost-benefit estimates for the New Deal. The net cost to the Exchequer of each job created due to the NDYP is estimated at around £4 000.[48] But the quantification of the number of jobs created is surrounded by a large margin of uncertainty, as labour market developments have also been affected by other measures, such as the National Childcare Strategy, tax and benefit changes or the introduction of the national minimum wage. It is difficult to disentangle the effect of each of these on labour market participation. After attempting to take into account all of them within a macroeconomic model, Riley and Young (2001) conclude that the NDYP resulted in an aggregate benefit rather than a cost.

Overall, the early New Deal experience suggests that labour supply has increased somewhat. A disappointment, however, is that nearly half of the jobs obtained by leavers are not sustained even for 13 weeks. Moreover, many participants leave the programme for unknown destinations, which tends to undermine the evaluation of the New Deal.[49] The picture would be even bleaker if the definition of a sustained job were widened to 26 weeks. Another problem is that there may be a hard core of participants who are "recycled" through various New Deal options, calling for intensified follow-through efforts. It should be borne in mind, however, that especially in a buoyant labour market the New Deal captures the tail of the distribution of the unemployed, many of whom present severe behavioural problems and are hard to put (back) to work. However, through participation in the New Deal, recruits gain work experience, self-esteem and new skills even if they do not end up in a durable job right away.

N*ational minimum wage*

To make work more attractive and encourage labour market (re-)entry, a national minimum wage (NMW) was introduced in April 1999, at £3.60 per hour. For younger workers (up to and including 21 year-olds), the rate was set at £3.00. The NMW is not automatically indexed but adjusted at irregular intervals by the Government, taking into account the views of a Low Pay Commission (LPC, 2001). The NMW was raised to £3.70 in October 2000 and to £4.10 (or 10.8 per cent) in October 2001. A further 10 pence increase is scheduled for October 2002. For younger workers, the rate was raised to £3.20 in June 2000 and to £3.50 in October 2001, to be followed by another 10 pence one year later.[50] The LPC published its third report in spring 2001. It concluded that overall the introduction of

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the NMW did not put too much of a burden on companies. In fact, based on better data, the LPC's earlier estimate of the impact on the wage bill was revised down to around 0.35 per cent. Some specific sectors were disproportionately affected, however – particularly the hotel and restaurant sector, where prior to its introduction one-fifth of the jobs paid less than the NMW, but also small businesses in such sectors as retailing, community services and textiles.

The NMW has helped reduce the gender pay gap and narrow the overall earnings distribution, with 1.3 million people entitled to higher wages as a result of its introduction, 70 per cent of them being women and two thirds part-time workers. The number of those who benefited from the uprating in 2000 was significantly lower, however, since in a tight labour market wages had risen by more than the 2.8 per cent increase in the NMW. Compliance on the part of employers has generally been high and is improving. There remain some sectors, however, with a lower than average compliance rate, such as care, clothing and textiles, and home work. Within these, ethnic workers are particularly affected.

As noted in the previous *Survey*, the NMW was initially set at a relatively low and age-differentiated level and thus far it has operated in a rather buoyant economic environment. The October 2001 increase is substantial, even though it largely represents a catch-up with the evolution of the average wage. The Bank of England's initial estimate of its impact pointed to a 0.15 per cent boost to the average earnings index and a 0.1 per cent increase in price inflation. It also remains to be seen how the system will fare in the context of a slowdown, and whether indeed the room for discretion offered by the current set-up will be used wisely.

Taxes and benefits

To a large extent, poverty and social exclusion both drive and are driven by failure in education and in the workplace. Moreover, social exclusion is in large part inherited. Hence, insofar as interventions and reduced financial distress lead to fewer teen pregnancies or people with very low levels of literacy, fewer members of the next generation will live and raise their children in deprivation. By committing to abolish child poverty within a generation, the government's strategy does not focus only on redistributive goals, but also reflects the long-term economic objective of raising productivity, through enhanced education and participation in the labour market. Through reforming the tax and benefit system, a substantial effect on poverty can be expected even in the short run.

The poverty rate in the United Kingdom, as reflected by an income below 60 per cent of the national median,[51] is among the highest in the European Union (Figure 17). Indeed, resources are spread unevenly across households: before government intervention, the top quintile on average receives £54 400 per year in original income (earnings, occupational pensions and investments), *i.e.* around 19 times as much as the £2 800 for the bottom quintile (Lakin, 2001).[52]

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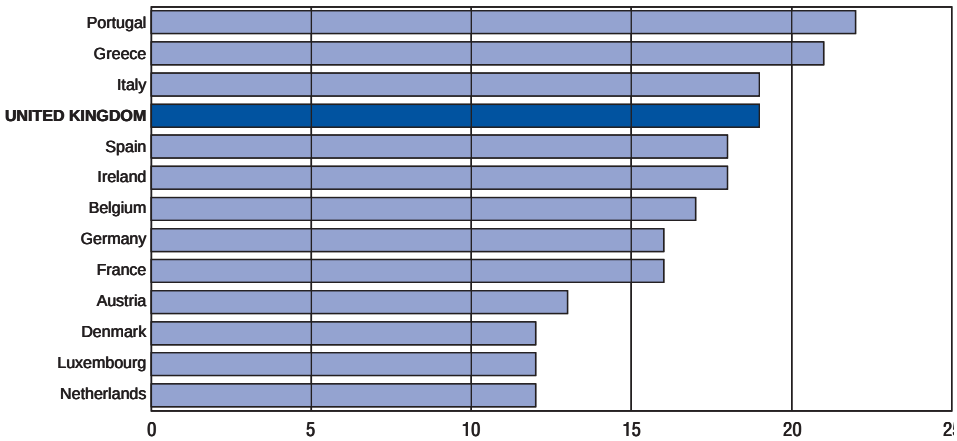
Figure 17. **Poverty**[1]
1996



1. Persons with equivalised total income below 60% of median equivalised total income (%).
Source: European Community Household Panel (ECHP), Eurostat.

However, the tax and benefit system (see Annex V) redistributes income on a significant scale (Figure 18). Cash benefits play the greatest part in reducing income inequality, raising the share of total income received by the bottom quintile from 2 to 6 per cent, while the share of the top quintile is reduced from 52 to 44 per cent. The poorest two quintiles receive 60 per cent of total cash benefits, which corresponds to £5 000 per year. The tax system has a much smaller effect on income inequality: direct taxes have a small equalising effect, but this is reversed by indirect taxation. Altogether, after taxes and benefits, the ratio of the average top quintile over the lowest quintile is reduced to four to one.

Poverty and income inequality, overall as well as for particular sub-groups of the population, have not varied much since the mid-1990s. Micro model simulations of the government's recent reforms suggest that the proportion of poor households should have fallen from 19 per cent in 1997 to 15 per cent in 2001 (Sutherland and Piachaud, 2001).[53] For children, the decline would have been from 26 to 17 per cent.[54] However, the last Household Below Average Income survey suggests that surprisingly little progress had been made by 1999/2000, with relative poverty amongst children essentially unchanged despite a significant decline in absolute poverty from the 1996/97 levels, and some decrease in the percentage of children durably trapped in poverty.

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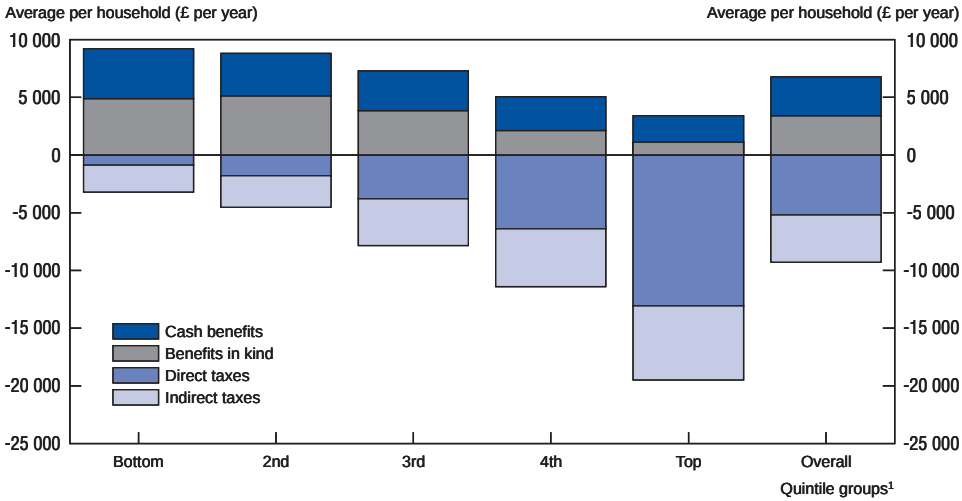
Figure 18. **Redistribution effect of the welfare system**
1999-2000



1. Households are ranked throughout by equivalised disposable incomes.
Source: National Statistics.

The main reason for this is that the figures do not yet reflect key policy measures. The figures are for the year from April 1999 to March 2000, and measures have been implemented in the meantime. The main child poverty measures came into effect towards the end of 1999, and in 2000. The Working Families' Tax Credit was introduced in October 1999, but it replaced Family Credit gradually over six months as people's claims came for renewal. A significant increase in WFTC and Income Support rates followed in Budget 2000, and were implemented in June and October 2000. Other factors could explain that poverty rates have changed little. *First*, incomes have grown briskly in recent years: as a result, relative poverty can rise even as absolute poverty declines. *Second*, there might be a lack of awareness of the various schemes, which would contribute to a low take-up rate, as is typically the case with means-tested benefits. *Last*, the tax and benefit system has become very complex and the effects of various schemes may offset each other to some extent, contributing to trapping some individuals in joblessness and/or poverty (Annex V). For example, for a partner of an unemployed on benefits, work may not pay or an employed person may be trapped in low income (Sutherland, 2001).

Another explanation may be the moving away from universal entitlements towards means-tested benefits. Although means-tested benefits allow to target the intended recipients more precisely,[55] the take-up rate can be low,[56] because of lack

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of understanding about whether people qualify for the benefit or not. In addition, means-tests are more expensive to administer and may lead to higher fraud, although the case management approach adopted by the Government, whereby all claimants have a personal advisor, might lead to some decline in this.[57] However, the overall impact of the WFTC is positive. Early evidence suggests that the WFTC has increased work incentives, especially for full time work, and those lifted out of poverty to date are likely to be working. Moreover, non-employment amongst lone parents, the main target of the measure, has decreased faster than for the whole population between 1997-99 and 1999-2000 (Brewer and Cregg, 2001).

The large number of sick and disabled people is of greater concern (Table 7). The rate of growth of the number of people on incapacity benefits decreased during the 1990s but remains more rapid than in most OECD countries

Table 7. **Social Security benefits and related tax credits**

Fiscal year 2000/01

	£ million	Beneficiaries (thousands)	Composition (per cent)	Per cent of GDP	Characteristics	
					Contributory	Means-tested
Benefits for families[1]	**13 211**		**13**	**1.4**		
WFTC	4 600	1 150[2]	4	0.5	No	Yes
Child benefit	8 611	7 072	8	0.9	No	No
Benefits for unemployed people	**2 907**		**3**	**0.3**	For 16%	For 84%
Benefits for people on low income	**22 810**		**22**	**2.4**		
Income support	8 933	2 207	8	0.9	No	Yes
Housing benefit	11 257	3 968	11	1.2	No	Yes
Council tax benefit	2 620	4 790	2	0.3	No	Yes
Benefits for elderly people	**42 796**		**41**	**4.5**		
Basic retirement pension	33 932	10 878	32	3.6	Part	No
Earnings related pension	4 851		5	0.5	Yes	No
Minimum income guarantee	4 013	1 638	4	0.4	No	Yes
Benefits for sick and disabled people	**17 401**		**16**	**1.8**		
Incapacity benefit[3]	6 536	1 554	6	0.7	Yes	Part
Disability living allowance	6 044	2 160	6	0.6	No	No
Other disability allowances	4 821		5	0.5		
Others	**6 475**		**6**	**0.7**		
Total	**105 600**		**100**	**11.2**		

1. For the WFTC and the Child benefits, the number is based on families, not children.
2. This is the average number of families benefiting at any one time. However, the total number benefiting from WFTC at any one time during the year is likely to be higher.
3. This figure represents the incapacity benefit recipients. Incapacity benefit claimants who do not meet National Insurance contribution conditions will receive income support instead.

Source: HM Treasury, Budget 2001 and Department of Social Security, *http://www.dss.gov.uk/asd/asd4/table8.*

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and the number of recipients is high, despite poor take-up rates.[58] Although about one third of the claimants do not expect to go back to work, another third would like to work. However, the employment rate of the disabled is relatively low compared with other OECD countries. The reasons for the high rate of entry into the disability schemes are hard to pin down. The schemes probably act as a "pressure-valve", as access to other benefits becomes more difficult, and ongoing requirements to receive benefits become more onerous. Yet, the current scheme is still based on the concept of compensating people for being unable to participate in employment, rather than compensating them for the costs of disability. As such, there is still a presumption amongst some recipients that work might actually disqualify them from help. In order to address this, if someone on a disability pension takes up a job but stays for less than a year, he or she can return to the previous level of benefit should the job not work out. Two additional measures were taken. The National Insurance contribution for the disabled returning to work was marginally amended in April 2001, and as mentioned above the Government introduced the NDDP in July 2001. The disabled person's tax credit,[59] launched alongside the WFTC, was also increased. These measures, worthy as they are, seem unlikely to measure-up to the scale of the problem of unemployment amongst the disabled, nor to reduce rates of new entry significantly.

Other legislative measures

There have not been any major changes to employment legislation since the last *Survey*. Mostly, there have been marginal amendments to existing UK rules due to the implementation of EU Directives. Hence, maternity paid leave has been extended from 18 to 26 weeks, to come into force in 2003. At the same date, two weeks paid paternity leave and paid adoption leave will be introduced. On the other hand, the Government is delaying the implementation of the European directive on fixed-term work, which aims at protecting employees on fixed-term contracts by giving them similar rights to comparable permanent staff and preventing employers abusing the flexibility of the fixed-term contract. The Government is also negotiating amendments and implementation delays for certain clauses of the EU directive on informing and consulting employees.

Enhancing innovation and competition

The Government has stressed that the low level of physical investment impeded faster productivity growth. The United Kingdom has long been trailing the other G7 economies, although a significant pick-up occurred in recent years (Figure 19) and the gap with respect to France and Germany has largely closed in real terms, although not in nominal terms.[60] Increasing government investment, so long as well directed, should help improve public services – most notably health, transport and education. But stronger business investment is essential to raise the

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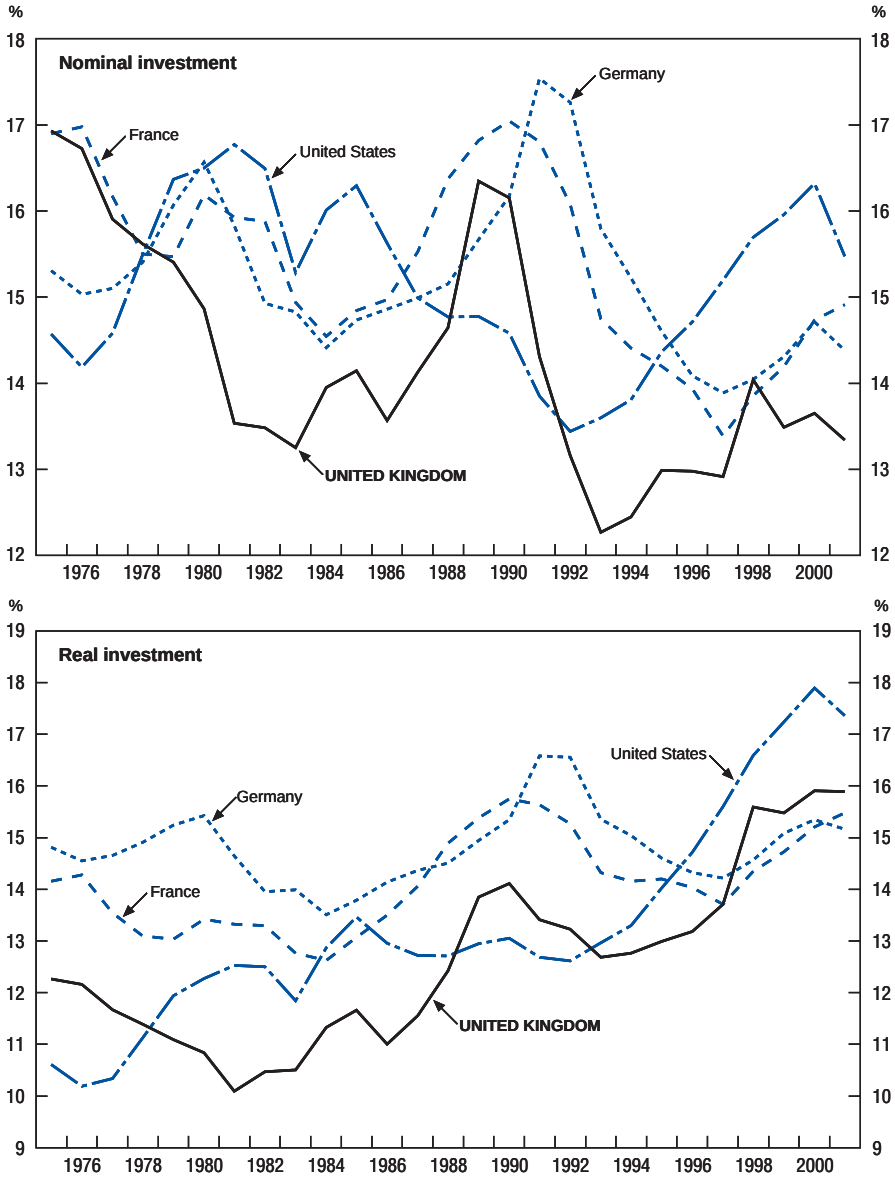
Figure 19. **Total fixed investment, excluding housing in selected G7 countries**
As a percentage of GDP



Source: OECD.

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productivity of the workforce. New plant and equipment embodying the latest technology ensure a more rapid diffusion of new ideas and production methods. Low investment in the past may partly have reflected the uncertainty generated by periodical booms and busts, which led to a greater volatility in demand and the user cost of capital than elsewhere. More recently, the new stability-oriented macroeconomic framework has probably raised business confidence and lifted investment, even though the strong exchange rate worked in the opposite direction in the exposed sector.

While the investment climate has improved, various areas remain of concern. One is the research and development (R&D) gap. While the United Kingdom has a density of scientists and highly educated workers close to the international average, it lags behind other OECD countries in terms of management skills and intermediate qualifications. Moreover, UK businesses spend less per worker on R&D than most of their major competitors, and since 1993, the United Kingdom's relative position has deteriorated, especially *vis-à-vis* the United States and Japan (OECD, MSTI database, May 2001).[61] The United Kingdom also trails the United States, France and Germany in terms of the number of patents granted or filed per head of the population, despite the quality of its academic research. As a result, innovation performance appears weak (OECD, STI Scoreboard 2001).

Barriers to entrepreneurship can also stifle innovation and business creation. Although the United Kingdom scores as having the lowest barriers to entrepreneurship in the OECD (Nicoletti *et al.*, 2000), it does not compare as favourably in terms of new business creation. The latest Global Entrepreneurship Monitor survey shows the United Kingdom performing slightly better than France and Japan, but significantly worse than Canada and the United States (Tsorbatzoglou *et al.*, 2001). The scarcity of risk capital could be one factor behind this, the proportion of informal investors being only about half that of the United States.[62] However, on both accounts the survey shows some recent improvements. Other potential explanations are less intensive use of stock options as part of compensation schemes as well as relatively higher bankruptcy and insolvency costs in the United Kingdom than in Canada and the United States. Moreover, relatively higher tax rates, compared with the United States, both at the personal and corporate levels as well as those on capital gains in the United Kingdom may also have a tendency to discourage entrepreneurship.

Promoting innovation and business creation

Against this background, the Government has launched or enhanced a great variety of schemes, reviewed in the previous *Survey*, often with a view to favouring small and medium-sized enterprises (SMEs). They include measures to foster investment in seed capital, start-ups and small companies as well as measures to alleviate the regulatory and tax burden. For example, the recent Small

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Business Research Initiative aims to increase R&D by SMEs. The Government has also improved the Smart scheme, which provides grants for specific innovation projects carried out by SMEs, when they rely on the collaboration with academia.[63] On the funding side, the Government has built on earlier schemes designed to help close the "equity gap", especially regarding early-stage venture capital, which is still below the EU average (Baygan and Freudenberg, 2000).

Red tape is costly, especially for small businesses. Dissatisfaction with the volume, complexity, clarity and rate of change of legislation runs high (Carter *et al.*, 2000).[64] Government-funded business support also needs to increase its impact, with only a small proportion of SMEs using it. A number of bodies deal with red tape. In April 2000, the Small Business Service (SBS) was launched. The SBS was established to encourage an environment that fosters enterprise, provides support to small firms on compliance with regulations and brings together all government support for small business into one organisation. The Better Regulation Task Force (BRTF) and the Regulatory Impact Unit (RIU) should contribute to lower red tape by promoting principles of quality regulation. The BRTF is an independent body advising the Government on existing and proposed regulation, while the RIU, at the Cabinet Office, monitors regulations and has designed a set of criteria, such as transparency and efficiency that all proposed regulation should satisfy. More generally, the Government has stated its intention to simplify the regulatory framework (OECD, 2002). Already the 2001 Regulatory Reform Act foresees a fast track procedure for the elimination and modernisation of some rules.[65] It remains to be seen whether these measures are effective in reducing the red tape burden. Streamlining the number of bodies and measures involved in the process could contribute to a more efficient and simpler regulatory framework.

The Government plans several changes to the taxation of SMEs. As from FY2002/03, the 10 per cent corporate tax band for the very smallest companies will be widened. The limit for defining an SME is to be expanded from £350 000 to £600 000. VAT payments are to be simplified and automatic fines for late payment removed. In order to help small businesses attract a highly skilled workforce, the Enterprise Management Incentive (EMI) scheme, which allows small companies to grant their employees tax-favoured share options, will be extended to include companies with assets worth up to £30 million.[66] More general tax measures are also in the pipeline. The capital gains tax (CGT) regime should be amended (for the third time in four years): from April 2002, the effective CGT rate for business assets will be reduced to 20 per cent after one year and 10 per cent after two years. Furthermore, the Government is consulting on how to extend the R&D tax credit scheme developed for SMEs to large corporations.[67]

The measures reviewed above are welcome to the extent that they reduce costs or offset market failure. In this respect, increasing the availability of funding contributes to reducing the equity gap, and some schemes have proven successful

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in terms of investment. Yet, they should be weighed against the revenue shortfalls and potential distortions to competition. Exemptions for small businesses should be kept to a minimum as they may affect competition and could be an impediment for small firms to grow.

Yet another reform of competition policy

Direct measures to foster innovation and growth will only fully bear fruit if supported by a sound competition framework. A competitive market, allowing entry of new and innovative firms – together with a level playing field, a light regulatory regime and well-developed and functioning infrastructure – are key to a high level of investment.

Higher prices can reflect a low degree of competition. For example, despite the intervention of the UK Competition Commission (CC), and even though the gap has shrunk somewhat since last year, car prices remain much higher than in the euro area (European Commission, 2001). More generally, a peer review of UK competition policy undertaken by Pricewaterhouse Coopers on behalf of the Department of Trade and Industry reached mixed conclusions. On the whole, the UK competition regime was found to be marginally more effective, on average, than most other European regimes, but markedly less so than the US and German regimes (DTI, 2001*b*). Excluding mergers, its relative strength stems from the quality of economic analysis, the clarity of procedures and the speed of decision-making. Concerning mergers, the lack of political independence was identified as the main issue.

The Competition Act 1998, which came into effect in March 2000, overhauled the competition framework and responded to some of the concerns raised earlier on (OECD, 1996). The organisation of competition policy was streamlined and the investigation powers of the Office of Fair Trading (OFT) enhanced. More generally, the regime has become more closely aligned with EU practices and procedures, which was welcomed by business, limits forum shopping, and seems sensible in a single market. However, the concerns raised with respect to mergers were not addressed, and the Secretary of State for Trade and Industry still dealt ultimately with mergers. However, it was recently announced that, save in exceptional circumstances, the Secretary of State of Trade and Industry would accept the advice received from the OFT on whether or not to refer merger cases to the Competition Commission. Given the evolution of the number of mergers, this should help reduce delays in treating cases and raises transparency.

On the heels of the June 2001 elections, the Government announced its intention to strengthen competition policy, with a series of measures to feature in a forthcoming DTI Enterprise Bill. A white paper was subsequently published setting out a blueprint for a new regime (DTI, 2001*c*). Two important measures are to grant more independence to the OFT and the Competition Commission, espe-

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cially on mergers, and to stiffen sanctions for infringing cartel regulations. Aside from merger policy, it is surprising to see further reform so soon after the implementation of Competition Act 1998. Indeed, the OFT and the CC are still in the process of implementing the measures embodied in the 1998 reform. At the same time, the limited evidence available so far does point to some improvements. The number of complaints has doubled, and in a number of cases, infringing organisations have altered their behaviour when told of the complaint made to the OFT.

The white paper suggests granting extended responsibilities to the CC and the OFT. The CC would see its investigative power extended, and would deal with damages for harmed parties. The OFT would be headed by a board, with members appointed on the basis of their expertise in the competition field. The OFT would also set up a new unit, which would investigate markets on its own initiative, handle complaints from consumer groups as well as individuals and examine government regulation.

The white paper also details proposals concerning the merger regime. F*irstly*, ministers would refrain from intervening in merger decisions, and the competition authorities would have the final word in deciding on mergers, except when "exceptional public interest" issues arise, such as national security. As long as exceptions are kept to a minimum, this should enhance the transparency of the system. S*econdly*, the threshold beyond which mergers qualify for investigation would be amended, the asset threshold being replaced by a turnover one, on the grounds that the increasing role of intangibles, especially in service industries, makes assets less relevant. Yet, choosing the right level might prove to be tricky: if it is too low, it imposes an excessive burden on both business and competition authorities; if it is too high, it does not act as a filter anymore. T*hirdly*, the "public interest" test, against which mergers are currently assessed, would be foregone. This test, set out in the Fair Trading Act 1973, is broad ranging, taking into account factors such as the impact on the environment and employment, although in practice competition authorities have tended to focus mainly on competition issues.[68] For investigations, the white paper proposes to use a more stringent "substantial lessening of competition test", as is currently done in the United States, Canada and Australia.

Finally, a controversial proposal is the criminalisation of cartel behaviour, as is currently the case in the United States, Canada, Japan, Korea and some European countries. The Government argues that it would focus the minds of those tempted to engage in such an activity and that innocent managers have nothing to fear. The Confederation of British Industry has pointed out that the Competition Act 1998 already foresees fines of up to 10 per cent of turnover, for up to three years. This deterrent, however, may be less powerful than individual responsibility under the criminal code. Since the Competition Act came into force, no company has been found guilty of cartel behaviour, and only two companies have incurred a condemnation for

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abusing a dominant position.[69] While eight investigations into cartels have been launched, there have been over forty cases launched in total in which there are reasonable grounds to suspect infringement of the prohibitions in the Act. The other cases include refusal to supply, predation and resale price maintenance. Hence, it is difficult to assess the deterrent effect of the current set-up.

Regulating utilities

Sectors or utilities, where natural monopoly plays a role, cannot be governed by general competition legislation. This is most notably the case in gas and electricity, water and railways. For those, there is a need for specific regulation. The UK regime is based on sector regulators, which have powers concurrent to those of the OFT to enforce the Competition Act in their sectors.[70] It was complemented by the Utilities Act 2000, which is still in the process of being implemented. Since the last *Survey*, the main change has been the merger of the gas and electricity regulators into a single energy regulator, the Office of Gas and Electricity Markets (OFGEM).[71] At the same time, the Gas Consumers Council expanded to cover electricity issues as well and is now called Energywatch. It looks after all consumers' (households and companies) interests and is able to obtain and publish information from energy suppliers and regulators.

Some concerns about the effectiveness of the sectoral regulators have been raised. A Treasury report (HMT, 2001*a*) highlighted their growing costs. The operating costs of the four utility regulators soared in recent years to some £100 million in FY2000/01. However, this is equivalent to no more than 0.2 per cent of the turnover of these utilities. The increase reflects a temporary factor, the transition costs associated with the introduction of a very substantive reform agenda to extend market-based arrangements in both the gas and electricity sector and the widening scope of the regulators' functions. Beyond sectoral regulation, they also have to monitor compliance with environmental and social criteria. In the case of gas, electricity, railways, airports and the Civil Aviation Authority (CAA), they also have some responsibility for safety.

Another official report (Better Regulatory Task Force, 2001) highlighted some concerns about the "regulatory culture". One example of this is the view that OFGEM and the Government have introduced or propose to introduce major reform initiatives with very substantial transitional costs for the private sector without first demonstrating that these will yield net benefits. Another example is the controversy that has developed around OFGEM's proposal to introduce a market abuse licence condition for certain electricity generator licences. This proposal was rejected in an appeal to the CC on substantive grounds, but was subsequently supported by the Government in March and August 2001. Hence, OFGEM and the Government will now introduce its proposal in a manner which will not provide a reference to the CC, thereby undermining the independence of the CC.

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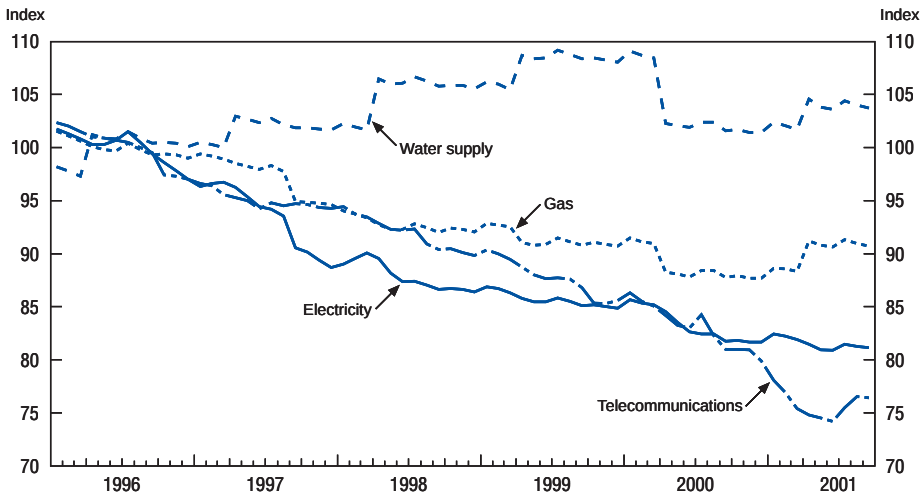
Figure 20. **Utility prices**
Total HICP = 100



Source: Eurostat.

On the retail side of the utilities market, it is too early to evaluate the impact of the new competition and consumer protection framework, but the benefits of earlier privatisation and liberalisation have led to a significant reduction in relative prices (Figure 20). Some of the earlier competition problems in the utilities markets have or will be addressed by the very substantive reform agenda in the energy sector. It will take some time for these complex market-oriented reforms to bed down and there is a range of views about the worth of some of the prospective reforms in the gas market, given the likely size of transitional and transactions costs. As well, it remains to be seen whether new efforts in the rail sector, that have been necessary to address the safety issues thrown up under the previous system, will result in a sustainable regulatory framework. Moreover, the telecommunications regulator appears to have difficulties to persuade British Telecom to open its local exchanges to competition.[72]

Modernising company law

The current Company Law is out of date and complex. It is the product of a nineteenth century institutional set-up and of a succession of technical amendments that lacked a long-term view and clear underlying concepts (Jordan, 1998).[73] As a result, companies striving to act responsibly – *vis-à-vis* shareholders, employ-

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ees, creditors, trading-partners or the wider community – are sometimes uncertain where their legal duties lie, and information about company performance often does not meet today's needs. Among other things, a modern company law will need to take into account the dramatic changes in ownership structure that have occurred over the last decades, with the share of individual holding of equities dwindling and institutional holdings now accounting for the bulk of listed equity. Against this background, a far-reaching and independent review was begun in early 1998 and its final report published in mid-2001 (Company Law Review Steering Group, 2001). The review proposes a simpler framework, a greater role for shareholders and more timely legislative adaptations in the future.

The proposals include a default regime that will suit the majority of companies. The proposed default regime is primarily for private companies, rather than focusing on small companies. This default regime would allow lighter reporting requirements, the removal of the requirement for an Annual General Meeting (AGM), a simplification of capital requirements and streamlined administrative procedures. For accounting and auditing purposes, however, the regime would not make the distinction between private and public, but rather between small and other companies.

Concerning corporate governance, the ultimate objective is to enhance the accountability of management towards shareholders. There could be more stringent requirements that would increase transparency and disclosure from the management side, through a statutory statement of directors' responsibilities towards employees, suppliers and customers, as well as shareholders. It is also proposed that directors' contracts be shortened and regularly reviewed. Effective control by the shareholders should be improved by increased disclosure of the firm's strategy and operations, and a speedier procedure for their publication, particularly through enhanced use of electronic media. An Operating and Financial Review, for larger companies, published alongside the documentation for the AGM, presenting the strategy and details of future plans, as well as any relationships with a wide range of other parties, such as employees and suppliers, where these were material to an understanding of the business, would provide for a more thorough evaluation of the company's operations and long-term strategy. Furthermore, institutional fund managers would have to disclose to those they represented the way in which they have exercised their power during the AGM. The process of executing votes on key company resolutions would be audited, and companies should report on the votes recorded on all resolutions put to the poll.

Although there is no real consensus in the literature on the efficiency of different corporate systems, a number of studies have underlined weaknesses in management control in the United Kingdom (OECD, 1998). Compared to previous attempts at modernising company law, some progress is proposed in this review,

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particularly regarding the voting behaviour of institutional investors. However, boardroom pay remains an open issue, with increases in executive pay that continue to often far outstrip wage adjustments and show only a weak link with company performance.

Finally, to ensure that legislation evolves with the business landscape a Company Law and Reporting Commission would keep it under review, and make suggestions to the Government. It would be supported by three other structures, which already exist but whose areas of expertise would be marginally amended. The Standards Board would make detailed rules on accounting and reporting, and more generally on business conduct requirements. The Private Companies Committee would pay special attention to the impact of company law and reporting requirements on private companies. The Reporting Review Panel would be the watchdog of public and large private companies' reporting procedures, ensuring they comply with the requirements of the Companies Act.

Insolvency law

Business creation should not be unduly deterred by fear of failure. Until the early 1980s, there was a standard procedure to manage bankruptcies, irrespective of the origin of the failure. The Insolvency Act 1986 introduced some flexibility, with the option of company voluntary arrangements (CVA) that allowed insolvent companies to keep going under an administrator, while debts are paid off. But in practice, CVAs have seldom been used, and insolvent companies were much more likely to face administrative receivership, instigated by a secured creditor. The Government now proposes to reform the procedure, to replace administrative receivership (which is a unilateral procedure, not recognised as an insolvency procedure internationally) into administration, which is subject to ultimate supervision by the courts. The reform will also reduce the priority of tax authorities as creditors. Another important proposal aims at reducing the stigma of bankruptcy on individuals. Reckless managerial behaviour would be treated more severely, by imposing a bankruptcy restriction order (BRO) lasting between two and fifteen years. On the other hand, the length of bankruptcy restriction for "standard failures" would be reduced to one year at most. Yet, there would be more responsibility on the director, who would be financially liable for a period of up to three years, regardless of whether or not he has been discharged. The distinction between honest and dishonest bankruptcies might, in practice, be difficult to establish.

Improving financial intermediation

The financial sector has always played a prominent role in the United Kingdom, representing nearly 6 per cent of value added in 1999 (against about 4.5 per cent in France and Germany, but 8.2 per cent in the United States) and 4.3 per cent of total employment, (against 3.4 per cent in France and Germany and

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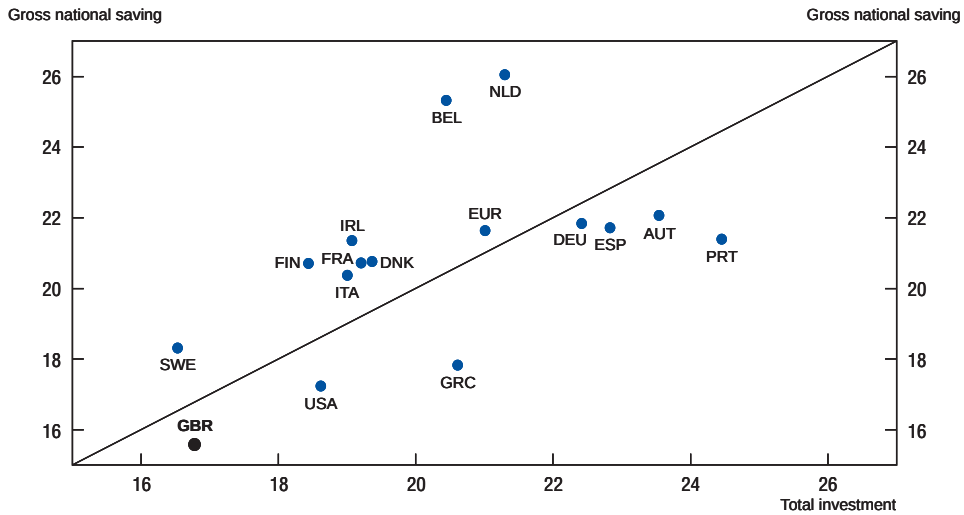
Figure 21. **Investment and saving**
Average 1991-2000, in per cent of GDP



Source: OECD.

similar to the United States). Its fortunes therefore have a greater direct impact on overall macroeconomic performance than elsewhere, apart from the United States. Financial intermediation also has an indirect impact, which depends on how well it matches and boosts saving and investment. Notwithstanding a thriving City, saving and investment tend to be lower in the United Kingdom than in other OECD countries (Figure 21). Furthermore, the efficiency of the financial sector has become even more important with the gradual shift of the pension system from state to private finance.

Will pension reforms increase saving?

Starting in the 1980s, the relative importance of state-funded pensions declined, and the role of privately-financed pension arrangements, generally based on a mix of employer and employee contributions, increased. More recently, measures have been taken to enhance the role of private pensions for middle-income individuals, and to provide poor pensioners with a minimum income. The result is a complex three-tier system (Box 2 and Figure 22).

The new framework raises a number of questions. F*irst*, a high fraction of the population still does not make sufficient contributions to a private pension to

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Box 2. Main elements of the pension system and recent changes

- The first tier provides a minimum pension to all pensioners. Since April 1999, all individuals get a modest flat-rate Basic State Pension (BSP), financed on a pay-as-you go basis. In addition, those with low-incomes and little wealth are eligible for the Minimum Income Guarantee (MIG) top-up, which currently brings their income up to £92.15 per week for a single pensioner and £140.55 for a couple. They may also benefit from the housing and council tax benefits. To give an incentive to save to people just above the threshold for MIG, the Government has proposed the introduction of a Pension Credit from April 2003 (as explained in more detail by Clark, 2001).
- The second tier is the most complex, and has been significantly modified by the 1999 Welfare Reform and Pensions Act (WRPA). Until April 2002, employees receiving earnings within a certain band (£67-£535 per week in FY2000/01) build up entitlements to the State Earnings-Related Pension scheme (SERPS), in addition to the BSP, unless they choose to contract out of SERPS. In this case, they must join either their employer's occupational pension scheme or a personal pension scheme. Then, both employee and employers receive a rebate on their national insurance contributions (NIC). There is no legal obligation for an employer to set up an occupational pension scheme nor for an employee to join. Both the BSP and the SERPS are financed from the NIC.
- The recent reforms spelled out in the WRPA will modify this system as follows:
  - The SERPS will be replaced by a state second pension (SSP) from April 2002. Initially earnings-related, it is proposed to become flat-rate in time, even though contributions will remain earnings-related, a feature intended to provide an incentive to middle and high-income earners to contract out.
  - New stakeholder pension schemes (SHPs) will be introduced in 2001, principally intended to give an incentive for middle-income earners to join a private personal pension scheme. All businesses with five or more employees are required to arrange a SHP for their staff. All SHP are registered with the Occupational Pensions Regulatory Authority (OPRA).* Employees may directly contribute from their wage (in return for lower NIC), but employers do not have to make any contribution on their employees' behalf.
- The third tier consists of other, voluntary private retirement saving, involving additional contributions into occupational pension plans, additional saving through personal pensions, or other financial assets, supported by a preferential tax treatment, as for the other elements of the pension systems.

Coverage of the workforce by occupational pension schemes has been fairly static at around 50 per cent since the late 1960s. Of the remainder, about half are members of SERPS and half have opted out into a personal pension scheme. On the other hand, self-employed are only required to have a basic pension.

* OPRA is responsible for registering stakeholder pension schemes, regulating compliance with the registration requirements, regulating scheme management including the payment of contributions to the scheme, and enforcing the conditions that define a stakeholder pension and allow it to be registered.

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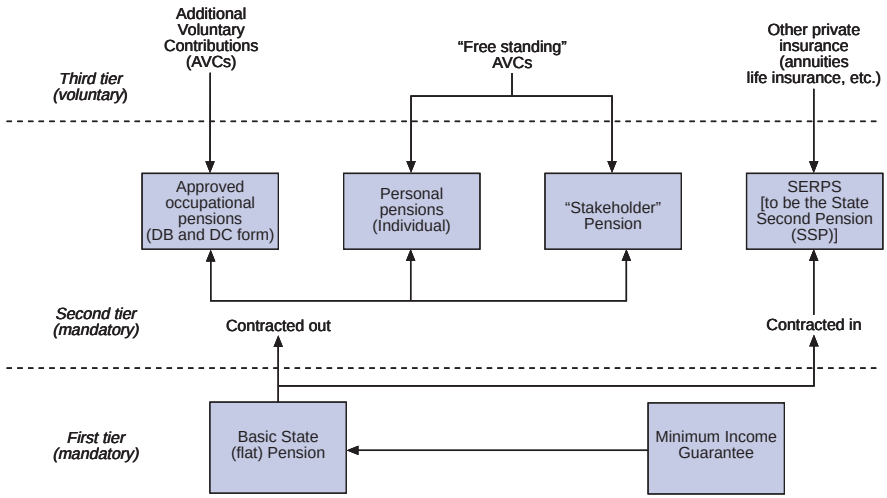
Figure 22. **The pension system**
2001



Source: Disney, Emmerson and Tanner (1999).

obtain an adequate replacement rate upon retirement (Disney *et al.*, 2001*a*). *Second*, the existence of an income and assets-tested benefit system in social care may prove to be a disincentive to household retirement saving. *Third*, the current configuration leads to a largely income-assets tested system. As the BSP is indexed on prices (while the MIG is indexed on earnings), its earnings value will decline rapidly over the years.[74] Thus, in order to keep low-income pensioners out of poverty, an earnings-linked MIG risks covering an increasing number of people. The Pension Credit will be introduced to tackle the disincentive to save induced by the MIG. The relationship of the Pension Credit with Housing Benefit and Council Tax Benefit (CTB), described in Annex V, needs to be designed carefully in order to ensure pensioners do not fall into a poverty trap. At the same time, it will make stakeholder pensions for low-income savers less attractive. Overall, there is a tension between the short-term aim of lifting pensioners out of poverty and the long-term objectives.

At the aggregate level, there is some evidence that the reforms that occurred over the last fifteen years have not significantly increased the aggregate saving rate, because they have not changed saving behaviour with respect to retirement sufficiently (Disney *et al.*, 2001*b*). Notwithstanding a switch from Social Security pension contributions towards private pension contributions over the last

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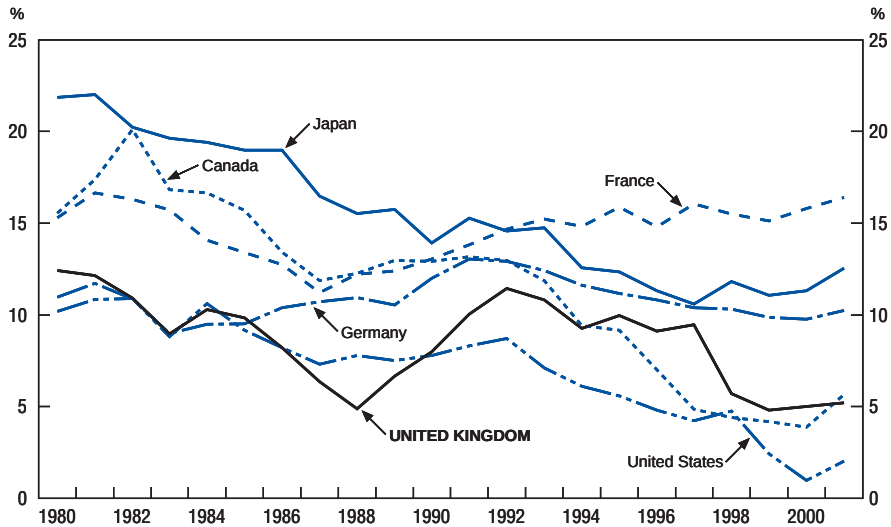
Figure 23. **Evolution of the household saving rate**



Source: OECD.

decades, the additional saving through personal pensions and in the holding of equities has been confined to individuals in the upper end of the income distribution, for whom it largely represented substitution between savings vehicles. Aggregate data do not show a significant rise in retirement saving, and none in total household saving (Figure 23).[75]

Regulating pension funds

A crucial element for the future attractiveness of the private sector pension vehicles will be an efficiently operating capital market, providing adequate protection for individuals. The 1995 Pensions Act established the Operational Pensions Regulatory Authority (OPRA) as the regulatory authority for the pensions industry, financed by a general levy on pension schemes. Every pension scheme has to appoint an auditor and an actuary, who must report to OPRA on the scheme's administration. The Act also established the Pensions Compensation Board (PCB), which administers a compensation scheme, funded via a specific compensation levy. This set-up regulates the operation of trustees and protects individuals in case of insolvency of the company and in cases of misbehaviour. It requires trustees to prepare and maintain a statement of investment principles specifying the strategic objectives of the pension fund according to a set of criteria on investments.

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A recent review found that in practice savers' money could be better invested, as capital is not well allocated (Myners, 2001). More specifically, the review pointed towards a lack of professionalism of trustees in charge of pension funds: most of them are not paid, do not have the required skills, and tend to rely on investment consulting firms for advice, whose performance is usually not reviewed. The design of the funds was also found to be poor. The time scale over which the fund performance should be assessed is too short (being quarterly or annual), the so-called "peer-group" benchmarks induce herd behaviour and risk control procedures lead fund managers to cling closely to stock market indices. Finally, charges are often unduly high, which may be partly due to the costs of broking commissions, which have so far been subjected to insufficient scrutiny.[76]

Against this background, the Government has established a set of principles for institutional investment decision-making, which have been gathered in a Code that will be reviewed in two years.[77] It also announced a series of measures, including most prominently:

- Legislation to require trustees to be familiar with investment issues.
- The requirement for trustees to establish a clear strategy for the funds, appropriately timed, and a regular assessment of the objectives and the associated risks.
- The reduction of regulatory obstacles to pension funds investing in private equity limited partnerships, by removing the requirement to invest through an FSA-authorised person.
- The incorporation of the principle of the US Department of Labor interpretative bulletin on shareholder activism into UK law, so as to enhance active fund management.[78]
- The abolishment of the minimum funding requirement (MFR) for pension funds and its replacement by a long-term scheme-specific funding standard, with additional protective measures, including a statutory duty of care for the scheme actuary, stricter rules on voluntary wind-up and extended compensation for fraud.[79]

Further reforms of the treatment of pension funds and other institutional investors may be on the horizon. The Government has launched a simplification of the regulation of private pensions, aiming at reducing the bureaucratic burdens on providers and making them easier to understand for scheme members. It has also set up a review of the market for medium and long-term retail investment, looking at two main issues: whether the consumer is well served with products that are low cost and offer attractive returns in relation to the risks involved; and whether the incentives for investment performance that operate in the industry lead to an effective allocation of capital.

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Reorganising financial supervision

There is no single model of financial services and market regulation in the world. Nevertheless, while the debate inevitably reflects country-specific factors, there have been reforms in many countries in recent years, mirroring the evolution of the structure of financial systems and the business of regulated firms. The decision to bring together various supervisory agencies was taken in the knowledge that linkages within the financial services industry had been growing for some time and that traditional functional distinctions between firms were eroding quickly. An integrated regulatory response was seen as the best option for addressing market changes in a way that was beneficial for consumers and appropriate for firms.[80]

Against this background, the United Kingdom opted for a highly integrated supervision model. In 1997, the Bank of England was granted a larger measure of independence and kept in charge of systemic stability, acting as the lender of last resort. The responsibility for prudential regulation and supervision of banks, however, was transferred to a new Financial Services Authority (FSA). The latter has also absorbed all the other specialised City regulators, including the Building Societies Commission, the Friendly Societies Commission, the Investment Management Regulatory Organisation, the Personal Investment Authority, the Register of Friendly Societies and the Securities and Futures Authority. It also took over the Treasury's supervision responsibilities for insurance. After a four-year transitional period, the FSA is now fully in charge of prudential as well as conduct of business regulation for all financial institutions.[81] It is one of the most powerful and centralised financial regulators world-wide, writing the rules, monitoring the industry, and handing out civil and criminal sanctions. It is also responsible for the listing authority function previously undertaken by the Stock Exchange. Its statutory objectives are to: *i*) maintain confidence in the UK financial system; *ii*) promote public understanding thereof, including awareness of the benefits and risks associated with different kinds of investment; *iii*) secure the appropriate degree of protection for consumers; and *iv*) reduce the extent to which a business carried on by a regulated person can be used for purposes relating to financial crime.

In principle, highly integrated supervision has several pros and cons. A possible problem is that the large field of competence might blur its objectives and strategy whereas sectorally specialised agencies might have been more focused and hence more effective regulators.[82] A single agency may also become overly bureaucratic and centralised, leading to "one-size-fits-all" type regulation. On the other hand, while a multiple-agency regime may create a potential for regulatory arbitrage and inconsistent regulation, a single agency should lead to homogeneous prudential requirements across different lines of business. From the point of view of the financial institutions, the focus on institutions rather than

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parts of them should trigger a more personalised supervision and a more efficient relationship with the regulator, avoiding the trap of a "box-ticking" approach to regulation. More globally, a single agency should have a better understanding and monitoring not only of individual financial institution risks but also of financial market risks as a whole. To avoid a one-size-fits-all approach, the FSA has divided supervised firms into four categories (A-D) on the basis of risks that these firms pose to the FSA's statutory objectives. The intensity of the supervisory regime will vary according to classification. The FSA's programme of risk-based supervision (Arrow) is designed to ensure this categorisation is kept under review. On site supervision and dialogue with firms is a long-standing feature of UK financial supervision. The FSA is building on this tradition.

On the operational side a variety of regulatory regimes will be replaced by one regime focused on meeting the four statutory objectives. The regulatory approach is intended to be flexible, focusing on issues, markets and firms where it is warranted by an assessment of the impact and probability of the risks these pose to the FSA meeting the objectives. The Rules and Guidance, which will apply to authorised firms, have been brought together in the FSA's Handbook. The regime makes clear the responsibility of firms' management for the conduct of their business. A firm must take care to maintain effective arrangements for compliance with requirements under the regulatory system. The regime for tackling market abuse has been changed. The market abuse regime will also allow the FSA to take action against individuals engaged in the misuse of information, the creation of false or misleading impressions or market distortion. Senior management will be directly responsible for the creation and revision of suitable compliance arrangements, as well as the implementation of management performance and risk assessment.

In introducing a wide-ranging new regime for all authorised firms, there have been concerns that compliance costs would rise. The United Kingdom has, however, put in place mechanisms to constrain such increases. There is a statutory obligation on the FSA to have regard to the costs it imposes being proportionate to the expected benefits. To this end, it must conduct a cost-benefit analysis of proposed rule changes. Regulatory initiatives must also be taken before statutory practitioner panels and practitioners are represented on the FSA Board. The FSA is also committed to publishing for comment all proposed rule changes and encourages industry participation at an early stage through discussion papers (FSA, 2001).

Although it is still too early to assess the merits of the new regime, a recent study came to mixed conclusions (Lascelles, 2001). On the one hand, it is perceived that the regime is becoming more legalistic and rule-driven, with increasing compliance costs. The relationship between the City and the FSA is also considered bureaucratic, resting on impersonal relationships owing to a high

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turnover in the FSA staff. On the other hand, there is no evidence that the City would have lost any attractiveness as the major European financial centre and there are a number of mechanisms through which firms can make representations to the FSA on a range of issues. However, a financial regime is most thoroughly tested when the economy enters a downturn or difficulties at large financial institution occurs. In this respect the FSA is currently coping with Equitable Life Assurance Society (Box 3) and the provisional liquidation of Independent Insurance.[83] Moreover, even before 11 September lower stock prices led a number of life insurers to come close to fail the resilience tests. They require these companies to meet all liabilities even if the value of their equity assets falls by 25 per cent. Following the further sharp stock market decline after 11 September the FSA relaxed part of this rule, because it did not want to force insurers to sell equities as a result of market volatility which had reduced equity values to a low point relative to long term trends. The key part of the resilience test (namely a requirement to consider further potential falls by reference to trends in company earnings relative to fixed interest yields) is though still in place and is designed to strike a balance between the objective of protecting balance sheets against adverse movements in equity values (relative to long-term trends) and maintaining market confidence. This episode shows that the rules of the resilience test do not work well as they were waived as soon as they became binding and the change in rules encourages weaker life insurers to take greater risks by staying in equities.

One of the main innovations introduced in 1997 is the separation of the function of banking supervision from that of the lender of last resort (LORL), for which the Bank of England continues to be responsible. Advocates for a narrow role of the central bank argue that it should only provide liquidity to the market through large operations, when faced with systemic risk, on the grounds that the market will efficiently allocate liquidity to worthy institutions. Yet, the web of adverse externalities and risks of contagion in financial crises provides a case against pure *laissez-faire*.[84] Indeed, not that long ago, in 1984, the Bank of England rescued a private bank.[85] More recently, in 1991, it intervened in response to pressure on the interbank market, resulting from a number of clearing banks' withdrawal of funds from smaller banks and building societies. It was also called upon in the later scandals of the BCCI and Barings, although in those cases no rescue actions were taken.

Admitting a role for the central bank as a LOLR raises the question of the gains from linking this function with prudential supervision. The latter will confer a high level of knowledge of each institution's financial situation, which in turn could be used to assess the health of the overall financial system. Should the LOLR be deprived of this information, it could be argued that it should lend funds only to institutions that could readily borrow them in the free markets. Against this background, the Treasury, the Bank of England and the FSA signed a memorandum of understanding in October 1997. The latter requires the FSA to provide the Bank

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Box 3. Equitable Life

The facts

Equitable Life is one of the major UK mutual societies, selling life insurance and pension products. Until 1988, it sold policies with a guaranteed annuity rate (GAR) of 7 per cent. This might have looked reasonable at the time but in the 1990s interest rates declined, and GAR rates began to exceed rates available in the open market in 1993. While the problem was short lived as annuity rates soon rose again, Equitable responded to the possibility of recurring problems by introducing a policy of differential bonuses. The effect was to allow annuitants to draw the same income from the same value of fund, regardless of whether the annuitant had a GAR contract or not. This policy became effective again from the middle of 1997, as the GAR became valuable when set against the background of declining annuity rates. Some GAR policyholders contested the policy of the Society and took it to court. The House of Lords decided in July 2000 in favour of GAR annuitants: they were entitled to the same bonus as non-GAR policyholders and an annuity based on their guaranteed rates. The House of Lords also ruled against any "ring-fencing" of the liability within the GAR policyholders. This gave rise to potentially significant extra costs for the society. It decided that it would meet these costs by withholding further allocations of final bonuses for seven months in 2000. It then sought a purchaser, believing that the proceeds from the sale would enable the society to restore the withheld bonuses. However, no offers were received for the whole of the business. The society decided that it should close to new business and subsequently sold part of its business operations to Halifax Group for £500 million with up to a further £500 million payable contingent on certain outcomes being achieved, such as policyholders giving up guarantee.

Some questions for the new framework

The Equitable Life case is a test for the prudential supervision framework, raising questions as to the protection and awareness of consumers, the monitoring of financial institutions and the procedures of the FSA.

On the client side, savers have seen the value of their funds cut by a large amount, which might even grow whilst a solution is looked for. The consumers' disarray illustrates their lack of understanding of financial products. At a time where the State is increasingly transferring the responsibility of pensions to the private sector, it underlines the necessity of putting in place appropriate consumer protection, adviser training and disclosure rules. The more educated the consumer and the better financial disclosure regulation, the greater will be market discipline in complementing and/or replacing regulation.

The affair also raises questions concerning supervision procedures. The Treasury Select Committee of the House of Commons reported in March 2001 that the prudential regulator should have raised the issue of GAR, as they were defined, as early as 1993. It also uncovered deficiencies in the account reports, with differences between the statutory accounts and the documents for the regulators.

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Box 3. **Equitable Life** (*cont.*)

Overall, the efficiency of prudential supervision is put into question, regarding both its ability to identify risks and its speed to react to events and to put subsequent procedures in place, both for consumers and for the firm's management. The Equitable Life problem has been investigated by the FSA, which has published a report and drew recommendations for the life insurance industry (FSA, 2001). More particularly, the report recommends that the FSA:

- Restructures the current prudential framework so that the required minimum capital reflects all the risks in the business.
- Adopts a more proactive attitude towards regulation and the assessment of risk.
- Increases communication within the different divisions of the FSA, more particularly those concerning prudential supervision, conduct of business and customers' interests.
- Reviews its rules on disclosure so as to strike the right balance between preserving some confidentiality in the interest of maintaining financial stability, operating in a transparent manner, and satisfying customer information requirements through meaningful public disclosure. To this aim, the information provided by firms should be enhanced to be timely and sufficient to assess the risk of customer detriment.

free and open access to supervisory records, cross-sitting of FSA and Bank top management in their counterparty's governing body and monthly meetings of a standing committee of the institutions' top managers.

Controlling the stability of the financial system also rests on monitoring reserves and capital. The new framework will be the so-called draft Basel II Accord, published in January 2001 and currently open for consultation, with a view to coming into effect in 2005. It relies on three pillars: *i*) new capital requirements for credit risk plus an operational risk charge; *ii*) supervisory intervention when a bank's risk profile warrants it; *iii*) greater disclosure to enhance market discipline. Compared with the 1988 Accord, capital requirements will be much more closely tied to the riskiness of particular exposures. Greater allowance will be made for credit risk mitigation, be it in the form of guarantees or as regards recognition of securities as collateral. Banks will slot assets into weighting bands according to ratings delivered by eligible rating agencies, or will use their internal risk assessment models if they have the supervisor's imprimatur. Under the latter approach, books that are more concentrated than average will carry higher capital requirements, and *vice versa* (Jackson, 2001). Operational risk stemming from fraud,

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IT failures, legal problems and the like were traditionally subsumed within the overall credit risk requirement, but will now be treated separately.

Under the second pillar, prudential authorities will have to gauge the quality of risk assessment within an institution, which is likely to be a difficult task. Finally, both the measures of risks and the methodology chosen for their assessment will be publicly disclosed, acting as a signalling and enforcing device. Although this should enhance risk monitoring and transparency, it will require a significant investment for banks in human resources. Indeed, a recent report rang the alarm bell on the lack of preparation of UK institutions with respect to Basel II, especially concerning the initiation of operational and credit risk assessments (KPMG, 2001*a*). Set against this, it should be noted that the UK supervision regime already operates a well-developed form of supervisory review and takes operational risk issues into account when assessing systems and controls and in setting minimum capital ratios for banks. UK banks are well capitalised compared to the minimum 8 per cent international benchmark for capital to risk weighted assets. Compliance with Basel solvency requirements is not problematic. As in many countries, many institutions are considering the extent to which they might want to use some of the more advanced options for determining credit and operational risk capital charges. The FSA does not believe there is evidence to suggest that UK banks have specific difficulties *vis-à-vis* banks from other G10 countries. Implementation of the Basel Accord in the United Kingdom will depend critically on the timely implementation of directives at the EU level. Delays in implementation could lead to an uneven competitive playing field *vis-à-vis* the United States and Japan.

While risk management will probably improve under the new regime, challenges could lie ahead. In the event of a recession bank profitability declines because of write-offs and provisions, while more borrowers are subject to default, hence raising the measured risk of banks and therefore capital requirements. Thus, risk assessment will need to be forward-looking and be able to distinguish between the effect of the business cycle from the underlying risk trends (Clementi, 2001).

Assessment

Investing in human capital yields benefits to individuals in the form of additional earnings, improved employability and stronger attachment to the labour market and to society as a whole. Spending on teaching and infrastructure has been stepped up significantly, and specific targets for educational achievements have been set. It will take time for these changes to yield aggregate benefits, and further progress is needed in some respects, most notably for the 11 to 14 year-olds and for older age groups. Bottlenecks in hiring educational staff persist and a more radical reform of the payment scheme may be needed.

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The pursuit of a very active labour market policy has contributed to raising labour supply somewhat. Preliminary evidence on the earliest New Deal schemes suggests that they do raise the probability of finding a job, even though dead-weight losses are considerable and some options may need to be redesigned. Moreover, many long-term unemployed have faced difficulties in remaining in a job. This has been addressed by the changes to the NDLTU in April 2001. Also the recently increased national minimum wage has made joining the labour market more attractive for the low-skilled. Within a buoyant economy, it has contributed to reducing the gender gap and, to a lesser extent, inequality in pay. While it has raised wages and inflation marginally, there is no evidence so far of adverse labour demand effects.

The high level of poverty is of great concern, and is being addressed by a range of policies to raise employability (the WFTC in October 1999, the CTC in April 2001 and the NMW in April 1999) and by providing more transfers to the least well-off. Public transfers to low-income households reduce both poverty in the short term and poverty persistence. Tax credits support this process by enhancing attachment to the labour market. The low take-up rates for a number of benefits probably reflect the complexity of the system. The interaction between the various schemes and the high degree of means -testing of benefits imply that the low-paid can face very high marginal tax rates and get caught in poverty traps. The prevalence of high marginal income tax rates (METRs) has declined with the introduction of the WFTC, however. On the other hand, the number of sick and disabled benefit claimants is very high, and recent measures are unlikely to reduce entry into the disability scheme much. Compared to the extent of the reforms undertaken to make work pay and to put people back into work, results in terms of poverty reduction have yet to emerge.

Poverty had also been an important issue for pensioners, but the Minimum Income Guarantee has increased the income of the poorest pensioners. The pension system is undergoing an important transformation, which will have important implications for the level of future pensions. The continued growth of personally financed pensions, especially the introduction of stakeholder pensions, should encourage more pension saving. An immediate concern is to ensure that individuals put aside enough money to obtain an adequate replacement rate. Another option that could be considered in the longer term to encourage people to save for retirement would be to increase the level of contributions above that required for BSP and SERPS. A more permanent issue is the trade-off between increasing returns from investing in risky assets and consumer protection. In this respect a robust regulatory and competitive framework for the financial institutions is needed and the recent recommendations of the Myners report should be implemented swiftly.

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The Competition Act 1998 was a major step towards raising the effectiveness of competition policy. As it was only fully enacted in March 2000, it is too early for a full assessment. More recently, this reform was complemented by a major review of merger procedures and the proposal to criminalise cartel activities, both of which are welcome. Regarding the regulation of utilities, their regulatory remit appears too wide and their costs have increased steeply. Several proposals for reforms have been put forward. One option would be to reduce their field of competency, by handing back environmental and social issues to the relevant ministries. Similarly, it is unclear whether there is still a need for special sectoral competition-policy regimes, given that competition law has become stronger and the regulators have the power to apply it (OECD, 2002).

At the same time, Company Law is being overhauled. A comprehensive strategy has been developed to replace the former piecemeal approach. The proposed default regime for private companies will provide a lighter and clearer governance framework. For public companies, scrutiny by shareholders will be enhanced, through a higher level of disclosure and better AGM practices. Yet, some long-standing issues have not been tackled, for instance, the rather weak link between performance and remuneration at the managerial level.

Innovation and entrepreneurship should not be impeded by fear of failure. The reform of the Insolvency Law, by distinguishing reckless managers from others, goes in the right direction, even though it may not be easy to make this distinction in practice. Entrepreneurship is also supported by the efforts to reduce red tape, schemes aimed at raising R&D and venture capital and the implementation of tax changes in favour of SMEs. While some policy initiatives appear to be successful there is a multiplicity of schemes and bodies that focus on both small enterprise issues, and overall regulatory issues, which has led to a great complexity of the business environment. The Government has stated its intention to simplify the regulatory framework and should follow up with concrete measures to address the current complex system. Moreover, the benefits from these initiatives should be weighed against the potential distortions to competition and revenue shortfalls.

In the financial sector, the sectoral regulators were replaced by a new single authority, the FSA. This will integrate regulation across sectors at a time of increasing cross-sectoral convergence. It also means that banking supervision and the lender of last resort function of the Bank of England are now separated. A potential risk would be that the lender of last resort is not sufficiently well informed about the development of financial institutions. This issue has been addressed by a memorandum of understanding between HM Treasury, the Bank of England and the FSA, regular, formal and informal, contact between the institutions. There is no consensus on the best model for regulating financial markets. On the other hand, the advantage of a single big regulator is that it focuses on all

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of the financial risks of a financial institution, yet it may also become more bureaucratic and engender higher compliance costs. One early assessment of the FSA has argued along these lines, but the FSA is subject to mechanisms for ensuring that compliance costs are constrained. The FSA has currently to cope with the troubled Equitable Life company and the provisional liquidation of Independent Insurance. A tougher test for the robustness of the new framework could soon come, if the economy were to enter a more protracted slow-down, as part of the business sector is highly indebted. The FSA has already effectively relaxed the resilience test rules concerning equity holdings of life insurers in view of the downward pressures on equities.

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IV. Managing public expenditure

Currently, the UK's fiscal situation and outlook is better than for many years, with expenditure now financed without heavy recourse to borrowing. This has been the combined result of sustained fiscal rigour during much of the 1990s and a firm recovery from the recession that hit the economy at the beginning of the decade. The attention has now turned to consolidating this achievement while tackling with priority the sorely needed improvement in the quality of several key public services, such as education, health care and public transport. Traditionally, budget managers at all levels of the administration have had to grapple with strict top-down allocation of funding across spending departments, programmes and – importantly – public enterprises on an annual basis. This feature and decisions to consolidate the budget without raising taxes has led to a squeeze of discretionary investment spending over time and a deterioration of public service provision. The need to address these deficiencies motivated the present government, after it took office in 1997, to develop a new framework for fiscal management and to continue the emphasis on mobilising the private sector where this is expected to yield gains in operational efficiency.

In the light of these developments, this chapter examines key issues relating to the management of public expenditure in the United Kingdom. The chapter first analyses longer-term trends in public expenditure in the United Kingdom and their main determinants and future challenges. This is followed by three sections discussing, respectively, the new budgetary framework, the growing role of the private sector in the provision of public services and issues relating to fiscal federalism. It concludes with suggestions for further change.

Trends in public expenditure and forces shaping them

Public spending as a share of GDP rose sharply in the 1960s and 1970s, ratcheting up with each economic slowdown, as in most OECD countries (Figure 24).[86] However, while elsewhere this was generally followed by a stabilisation in the 1980s and some decline in the course of the 1990s, public spending restraint in the United Kingdom started much earlier and was much more pronounced. Aside from favourable cyclical developments, this reflected *inter alia* the

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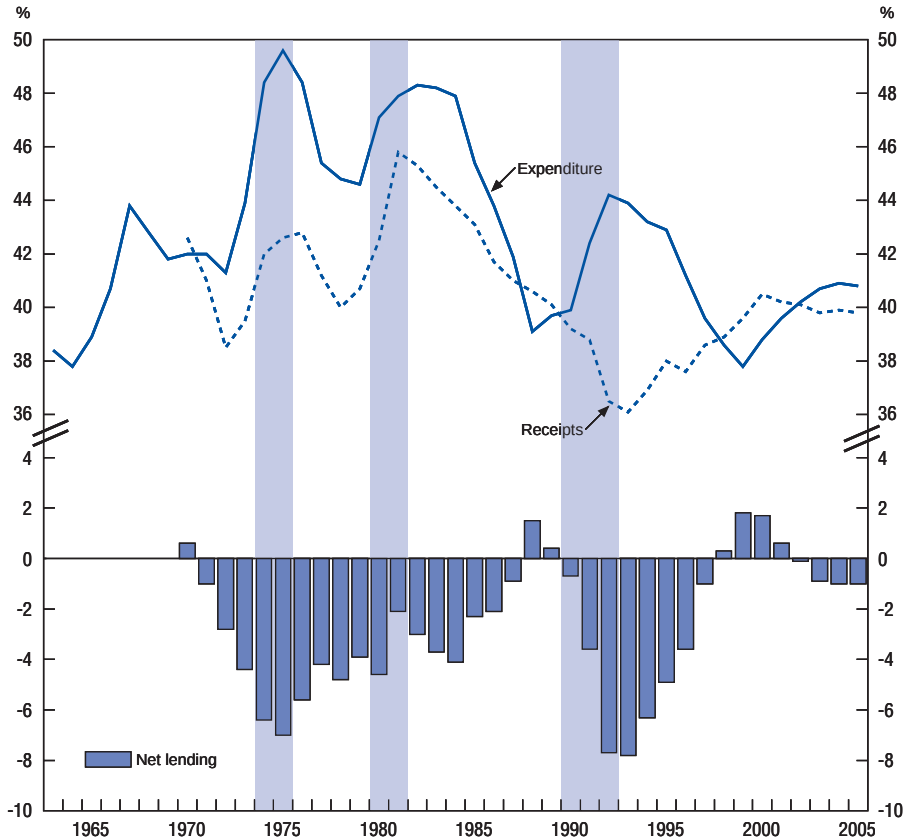
Figure 24. **Public sector expenditure, receipts and balance**[1]
Per cent of GDP



1. Shaded areas are recessions.
Source: HM Treasury and OECD.

privatisation of many state-owned enterprises and former public services, with the proceeds used to reduce debt and hence debt servicing cost. In addition, the United Kingdom went further than most OECD countries in cutting public transfers and/or converting them into tax credits and private insurance.[87] The new government entering office in 1997 initially stayed on a fiscal consolidation track, and public spending continued to decline sharply in the first half of its first term. As a result, by the end of the 1990s public outlays as a per cent of GDP had reached a historical low, close to their mid-1960s level. However, with the public sector

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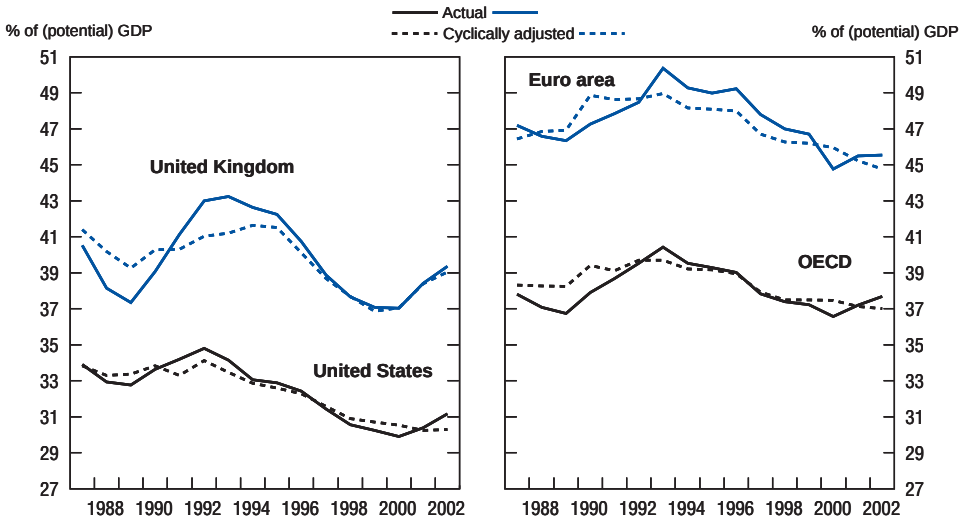
Figure 25. **Actual and cyclically-adjusted general government expenditure**



Source: OECD.

accounts in comfortable surplus, spending cuts were partially reversed in the run up to the June 2001 elections and official projections are for further increases over the medium term.

Presently, public expenditure is roughly at a par with the OECD average of around 38 per cent of GDP, and practically halfway between the expenditure ratios in the United States (around 30 per cent of GDP) and the European Union (around 45 per cent of GDP).[88] This also holds broadly in cyclically-adjusted terms (Figure 25). Looking at expenditure by function (Tables 8[89] and 9), for which, unfortunately, internationally comparable National Accounts data stop in the mid-1990s, the United Kingdom's record is also more or less average, although differences with some other major OECD countries are striking:

– Expenditure on pure *public goods* (including justice and defence), at around 5 per cent of GDP, is similar to that in most other major OECD countries, although much lower than in the United States and France. It fell sharply in the first half of the 1990s with cuts in the defence budget as the Cold War unwound.

– The GDP share of expenditure on *merit goods* (education, health and social services), at around 11 per cent, is slightly below the EU average, and well below the expenditure shares in *e.g.* France and Germany

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Table 8. **Public sector outlays by function**
Per cent of potential GDP

	1989/90	1996/97	1999/00	2000/01	Changes 1989/90-1996/97	Changes 1996/97-1999/00	Changes 1999/00-2000/01
I. Public goods	6.0	4.9	4.6	4.7	–1.2	–0.2	0.1
Law and order	2.0	2.1	2.1	2.2	0.1	0.0	0.1
Defence	4.1	2.8	2.5	2.5	–1.3	–0.3	0.0
II. Merit goods	10.7	11.2	11.2	12.0	0.5	0.0	0.7
Education	4.9	4.7	4.5	4.8	–0.2	–0.1	0.3
Health	4.9	5.3	5.4	5.7	0.4	0.2	0.3
Social services	0.9	1.3	1.3	1.4	0.4	0.0	0.1
III. Income transfers	10.4	12.5	11.4	11.3	2.1	–1.1	–0.2
IV. Economic services	4.5	3.9	2.7	3.2	–0.6	–1.2	0.5
Transport	1.6	1.3	0.9	1.0	–0.3	–0.4	0.1
Housing	1.0	0.6	0.3	0.4	–0.4	–0.3	0.1
Trade and industry	1.5	1.2	1.0	1.2	–0.3	–0.2	0.2
Agriculture	0.4	0.8	0.5	0.6	0.4	–0.3	0.1
V. Others	5.3	4.9	5.0	5.2	–0.4	0.2	0.2
I-V. Total primary expenditure	37.0	37.3	35.0	36.4	0.3	–2.3	1.4
VI. Debt interest	4.2	3.7	2.8	2.8	–0.5	–0.9	0.0
I-VI. Total	41.1	41.0	37.8	39.2	–0.1	–3.2	1.4

Source: HM Treasury submission and OECD.

(14 per cent). It has picked up more recently, however, reaching 12 per cent of GDP in 2000, and should rise further in the medium run.

– Spending on *income transfers*, at around 15 per cent of GDP, is again below the EU average (18 per cent), and well below that in the major European countries (between 18 and 20 per cent), but substantially above the United States (around 9 per cent). This spending category has been on a persistent downward path since the mid-1990s.

– Expenditure on *economic services* (transport infrastructure, housing, etc.) is a relatively small expenditure category in most OECD countries (4 per cent of GDP on average), but even more so in the United Kingdom (3 per cent of GDP). It has shown a long-lasting and significant decline relative to GDP, in part reflecting the privatisation of nationalised industries and public services and a fall in investment in the construction of public dwellings. Expenditure in this category has picked more recently, however.

In comparison with some major European countries public expenditure on merit goods like health care and education has been relatively low. This feature is often cited in the public debate as an indication of under-funding, the more so

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Table 9. **Structure of government outlays by function in OECD countries**

1995 or latest year available

As a per cent of	Public goods[1]		Merit goods[2]		Income transfers		Economic services		Public debt interest	
	GDP	Total outlays[3]	GDP	Total outlays[3]	GDP	Total outlays[3]	GDP	Total outlays[3]	GDP	Total outlays[3]
Australia	8.2	21.8	10.5	27.9	9.0	23.9	5.6	14.9	4.1	10.9
Austria	4.5	8.6	11.9	22.8	19.2	36.8	3.1	5.9	4.4	8.4
Canada	2.9	6.3	12.3	26.6	11.5	24.8	2.4	5.2	9.6	20.7
Denmark	6.0	10.0	16.5	27.5	20.8	34.7	5.6	9.3	6.4	10.7
Finland	3.3	6.1	15.2	28.0	22.5	41.4	1.1	2.0	4.0	7.4
France	9.2	16.6	14.1	25.5	20.9	37.7	3.1	5.6	3.5	6.3
Germany	5.2	10.5	13.9	28.0	18.2	38.6	4.5	9.1	3.7	7.4
Italy	6.5	12.5	10.2	19.5	17.9	34.3	4.6	8.8	11.5	22.0
Japan	4.5	12.3	10.1	27.7	12.8	35.1	5.3	14.5	3.8	10.4
Korea	5.7	29.7	5.6	29.2	1.8	9.4	3.7	19.3	0.5	2.6
Netherlands	11.6	22.2	12.0	23.0	19.2	36.8	6.4	12.3	5.9	11.3
New Zealand	5.3	13.6	10.6	27.2	13.5	34.7	. .	. .	4.8	12.3
Norway	6.3	12.1	18.4	35.4	15.9	30.6	7.2	13.8	2.8	5.4
Portugal	8.3	6.6	10.6	21.2	12.1	24.2	6.3	12.6	6.3	12.6
Spain	9.9	21.9	10.6	23.5	14.9	33.0	5.9	13.1	5.2	11.5
Sweden	5.9	8.4	17.2	26.7	21.2	32.9	3.4	5.0	6.8	10.5
United Kingdom	**5.4**	**12.4**	**11.5**	**26.4**	**15.6**	**35.8**	**3.3**	**7.6**	**3.6**	**8.3**
United States	9.2	26.8	11.9	34.7	9.4	27.4	2.8	8.2	4.8	14.0
European Union[4]	6.9	12.3	13.1	27.5	18.4	35.1	4.3	8.3	5.6	10.6
Average of countries above	**6.5**	**14.9**	**12.4**	**26.7**	**15.4**	**31.8**	**3.9**	**9.3**	**5.1**	**10.7**

1. Defence, general public services and other functions.
2. Education, health and other social services.
3. Expenditure shares may not add up to 100 per cent as expenditure by function and total expenditure are derived from different sources.
4. Excluding Belgium, Greece, Ireland and Luxembourg.

Source: OECD.

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since headline indicators on outcomes do not paint a positive picture. Indeed, as discussed in Chapter III, reflecting education and learning patterns over past decades, the spread of skill endowments is wider than in most OECD countries and has been associated with a comparably large incidence of open poverty. Moreover, as discussed in the special chapter on health care policies contained in the previous *Economic Survey*, the United Kingdom portrays mediocre scores on health status by international standards. However, the low level of *private* health and education spending in the United Kingdom is more marked than that of public spending, the latter being less out of line with other countries (Figure 26).[90] This reflects the universal public delivery of health care and education practically free of charge, which is unlikely to change fundamentally in the immediate future. The ongoing debate is centred on the issue of outsourcing the operation of hospitals and schools to the private sector via public-private partnerships in order to raise operational efficiency, and less on changing delivery and charging structures.

A striking feature of public expenditure in the United Kingdom has been the persistent decline in public investment outlays. As a result, by 1999 its share of GDP was the lowest of a broad sample of OECD countries (Table 10 and Figure 27). To some extent this reflects the privatisation of state-owned companies and a shift toward privately funded public infrastructure investment under the Private Finance Initiative (PFI) adopted in the early 1990s – which in principle is not included in public sector investment (see below). However, the general picture holds also if adjustment is made for this factor. One area where the lack of public investment has been particularly detrimental is public transportation. Rail and metro networks are poorly maintained and commuter services, notably in and around the capital, are congested, unreliable and expensive. The deficiencies of commuter services have encouraged car use in large urban areas, which in turn leads to road congestion. The Government privatised British Rail, but the results so far do not seem to have been as beneficial as other privatisations and dissatisfaction with the rail network remains acute.[91]

The authorities consider the fiscal framework in place prior to the 1997 reforms to have been at the root of the under-investment problem. Political imperatives implied that the public-sector borrowing requirement (PSBR) would be determined in relation to the macroeconomic environment and taxes set in relation to the longer term political and economic objectives of the government. While medium-term expenditure targets by department were set for a three year period, little attention was paid to them because the underlying economic and fiscal projections were not rooted in an estimate of the economy's potential and therefore constantly changed, and institutional short-termism became entrenched as a result.[92] These features, in combination with the system of cash accounting, which the United Kingdom until recently had in common with many other OECD countries, put a heavy strain on discretionary expenditure, and in particular public investment. Being subject to the annual budgeting cycle made it also very difficult

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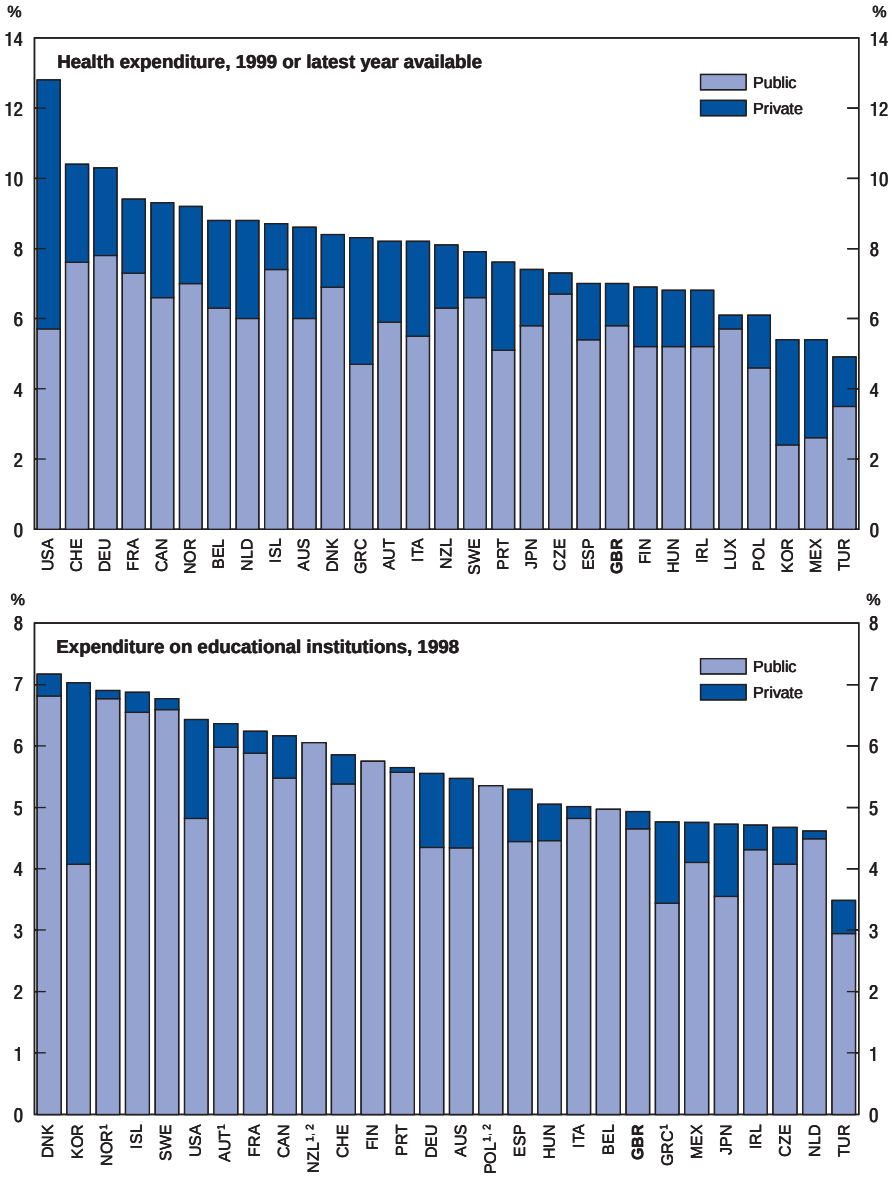
Figure 26. **Health and education expenditure**
As a per cent of GDP



1. Public subsidies included in private funds.
2. Public expenditure only.

Source: OECD Health Data 2001 and OECD, *Education at a glance 2001.*

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Table 10. **Public sector outlays by economic category and sector**

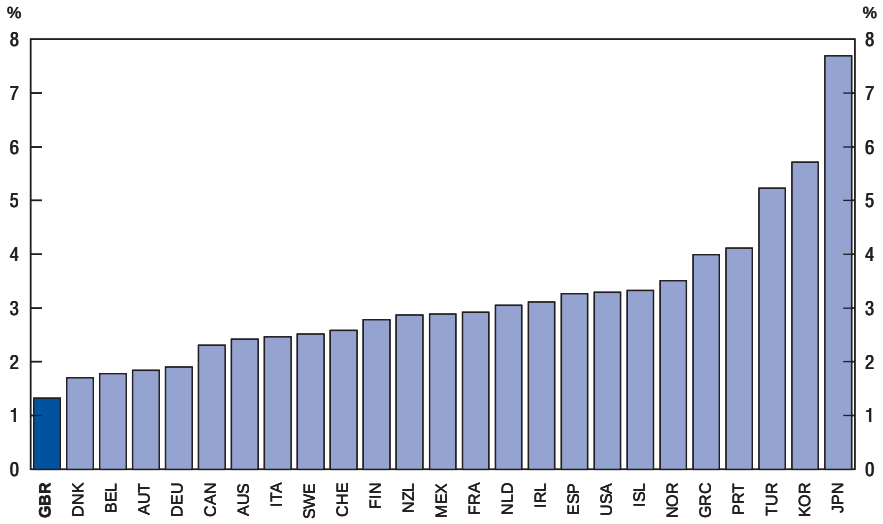
Per cent of potential GDP

	1989/90	1996/97	1999/00	2000/01	Changes 1989/90-1996/97	Changes 1996/97-1999/00	Changes 1999/00-2000/01
I. Current expenditure	37.2	38.5	35.9	36.8	1.3	–2.6	0.9
of which: Debt interest	4.2	3.7	2.8	2.8	–0.5	–0.9	0.0
II. Capital expenditure	4.2	2.4	2.0	2.4	–1.8	–0.4	0.4
Net investment	1.1	0.6	0.4	0.8	–0.5	–0.2	0.4
Depreciation	3.0	1.8	1.6	1.6	–1.2	–0.2	0.0
I + II. Total	41.3	40.9	37.9	39.2	–0.5	–3.0	1.3
Central government	29.5	30.4	28.1	29.1	0.9	–2.3	1.0
Local authorities	10.8	9.9	9.4	9.7	–0.9	–0.5	0.2
Public companies	1.0	0.6	0.4	0.4	–0.4	–0.2	0.0

Source: HM Treasury submission and OECD.

Figure 27. **General government gross investment**

1999, per cent of GDP



Source: OECD.

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for public corporations to operate within the public sector, as viable projects often could not go ahead because not enough cash was available within the fiscal year to fund them. This may help explain the drive for privatisation, to liberate investment in public services from the yoke of public borrowing constraints, and the UK's leading role in the implementation of full accrual budgeting and reporting.[93]

Implementing the new budgetary framework: progress to date

To address the above deficiencies, the Government adopted a medium-term framework for government spending when it entered office in 1997, building upon a set of relatively simple rules for fiscal policy. The sections below review this framework.

Aggregate fiscal management

The *Code for Fiscal Stability* created in 1997 commits the Government to: *i*) specify its principles of fiscal management and state the objectives of fiscal policy; *ii*) design an annual reporting cycle, including a Pre-Budget Report, an Economic and Fiscal Strategy Report and a Debt Management Report; and *iii*) adopt best practice accounting tools.[94] The Code thus aims at providing a transparent fiscal policy framework, to complement the framework adopted for monetary policy, but it has also important implications for public expenditure, notably for the mix of current and capital expenditure. Under the umbrella of the *Code*, the Government has defined the following fiscal rules:

- *The golden rule*, which stipulates that over the business cycle the Government will borrow only to invest and not fund current spending.[95]
- *The sustainable investment rule*, according to which net debt as a proportion to GDP will be held stable over the business cycle at a prudent level.

The Government will meet the golden rule if, on average over the business cycle, the current budget is in balance or surplus. Current expenditure is defined to include the consumption of fixed capital. As a result, borrowing is constrained to not exceed the amount of *net* investment over the business cycle. Consequent to the sustainable investment rule, borrowing is constrained to leave the ratio of net public debt to GDP below a prudent level of 40 per cent of GDP.

With the current budget in surplus and the ratio of net debt to GDP around 30 per cent, the Government is well on track to meet the two fiscal rules. This situation is officially projected to persist at least until 2006, notwithstanding a significant increase in net investment funded in part by government borrowing (Table 11).[96] In fact, as explained in Annex VI, the rules seem to provide ample scope to ease fiscal policy, but that would risk being inconsistent with the requirements for macroeconomic stability.[97] The Annex also shows that, if ever the rules were to become binding, they set a floor for net investment at close to 2 per cent

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Table 11. **Medium-term public sector finances**

	Definition	Outturn 1999/00	Estimate 2000/01	Projections				
				2001/02	2002/03	2003/04	2004/05	2005/06
Key assumptions								
Real GDP	% rate of change	2¾	3.0	2¼	2¼	2¼	2¼	2¼
GDP deflator	% rate of change	2½	1¾	2½	2½	2½	2½	2½
Output gap	% of potential GDP	0.2	0.6	0.5	0.3	0.2	0.1	0.0
Current budget								
Current receipts	% of GDP	39.6	40.5	40.2	40.1	39.8	39.9	39.8
Current expenditure[1]	% of GDP	37.5	38.2	38.7	38.8	39.0	39.0	39.0
Surplus on current budget	% of GDP	2.1	2.4	1.5	1.3	0.8	0.9	0.8
Cyclically adjusted surplus	% of potential GDP	1.9	2.1	1.4	1.1	0.6	0.7	0.7
Capital budget								
Gross investment	% of GDP	2.5	2.8	3.1	3.4	3.6	3.6	3.6
less asset sales	% of GDP	–0.5	–0.4	–0.4	–0.4	–0.3	–0.3	–0.3
less depreciation	% of GDP	–1.6	–1.6	–1.6	–1.5	–1.5	–1.5	–1.5
Net investment	% of GDP	0.4	0.8	1.1	1.5	1.7	1.8	1.8
Balances and debt								
Net lending	% of GDP	1.7	1.7	0.5	–0.1	–0.9	–0.9	–1.0
Cyclically adjusted net lending	% of potential GDP	1.6	1.4	0.3	–0.3	–1.1	–1.1	–1.1
Net debt	% of GDP	36.8	31.8	30.3	29.6	29.7	29.9	30.0
Memorandum item:								
Maastricht Treaty definitions								
General government net lending	% of GDP	1.7	1.7	0.5	–0.1	–0.9	–0.9	–1.0
General government gross debt	% of GDP	43.7	40.6	37.6	36.1	35.7	35.6	35.6

1. Including depreciation.
Source: HM Treasury, Budget 2001.

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of GDP on average over the business cycle, which roughly corresponds to the government's medium-term investment target.

As formulated at present the fiscal rules have a number of advantages, but also entail some risks. The advantages form the main motivation for their adoption: they counteract the inherent bias against capital expenditure and ensure sound public finances. Although the fiscal rules do not imply any restrictions on overall expenditure *a priori*, they do imply that in the event of a permanent fall in government revenues, current, not capital expenditure would be affected. Moreover, since the rules apply on average over the cycle, a transitory decline in revenues would not affect discretionary expenditure – be it current or capital – at all. Therefore, the rules allow fiscal policy to be geared towards medium-term objectives while letting the automatic stabilisers work freely – both at the revenue and expenditure side – thus facilitating the operation of monetary policy and protecting discretionary spending from *ad hoc* cuts.

The current set of fiscal rules therefore provides a sensible anchor in the pursuit of the accountability of policy and has been effective in contributing to macroeconomic stability. The golden rule also promotes intergenerational equity, *i.e.* supports the notion that those generations who benefit from public spending should meet, as far as possible, the costs of the services they consume, but does not necessarily ensure it. The rule's contribution in this regard cannot be fully assessed satisfactorily without knowing the ultimate incidence of the costs and benefits of both expenditure (current and capital) and taxation. Generational accounts can be helpful in this respect and the Government commissioned an internationally acknowledged expert (Professor L. J. Kotlikoff) in conjunction with the National Institute of Economic and Social Research, to set up a set of accounts on its behalf.[98] Such accounts could usefully complement the long-term fiscal projections that are included in the budget documentation. Meanwhile, the following potential drawbacks for resource allocation can be identified that are worth taking into consideration:

- The distinction between current and capital outlays embodied in the golden rule is not always relevant from an economic point of view. For example, education spending, while largely labelled as current expenditure, adds to the stock of human capital and thus should be considered as a form of investment. To the extent that the golden rule favours fixed over human capital formation there is a risk of misallocation of resources. This calls for careful cost-benefit analysis prior to expenditure decisions.
- Since the fiscal rules play out strongly in favour of public investment, there is, at least at the aggregate level, little trade-off between current and capital expenditure based on a comparison of their respective marginal cost and benefits. The implicit assumption seems to be that the marginal benefits from public investment are so large that the risks of overshooting its socially optimal level are negligible. However, the marginal benefits from

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Table 12. **Meeting the Maastricht deficit ceiling in the medium term**

	Definition	Outturn 1999/00	Estimate 2000/01	Simulation				
				2001/02	2002/03	2003/04	2004/05	2005/06
Key assumptions								
Real GDP	% rate of change	2¾	3.0	1½	1½	1½	1½	1½
GDP deflator	% rate of change	2½	1¾	2½	2½	2½	2½	2½
Output gap	% of potential GDP	0.2	0.6	–0.4	–1.4	–2.3	–3.2	–4.0
Balances and debt								
Surplus on current budget	% of GDP	2.1	2.4	1.1	0.5	–0.4	–0.6	–1.1
Net investment	% of GDP	0.4	0.8	1.0	1.5	1.7	1.9	1.9
Net lending	% of GDP	1.7	1.6	0.1	–1.0	–2.1	–2.6	–3.0
Cyclically adjusted net lending	% of potential GDP	1.8	1.4	0.3	–0.3	–1.1	–1.1	–1.1
Net debt	% of GDP	36.8	31.8	31.0	31.3	32.8	34.7	36.9
Memorandum item:								
Maastricht Treaty definitions								
General government net lending	% of GDP	1.7	1.7	0.1	–0.9	–2.1	–2.5	–3.0
General government gross debt	% of GDP	43.7	40.6	38.3	37.8	38.8	40.4	42.5

Source: OECD.

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public investment may fall quickly once the government's efforts to enhance public infrastructure – or to induce the private sector to do so in the framework of public-private partnerships – prove successful.

– The fiscal rules apply not just to general government but to the broader public sector and thus extend to public corporations. This is done on the presumption that their liabilities could ultimately burden the taxpayer and to prevent perverse incentives to move spending off budget. However, the fiscal rules do not extend to public-private partnerships, whose investment is classified as private sector spending, with only the services purchased by the Government from these partnerships recorded as current expenditure by the public sector. Since only the latter counts against the golden rule, the choice between public-private partnerships and "traditional" public investment may be distorted.[99] But in which direction depends on the cyclical position of the economy (in a boom the Government may be tempted to take more investment on budget and *vice versa*).

On current plans the fiscal position is projected to move towards a deficit of 1 per cent of GDP, consistent with the golden rule. While the Council of the European Union has noted that in the medium term the government's finances would not be in line with the prescription of "close to balance or surplus" contained in the Stability and Growth Pact, it has acknowledged that this emerges in the projections as a result of the use of a very cautious trend growth assumption of 2.25 per cent per annum and as a consequence of increased government investment as a share of GDP within the expenditure totals. The analysis summarised in Table 12 suggests that the current fiscal scenario is prudent enough. It calculates the rate of growth of GDP that would be required at a minimum for the fiscal deficit to stay above the 3 per cent limit, using standard assumptions with respect to the output sensitivity of budget outturns.[100] It appears that a growth rate averaging 1½ per cent per annum over the coming five years would be sufficient, which is well below the "prudent" growth projection of 2¼ per cent underlying the official fiscal base line (Table 11). Although five-year periods with similar growth averages have been observed in the past (Table 13), these were exceptional.[101]

Table 13. **Medium-run growth performance**

Per cent

	1965-70	1970-75	1975-80	1980-85	1985-90	1990-95	1995-2000
Average rate of real GDP growth	2½	2	1¾	2	3¼	1½	2¾
Output gap by end of period	0.0	–2.1	–3.3	–3.1	2.6	–1.5	0.1

Source: OECD.

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Allocation of funding across departments and programmes

A crucial element of the budgetary framework consists of the biennial *Spending Reviews*, comprising a set of three-year plans for discretionary expenditure, specified per department, called Departmental Expenditure Limits (DELs).[102] Remaining expenditure (mostly social security) is managed separately on an

Table 14. **Spending Review 2001: Resource and capital budgets**
Billion pounds

	Outturn 1999-2000	Estimate 2000-01	Projection 2001-02	Projection 2002-03	Projection 2003-04
Resource budget					
I. Departmental Expenditure Limits (DELs)	158.5	172.8	185.1	197.3	209.1
as a per cent of GDP	17.5	18.3	18.7	19.0	19.3
II. Departmental Annual Managed Expenditure (AME)[1]	128.7	132.5	137.6	141.6	147.2
III. Other current AME:					
Net payments to EC institutions	2.9	2.7	2.5	2.6	2.9
Locally financed current expenditure	16.4	17.3	18.2	19.0	19.8
Central government debt interest	25.6	27.0	26.1	25.3	24.7
AME margin	0.0	1.4	1.0	1.9	2.9
Various adjustments[2]	–8.6	–4.3	–3.7	–3.2	–2.3
IV. Public sector current expenditure (I + II + III)[3]	338.1	364.4	382.2	400.4	420.6
as a per cent of GDP	37.4	38.5	38.6	38.7	38.7
Capital budget					
V. Departmental Expenditure Limits (DELs)	18.2	22.4	27.0	31.9	36.6
as a per cent of GDP	2.0	2.4	2.7	3.1	3.4
VI. Departmental Annual Managed Expenditure (AME)[4]	3.3	3.3	2.8	2.7	2.7
VII. Other capital AME:					
Locally financed current expenditure	0.8	0.7	0.7	0.8	0.8
AME margin	0.0	0.1	0.0	0.1	0.1
Various adjustments[2]	–5.1	–4.2	–4.5	–4.6	–4.9
VIII. Public sector gross investment	17.2	22.3	26.0	30.9	35.3
IX. Depreciation	14.6	15.0	15.4	15.9	16.3
X. Public sector net investment (VIII + IX)	2.6	7.3	10.6	15.0	19.0
as a per cent of GDP	0.3	0.8	1.1	1.4	1.8
Total expenditure					
XI. Public sector total expenditure (IV + X)	340.7	371.7	392.8	415.4	439.6
as a per cent of GDP	37.7	39.3	39.7	40.1	40.5

1. Includes non-cash items (depreciation and capital charges), social security benefits, housing revenue account subsidies, net public service pensions and common agricultural policy.
2. Accounting adjustments, classification changes to national accounts (to move from accrual to cash accounts) and other adjustments.
3. Including depreciation.
4. Including public corporation's self-financed capital expenditure.

Source: HM Treasury, *Spending Review* 2000.

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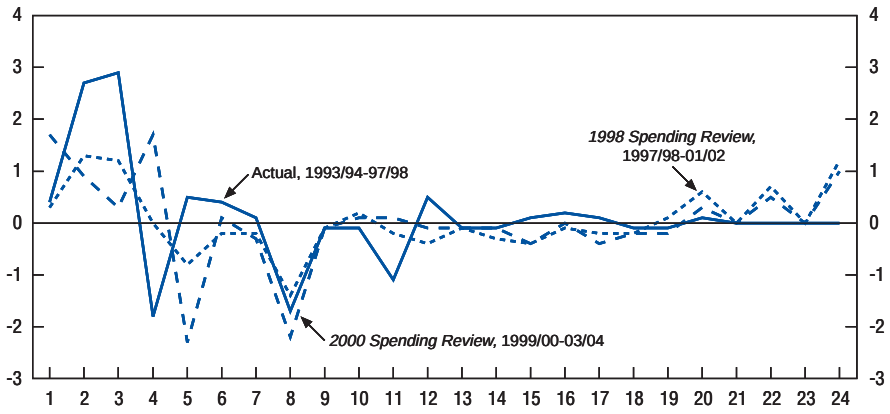
annual basis (called Annual Managed Expenditure or AME). Separate DELs are formulated for current and investment spending in order to achieve consistency with the golden rule – see the condensed representation of the 2000 Spending Review in Table 14.

The procedure for fixing DELs is iterative: they are the result of bids per spending department, which are negotiated with the Treasury. Once agreed, the Treasury is committed to funding the projected expenditure. In exchange, spending departments are being held accountable for achieving their policy targets, which are specified in so-called Public Service Agreements (see below). The two Spending Reviews implemented indeed suggest some reallocation of resources across departments, but so far not significantly more so than has been the case prior to the implementation of the new regime in 1997 (Figure 28).

The Spending Reviews aim to provide certainty to spending departments as to the amount of resources they will use over a three-year period. A department's spending is not allowed to breach the agreed current and capital expenditure limits in each year of the Review period. However, an important element of this set-up is that

Figure 28. **Change in the departmental[1] shares in aggregate discretionary expenditures**

Percentage points



1. The departments concerned are: 1. Education and employment; 2. Health; 3. *of which* NHS; 4. Employment, transport and regions; 5. Local government; 6. Home Office; 7. Legal Departments; 8. Defence; 9. Foreign and Commonwealth Office; 10. International Development; 11. Trade and Industry; 12. Agriculture, Fisheries and Food; 13. Culture, Media and Sport; 14. Department of Social Security; 15. Scotland; 16. Wales; 17. Northern Ireland; 18. Chancellor's Departments; 19. Cabinet Office; 20. Employment Opportunities Fund; 21. Invest to Save Budget; 22. Capital Modernisation Fund; 23. Policy Innovation Fund; 24. Reserve.

Source: HM Treasury, *Comprehensive Spending Review 1998* and *Spending Review 2000.*

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future funding is not reduced by the amount of under-spending in a previous year, thus avoiding incentives for end-of-year spending splurges and poor resource use. This has proved useful given that the targets for net investment contained in the 1998 Review have indeed been largely undershot to date (Table 15). To some extent this is a statistical artefact associated with upward revisions of public sector depreciation in the National Accounts (which reduces net investment for a given level of gross investment) totalling 3½ per cent of GDP. However, gross capital formation has also been less than was projected at the time, notably in fiscal year 1999/2000. The main reason seems to have been the slow implementation of new investment projects as spending departments adapted to the new regime. These teething problems seem to be waning, and the Treasury's current focus is on ensuring that investment projects that are coming on stream are selected on the basis of objective criteria.[103] Achieving the investment targets may nevertheless prove to be challenging.

Performance targets

The Public Service Agreements (PSAs) that underpin the targets set by spending departments represent the main innovation in public expenditure planning (see Box 4). The rationale for targets is straightforward: since the public sector is not subject to the same competitive pressure as the private sector, it requires other forms of pressure, and accountability, to perform. Indeed, the Spending Review requires that in return for funding, government departments commit themselves to deliver on targets. In the 2000 Spending Review there are PSAs for each of the 18 main departments and for five cross-departmental areas of policy where all the departmental targets relevant for the delivery of the government's objectives in that area are drawn together in a single agreement.[104]

The use of targets to measure how public services are performing is a necessary step in the delivery of better public services. However, in order to become fully effective, learning and progress in the development and design of targets appear to be key. The Government recognised that the first set of targets in the 1998 Spending Review did not meet the "SMART" (specific, measurable, achievable, relevant and timed) requirements aimed for. They were also too numerous and too much focussed on inputs and processes as opposed to outputs and policy outcomes. The new set of targets has sought to address the earlier weaknesses, through both the enhanced focus on outcomes and a drastic cut in the number of targets. For example, a feature of the 2000 vintage of PSAs is that some include "floor targets" to ensure that improvements in national averages do not disguise continuing failure in individual areas (see for example the targets in Box 5 which set floors for the number of youngsters attaining a certain score of literacy, rather than an average literacy score for all pupils).

Notwithstanding these improvements, questions still arise about the effectiveness of targeting. In particular, spending departments may focus excessively on

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Table 15. **The 1998 and 2000 Spending Reviews: projections and outturns to date**

Billion pounds

	A Departmental expenditure limits	B Annual managed expenditure	A + B Total expenditure	*of which* Current expenditure including depreciation	*of which* Public sector net investment	*memorandum* Public sector gross investment
1999/00						
Projection SR 1998	179.2	172.4	351.6	343.0	8.6	19.8
Outturn SR 2000	176.7	164.0	340.7	338.1	2.6	17.2
Revised outturn Budget 2001	179.3	164.2	343.5	340.0	3.5	18.1
2000/01						
Projection SR 1998	190.1	179.9	370.0	359.5	10.5	22.1
Estimate SR 2000	195.2	176.5	371.7	364.4	7.3	22.3
Revised estimate Budget 2001	194.2	174.1	368.3	360.9	7.4	22.3
2001/02						
Projection SR 1998	200.2	189.5	389.7	376.7	13.0	25.0
Projection SR 2000	212.1	180.7	392.8	382.2	10.6	26.0
Revised projection Budget 2001	212.3	181.4	393.7	382.5	11.2	26.7
2002/03						
Projection SR 1998	–	–	–	–	–	–
Projection SR 2000	229.2	186.2	415.4	400.4	15.0	30.9
Revised projection Budget 2001	228.5	189.3	417.8	402.5	15.3	31.3
2003/04						
Projection SR 1998	–	–	–	–	–	–
Projection SR 2000	245.7	193.9	439.6	420.6	19.0	35.3
Revised projection Budget 2001	245.1	197.5	442.6	423.9	18.7	35.3

Source: HM Treasury, *Spending Review* 1998 and 2000, Budget 2001.

Box 4. The Public Service Agreements

A Public Service Agreement (PSA) is essentially an agreement between the Government and the public and it is the responsibility of the senior minister of the department to deliver the targets set in the agreement. The final PSA is agreed by the responsible minister following a discussion with a committee of the Cabinet. The Treasury has also conducted a peer review to review the draft PSAs and has suggested improvements. The Treasury collects information on progress against targets every quarter and presents that to the Cabinet committee. Moreover, departments provide a public progress report annually in their departmental reports in the spring. The progress against targets provides a background to decisions on resources in the following budgeting round. For each PSA a Technical Note has been issued setting out in detail *inter alia* how each target will be measured including the source of data, the baseline and definitions of potentially ambiguous terms.

The structure of PSAs is similar across departments – see for an example Box 5 showing the PSA for the Department for Education and Employment. It formulates a single "aim" of the department's work, which is translated into a series of objectives setting out the aspirations of the department. For each objective, in turn, quantitative targets are formulated against which performance and progress can be measured. Each PSA also includes a "value for money" target that provides a measure relating inputs to outcomes. The PSA concludes with a statement of accountability of the minister responsible for delivery, including details on any targets that involve sharing of accountability with other departments.

PSAs are cascaded throughout the public sector and linked to the targets of agencies, non-departmental public bodies and local authorities who deliver services:

- In the 2000 Review 20 Local Government PSAs between the central government and 20 local authorities were concluded as a pilot exercise, containing a package of 12 key outcome targets reflecting national PSA targets and local priorities. If they perform well, local authorities will be rewarded through financial benefits and increased autonomy. The Government intends to extend local PSAs to 130 of the largest local jurisdictions in 2002.
- There are 136 executive agencies, most of which administratively belong to government departments, which play a key role in delivering government services and employ approximately three-quarters of civil servants. The achievement of the objectives and targets set out in the PSAs therefore requires that the priorities of agencies are aligned with those of the government departments and for the agency performance targets to be consistent with the delivery of the PSA targets. The shift at departmental level towards focussing on outcomes starts to be reflected in agency reporting.
- New in the 2000 Review were the Service Delivery Agreements (SDAs) for each government department that accompany the PSAs. The agreements set out how the departments intend to deliver their PSA targets.

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Box 4. **The Public Service Agreements** (*cont.*)

The PSAs linked to the 2000 Spending Review contained 160 targets in total, 28 of which are shared by more than one department and so appear in more than one PSA. A report by the National Audit Office (2001) concluded that in the 2000 PSAs 68 per cent of targets were outcome targets, 14 per cent process targets, 13 per cent output targets and only 5 per cent input targets. This represents considerable progress against the previous set of PSAs, which contained a plethora of 600 targets, of which 7 per cent were input targets, 51 per cent process targets, 27 per cent output targets and only 11 per cent outcome targets. This shift in focus was achieved in part by moving the reporting of output and operational targets to the new Service Delivery Agreements, but also by an increase in the absolute number of outcome-focussed targets.

achieving quantifiable targets at the detriment of less specific but perhaps equally important policy goals. The National Audit Office (NAO), which surveyed the new set of targets of 17 departments, found that there is concern among departments over the lack of incentives for meeting the targets, difficulty in identifying measures of intended outcomes and inability to influence final outcomes. It also found that an excessive use of targets may reduce local management's freedom to respond to local needs, that the focus on outcomes that can be quantified may come at the expense of others that cannot be easily measured and that poorly formulated targets may produce perverse incentives.[105] The NAO has made a number of recommendations that may provide useful guidance for further improvement in this regard:

- Departments need to adopt a consistent and comprehensive approach to performance measurement across the whole range of their responsibilities to prevent important but less urgent areas becoming neglected – only to be promoted priority status as performance deteriorates.
- Team bonuses should be paid to reward and encourage achievement of PSA objectives. If targets are exceeded, the Government should use part of the savings from productivity improvement to fund bonuses. Such financial incentives should be an essential part of a wider package, which could include flexible working hours and non-financial rewards and prizes to complement the performance related pay system.
- The Government should continue to pursue its policy to improve performance measurement and the quality of the underlying data systems. Validation of performance should be consistently defined, including the calculation and reporting of performance information and development opportunities.

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Box 5. Aims, objectives and targets in Public Service Agreements – an example

The Public Service Agreement for each department includes a single aim and a number of objectives, which set out the aspirations of the department, and for each objective outcome-focused targets against which progress can be measured. The example below shows the PSA for the Department for Education and Employment.

Aim

"To give everyone the chance, through education, training and work, to realise their full potential, and thus build an inclusive and fair society and a competitive economy."

Objectives

Objective I: "ensuring that all young people reach 16 with the skills, attitude and personal qualities that will give them a secure foundation for lifelong learning, work, citizenship in a rapidly changing world."

Objective II: "developing in everyone a commitment to lifelong learning, so as to enhance their lives, improve their employability in a changing labour market and create the skills that our economy and employers need."

Objective III: "helping people without a job into work." (objective and targets shared with the Welfare to Work PSA).

Performance Targets

1. Increase the percentage of 11-year-olds at or above the expected standard of literacy and numeracy for their age. By 2004:
   - Increase the percentage of children who achieve level 4 in each of the Key Stage 2 English and mathematics tests beyond the targets for 2002 of 80 per cent in English and 75 per cent in mathematics. This target will be announced in due course.
   - Reduce to zero the number of Local Education Authorities (LEA) where fewer than a set percentage of pupils achieve these standards, thus narrowing the attainment gap. This target will also be announced in due course.
2. Increase the percentage of 14-year-olds at or above the standard of literacy, numeracy, science and Information and Communications Technology (ICT) for their age. Subject to consultation:
   - By 2007, 85 per cent to achieve level 5 or above in each of the Key Stage 3 tests in English, mathematics, and ICT, and 80 per cent in science.
   - As milestones towards that target, 80 per cent to achieve level 5 in mathematics, 75 per cent in English and ICT, and 70 per cent in science by 2004.
   - For 2004, a minimum performance target will be set which will result in higher standards for the bottom 20 per cent of pupils and narrow the attainment gap.

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Box 5. **Aims, objectives and targets in Public Service Agreements – an example** (*cont.*)

3. Increase the percentage of pupils obtaining 5 or more GCSEs at grades A* to C (or equivalent):
   - Increase the proportion achieving the standard by 4 percentage points between 2002 and 2004.
   - At least 38 per cent to achieve this standard in every LEA by 2004.
4. Increase the percentage of pupils obtaining 5 or more GCSEs at grades A* and G (or equivalent), including English and mathematics: by 2004, 92 per cent of 16 year olds should reach this standard.
5. On pupil inclusion:
   - Reduce school truancies by a further 10 per cent from the level achieved by 2002.
   - Ensure that all pupils who are permanently excluded obtain an appropriate full-time education.
6. By 2004, increase by 3 percentage points the number of 19-year-olds obtaining a qualification equivalent to National Vocational Qualification level 2 compared to 2002.
7. In Higher Education, while maintaining standards:
   - Increase participation towards 50 per cent of those aged 18-30 by the end of the decade.
   - Make significant, year on year progress towards fair access, as measured by the Funding Council benchmarks.
   - Bear down on rates of non-completion.
8. Reduce the number of adults who have literacy or numeracy problems by 750 000 by 2004.

Targets contributing to the Welfare to Work PSA

9. Increase employment over the economic cycle.
10. A continued reduction in the number of unemployed people over the age of 18 over the 3 years to 2004, taking into account the economic cycle.
11. Reduce the number of children in households with no one in work over the 3 years to 2004.
12. Over the 3 years to 2004 increase in employment rates of disadvantaged areas and groups, taking account of the economic cycle – people with disabilities, lone parents, ethnic minorities and the over 50s, the 30 local authority districts with the poorest initial labour market position – and reduce the difference between their employment rates and the overall rate.

Value for money

13. Complete benchmarking work for schools by December 2002 so that schools will then be able meaningfully to compare costs with one another and thus improve value for money year on year.

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However, overall the NAO's assessment was positive, concluding that the United Kingdom is among the leaders in performance measurement practice. It also acknowledged the progress that has been achieved in Spending Review 2000 in comparison with the previous Review, notably the increased focus on outcomes as opposed to processes (see Box 4), which reportedly has encouraged departments to reconsider their work practices in the pursuit of greater effectiveness.

Involving the private sector in public services

The United Kingdom has played a leading role in testing the boundaries of private provision of public infrastructure and utilities. A number of initiatives were launched to bring the private sector into these former public sector activities during the 1980s and 1990s through privatisation. In other public service areas, the United Kingdom has chosen to maintain the overall planning, funding and delivery to final users in public hands while involving the private sector through outsourcing of investment and production in the framework of the Private Finance Initiative. This section reviews the progress made so far.

Privatisation

Since the onset of the programme of privatisation in 1979, around 100 major businesses have been transferred to the private sector. As a result, employment in public corporations (nationalised industries plus other public corporations, excluding NHS trusts) has fallen from over 2 million in 1979 to around 400 000 since the beginning of the 1990s. Among the major "natural monopolies" only the BBC and the Post Office have been left in public hands. In fact, the Post Office stands out as the only major example where the United Kingdom has been lagging developments in other European countries – in all other public utilities markets it has been leading. Continuing to manage the Post Office as a public service and therefore handicapping it in taking on joint ventures with other postal services abroad seems to be at odds with the ongoing opening up and integration of postal markets in the European Union. Therefore, the proposals in the 1999 White Paper to turn the Post Office into a public limited company with commercial freedom are encouraging. On the other hand, the almost complete privatisation of British Railways several years ago has been rather unsuccessful. It produced uneven incentives for efficiency and better performance, particularly on the part of the infrastructure provider, due to its very fragmented structure and the adversarial relationship between the main players in the industry after privatisation (Box 6). More generally, with privatisation having served to a large extent to move public expenditure off budget, many assets were sold before regulatory regimes to create a competitive environment were in place.

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Box 6. Privatisation of the railways industry

The privatisation of the public monopoly British Rail was initiated by the Railways Act 1993. In 1993 the track was separated from train operations. A new entity, Railtrack, became responsible for operating all track and infrastructure, while passenger services were run by British Rail until they were franchised. Railtrack initially remained in state-ownership, but was privatised by the Conservative government just before it left office in 1997. British Rail restructured its passenger services into 25 train-operating units, which were franchised in 1996 based on the lowest subsidy for a given minimum service level for a certain period, in some cases as short as seven years.* Under the Railways Act 1993 the Office of the Rail Regulator was created to control the natural monopoly aspects with similar responsibilities and duties as the other sector regulators supervising water, gas, electricity and telecom industries. However, unlike the other sector regulators, its functions extend to approving contracts for the use of networks, including the access charges levied by Railtrack on the train operating companies. This meant that the Regulator was in a position to affect the level of government support paid to the industry.

In view of the numerous bottlenecks in the network and the very unsatisfactory performance of some of the operating companies, the Labour government's July 1998 White Paper "A New Deal for Transport: Better for Everyone" called for the creation of a Strategic Rail Authority (SRA). It was formally established in January 2001 but *de facto* operated as a "Shadow" SRA from early-1999 onwards. It was based on the residual British Railways Board and the Office of Passenger Rail Franchising and also took in the consumer protection unit of the Rail Regulator. The SRA's assignment is to secure the development of the railway network and, specifically, to refranchise the 25 operating units for up to 20 years and to allocate new public investment funds across these units. The new franchises are thus designed to be of a more long-term nature than their predecessors and the licensees take a broader responsibility, *i.e.* not only to operate train services with the existing infrastructure and rolling stock, but also to participate in enhancing it. The Government envisages in the recent 10-Year Plan for transport that £60 billion will be invested, of which £34 billion is expected to be privately financed. However, this Plan is not yet definitive and is likely to be adjusted in the light of further developments and assessment.

The privatisation and subsequent actions left a needlessly complex and fragmented structure (Figure 29). Moreover, this structure was designed to handle static demand in the long run, an assumption that has been thoroughly confounded by the actual growth in passenger transport (26 per cent between 1995 and 1998). The system clearly has been unable to cope with this situation, with the Hatfield crash on 17 October 2000, due to broken rails, being a sad piece of evidence. It led to a partial breakdown of the network from which it has still not recovered. This, together with a failure to control costs, contributed to Railtrack's financial collapse in October 2001, when the Government refused to make additional funding available over and above that provided through the Regulator. Since then Railtrack has been operating in a special form of Administration provided

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Box 6. **Privatisation of the railways industry** (*cont.*)

for under the Railways Act 1993, pending transfer of the assets to a new entity. The Government has proposed that this new entity be a private sector company limited by guarantee (CLG), with a commercial board reporting to members drawn from the industry and other stakeholder interests instead of shareholders. At the same time the Government proposes to streamline the regulatory regime through the combination of many of the functions of the Regulator and the SRA in a single entity, and to reform the performance regime that governs relationships between the infrastructure provider and the train operators. A key problem that so far stood in the way of the industry's revival is the adversarial relationship between Railtrack and the operating companies who blame Railtrack for the deplorable state of the network. In a recent policy document, "A Strategic Agenda", the SRA presented an inventory of the challenges, with current projections pointing to a 50 per cent increase in traffic until 2020, and a strategy to implement a (possibly revised) 10-Year Plan.

The announced merger of the SRA and the Regulator, is welcome as it would be conducive to a simpler regulatory framework for the industry. Experience in other areas of the UK public transport system has shown that similar structures produce better results. An example is the Docklands Light Rail (DLR) system in East London (owned by London Transport), where a single company not only develops and maintains the track but also gives out the franchises to operating companies. This model may not be immediately transferable to the national railway system given its much smaller scale, but a restructuring of the industry along these lines might nevertheless prove beneficial.

* Rail freight operations were offered for sale (not franchised) in six lots, five of which were bought by one buyer.

Public-private partnerships

In the early 1990s the Private Finance Initiative (PFI) was launched. Like the privatisation programme, it was the offspring of severe public borrowing problems, coupled with cash accounting – which did not allow public-sector capital expenditure to score over the number of years the asset could be expected to last. As noted, this had long had the effect of distorting public policy decisions against investment, as evidenced by *e.g.* the situation in the railway sector. Privatisation, the first and simplest way of getting infrastructure investment off the Treasury's books, had by 1990 covered water, telecoms and energy, but left core public services untouched. Contracting-out had allowed private businesses to supply government with such peripheral services as cleaning and rubbish collection. But

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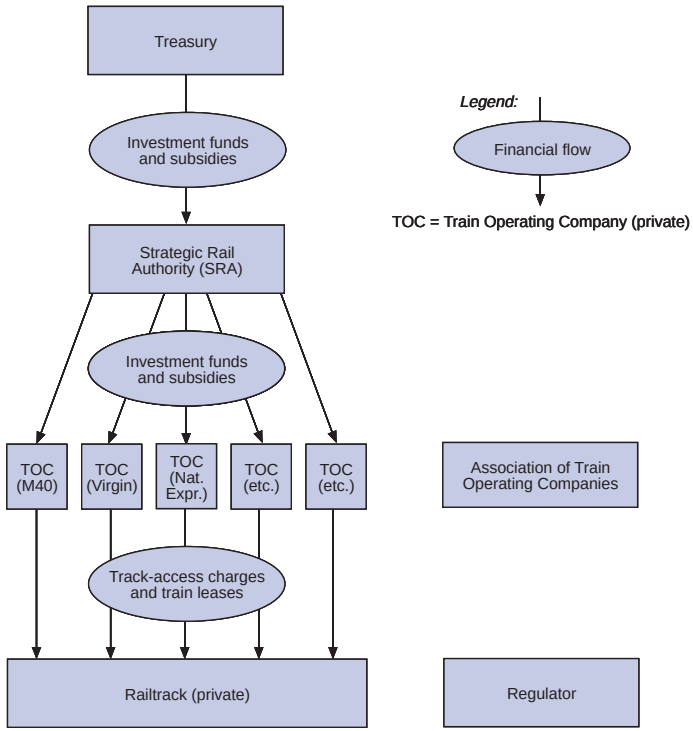
Figure 29. **Structure of the railway industry in the United Kingdom**



Source: OECD.

the PFI has been designed to prompt private providers not only to deliver services but also to make the necessary investment and to finance this off budget.

The PFI forms a specific class of public-private partnerships (PPPs) that can best be described as a comprehensive form of tendering and outsourcing.[106] It has three essential characteristics:

– *Considerable capital expenditure by the contractor*. The contractor is usually expected to invest heavily in productive assets such as buildings, roads or other physical infrastructure or IT-systems. These investments are financed by private sources involving the issuing of equity and debt securities.

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Table 16. **Private finance deals for public infrastructure and other services**

Deals concluded up to 2000

	Euro billion	As a per cent of: Total government outlays in sector	As a per cent of: GDP	Examples and comments
United Kingdom				The PPP model is used in a wide range of areas including roads, railways, IT-systems, prisons and buildings for schools and hospitals. By 2001 more than 400 deals have been completed – the bulk of which since 1996.
Transport	19.9	108		
Health	4.3	6		In health and education PPP's typically include the construction and maintenance of buildings along with services like catering.
Education	1.7	3		
Public order and safety	0.7	3		PPP's are considered to work well for prisons where the tasks for the private operator involves both design, construction and operation of the prisons including administration, catering, etc., and guards. Construction periods have been reduced considerably.
Defense	4.1			
Total	30.7		2.3	
Netherlands				A number of projects are being prepared and contracted. Going beyond infrastructure, the use of PPP's is expanding to cover urban development, including the areas surrounding the Amsterdam World Trade Centre and the Hague Central Station, and research/knowledge centres.
Transport	1.4	40-70		Presently the first elements of the High Speed Line South railway from Amsterdam to the Belgian border to be completed in 2005 and the A59 road are being contracted. More large scale rail and road projects are likely to be organised as PPP's in the coming years.
Other infrastructure	0.5	10-20		Water purification in Delfland.
Total	1.9		0.5	
France				
Transport	1.0	5-10	0.1	A28 highway and Millau bridge which are both based on competitive tendering. See box in the main text.
Finland				
Transport	0.2	20-30		The Järvenpää-Lahti highway including re-construction and maintenance of 69 km highway for 15 years. Payment to the private consortium is based on the traffic volume (shadow tolls), but with a fixed upper limit to the total payments. The road was constructed in 1997-99 and put into operation almost a year before planned.
Total	0.2		0.1	

Source: OECD.

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– *Bundling of different operational tasks within a partnership*. Rather than outsourcing each activity separately (like cleaning, heating or maintenance), PFI combines several or most operations that together constitute a package of services within one long-term contract, thus enabling the contractor to seek innovative solutions for cost reductions within a longer planning horizon.

– *Performance-based payment schemes*. Both classical outsourcing and PFIs normally rely on competitive tendering. However, unlike classical outsourcing, PFI contracts make payments during the contract period dependent on a set of performance measures evaluated at regular time intervals. Moreover, PFI contracts typically set requirements regarding the quality of outcomes (rather than quantity of input or output) and leave the contractor freedom as to how to meet them.

The PFI concept of PPP is not new; it has been widely used in Europe and elsewhere, but almost exclusively for transportation infrastructure. Indeed, a unique feature of PPPs under the PFI is that they extend to the operation of structures for public services, such as hospitals, schools and prisons, although transport still accounts for two-thirds of the deals.[107] Moreover, as reported in Table 16, the overall volume of comparable PPP contracts concluded in the United Kingdom in 2000 by far exceeded those in other countries for which data are available (France, Netherlands and Finland). Private PFI investment in fiscal year 2000/01 amounted to 0.4 per cent of GDP, which corresponds to about one-third of net investment by the public sector and the PFI taken together (Table 17). It should be noted, however, that the PFI is not entirely comparable to the use of concessions given to private companies to develop, construct and operate infrastructure while charging the users, as is the case in some other OECD countries. Indeed, the novelty of PFI/PPP contracts is that the services of infrastructure utilities are purchased by the Government, rather than directly by the users. For example, instead of charging tolls from drivers, the contractor of a PPP-highway may receive "shadow-tolls" from the Government. The driver, in turn, receives the right to use the road as often as he wishes, without charge (*i.e.* an "implicit voucher"). The principal drawbacks of this approach are that it sets the relative prices across modes of transport at the wrong level and contributes to congestion.[108]

The PFI is expected to yield gains in operational efficiency because it creates opportunities to make a profit for the private partner who would thus be induced to perform well, especially in combination with a bundling of tasks and the freedom to innovate. To some extent capital market institutions may also play a role in the screening of projects and disciplining of operators. On the other hand, transferring the risk to the private partner implies a higher cost of capital as compared to funding by the public sector.

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Table 17. **Capital spending by the private sector for signed PFI deals**
Million pounds

	Estimate 2000-01	Projections		
		2001-02	2002-03	2003-04
Defence	121	147	200	100
Foreign and Commonwealth Office and International Development	7	7	6	7
Agriculture, Fisheries and Food[1]	0	0	0	0
Trade and Industry	36	61	24	26
Environment, Transport and Regions[2, 3]	619	639	855	1 015
Education and Employment[4]	15	28	9	0
Home Office (Prisons and IT)	160	136	297	0
Legal Departments	37	36	13	6
Culture, Media and Sport	0	0	0	0
Health (Hospital equipment)	491	501	235	67
Social Security (IT)	42	17	67	14
Scotland (roads, schools, housing, etc.)	540	289	78	20
Wales (roads, schools, housing, etc.)	160	11	0	0
Northern Ireland	39	26	4	0
Chancellor's Departments (customs property)	104	87	19	19
Cabinet Office (IT property)	155	159	42	6
Local authorities (roads, schools, housing, etc.)[5, 6]	1 352	1 404	1 215	1 150
Total	3 878	3 548	3 064	2 430
As *a per cent of* GDP	0.4	0.4	0.3	0.2
As *a per cent of total public investment* + PFI	34.5	23.8	11.8	11.4

1. Includes Forestry Commission.
2. Includes the private sector capital investment in Channel Tunnel Rail Link.
3. In addition, substantial private investment is levered in through housing, urban regeneration and other programmes.
4. Excludes private finance activity in education institutions classified to the private sector. Estimated total values for these are £80 million in 2000-01 and £226 million in 2001-02. Includes projects in Voluntary Aided schools only; Schools projects funded through Revenue Support Grant are included in the Local Authority figures.
5. Figures represent spending on projects supported by central government through Revenue Support Grant.
6. PFI activity in Local Authority schools is included in the Local Authorities.

Source: HM Treasury, Budget 2001.

Although the prospect of efficiency gains is an important rationale for PPPs, the opportunity they offer to shift public investment and borrowing off-balance sheet has been considered an attractive property by the Government. However, this argument neglects that possible macroeconomic "crowding out" of market activities in principle is the same for public investment and private investment via PPPs (Heald, 1997), the more so since in both cases taxes need to be levied in order to meet future capital and operating costs.[109] Only if efficiency in delivery is enhanced or if payment is shifted to users through charges as part of the private finance arrangement will there be a net benefit. Unfortunately there is a lack of systematic evaluations of the results from PPP projects, although the use

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of PPPs in road procurement has led to more rapid completion of the construction of projects.[110] The often-cited study by Arthur Andersen (2000) concludes that PPP projects can reduce costs by 17 per cent, but this study has raised controversy.

In fact, it is still too early to judge whether savings can be maintained in the long run as many contracts are still in their early stages. The potential for future savings could be undermined by the long horizon of contracts, which could have adverse effects on the effectiveness of competition. It is conventional wisdom that contract periods should not be too long so that the firms that are *not* winning the contracts will survive and be around to bid in the next round of competitive tendering of the same task.[111] Moreover, the specificity of assets (such as a hospital building or an IT-system) implies that the private and public partners become mutually dependent in a way that may stifle competition. When the contract expires, other potential contractors may be reluctant to undertake the effort necessary to make a bid in a renewed tender process, knowing that the incumbent will have a considerable cost advantage – other things being equal. This phenomenon may also weaken market scrutiny during the contract period since the threat that the Government could contract another private partner in case of under performance may not always be credible.

The United Kingdom has been experimenting with other forms of PPPs as well, notably the formation of joint ventures with joint public and private ownership in a company established to carry out the activities of the partnership. Normally the Government secures a minority stake in the equity capital of such a partnership in order to ensure it remains off budget (a majority stake would convert the partnership into a public enterprise) while still allowing to share the benefits from efficiency gains with the taxpayers. There are several arguments put forward in favour of this model. Joint ventures can be tailor-made for the core activities of public agencies. For instance this could be IT based on information resources held by a public agency. Also, it is argued, joint public-private ownership can introduce private sector management skills while sustaining a public service ethos within an organisation that would not exist if the activities were carried out under pure private ownership. As indicated above, retaining a public ownership share in partnerships also allows the Government to share the benefits from better performance with the taxpayers if the return is high.

While establishment of new partnerships based on joint ownership may produce innovation, there is reason to be cautious about the long-term effects of this ownership structure. Government ownership reduces the likelihood of closing down activities by "firm exit". Consequently, while a system of public-private joint ventures may spur innovation, its ability to sort out the failing firms may be poor. This is problematic, as productivity studies of firm level data suggest that the contribution from firm exit may be as important as the contribution from firm entry for aggregate productivity growth. Using public-private joint ventures for developing

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Box 7. The Millennium Dome

The Millennium Dome, built to house a huge exhibition in east London, was proposed in 1994 as the centrepiece of the national millennium celebration. The state-owned New Millennium Experience Company (NMEC) was established to manage/construct the Dome, funded in part by lottery proceeds distributed by the government-appointed Millennium Commission. However, while the Dome had been expected to welcome 12 million visitors, in reality only 4.5 million paying visitors showed up. Each downgrade in expected visitor numbers resulted in the need for more funding to stave off bankruptcy, but the NMEC was found insolvent in August 2000 despite £179 million in emergency funding during the year. Moreover, in September a potential buyer of the Dome, who intended to run it as a theme park, pulled out. In all, some £900 million (0.1 per cent of GDP) has been invested in the Dome, more than half from lottery proceeds.

The National Audit Office reported to Parliament that the targets for visitor numbers and income required by the Millennium Dome were "highly ambitious and inherently risky" and involved a significant degree of financial risk. It found in addition that "the task of managing the project has been complicated by the organisational arrangements put in place from the outset, and by the failure to establish sufficiently robust financial management". Eventually the government's main financial adviser recommended tearing down the Dome to maximise returns on the sale of the site. He believed the site was not commercially suited for use as a leisure destination and would be more valuable as a mixed-use scheme, possible centred on an office park.

new business opportunities is therefore likely to create not only successful innovation but also long-lived failures. It is also not immediately obvious that the objective of sharing windfall gains with the taxpayer is best served by (partial) public ownership if this would lead to less efficiency for which ultimately the taxpayer will have to foot the bill. Moreover, the flip-side of the medal is that taxpayers also carry more of the financial risk if a company fails. The Millennium Dome is a sobering experience in this regard (Box 7).

Scope for improving and expanding private involvement

The experience gained in the United Kingdom with public-private partnerships under the PFI is valuable also for other countries, but past mistakes in privatisation need to be corrected. In particular, a redesign of the regulatory framework for the railway sector is urgently needed, and similar mistakes in new infrastructure projects should be avoided. The choice of public-private

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partnerships should be the outcome of a careful comparison between a wide range of options, and should not be imposed by the Government as the favoured way of management of public services. Where public-private partnerships are being pursued, their performance could benefit from considering the following issues:

- Simpler transactions could reduce the relatively high costs of writing contracts and bidding for tenders. Public-private partnerships could be made more financially beneficial for the Government by containing the amount of financial and legal advice they currently generate.

- The empirical evidence suggests that most efficiency gains stem not from the tender as such but rather from the permanent exposure of potential contractors to competition. It is therefore essential that the process of tendering and contracting be organised in such a way that they reduce the government's dependence on the incumbent franchise or concession holder.

- Often the Government is a co-owner of the public-private partnerships in order to ensure that any financial gains arising from the partnership will be shared with the taxpayer. However, this set-up may confuse the roles of the Government as a shareholder and regulator, and could establish a *de facto* monopoly position of the incumbent private partner. It also entails a greater exposure of the budget if a private partner fails. The Government should weigh the pros and cons (*i.e.* greater public financial gains but less efficiency) of entering into partnerships as a shareholder.

As noted, to date public-private partnerships have been mainly confined to the transport sector or support tasks, while the core of public services remains firmly in the hands of the public sector. For example the National Health Service (NHS) is still based on universal provision (see Annex VII for an update on initiatives since the previous S*urvey*). The private health sector is gaining importance, partly in response to long waiting times and partly because of the increasing popularity of employer-funded private health insurance, but it remains small compared to other European OECD countries. The same holds true for education. In several European countries a significant share of education is run by private non-profit institutions, either fully or partly publicly funded. While such private institutions are committed to the core of national policy objectives, they otherwise maintain their own staffing, maintenance and investment policy. Plans to allow some private initiative in setting up schools or hospitals have been aired recently, but are still very modest by international standards. Significantly widening the scope for private provision of merit goods may be instrumental in getting better value for money than can be achieved by relying solely on public provision.

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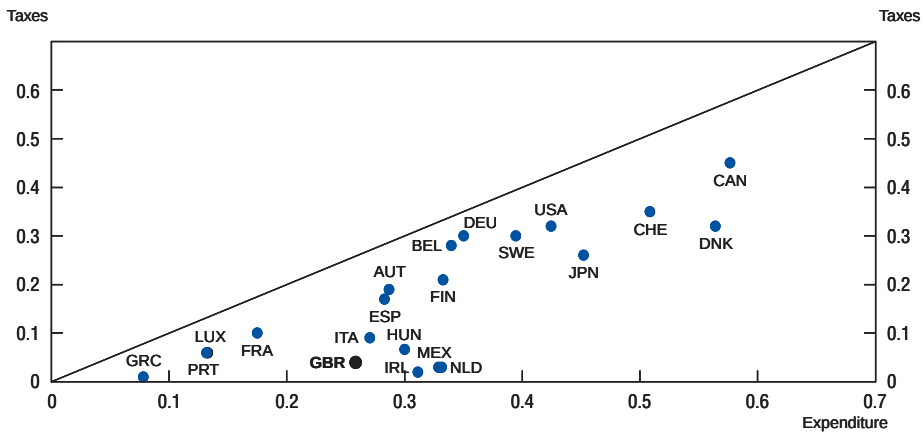
Mobilising sub-central governments

Local governments in the United Kingdom have responsibility for key priority areas of public policy, notably education, social housing and local infrastructure development. A particular challenge local governments will be facing is to deliver on performance targets they will agree with the central government in the framework of future Spending Reviews. In a recent Green Paper the Government has set out its view on a range of local government issues and suggests some reforms, which are reviewed below.[112]

A key feature of the UK's sub-central governments (county and town councils and devolved countries) is their relatively small share in overall public outlays and their limited command over funding. As shown in Figure 30, sub-central government's share in total spending is among the lowest in the OECD – albeit comparable with the other major unitary countries in Europe, France and Italy.[113] Local governments' own resources (council tax on household property and sales, fees and charges) is also low by international comparison[114] and account for about a

Figure 30. **Tax receipts and expenditure by regional and local governments**[1]
Share in non-transfer receipts and expenditure, 1999[2]



1. Receipts include direct and indirect taxes received by regional and local governments and are expressed as a share of taxes received by the general government. Fees and charges are not included. Expenditure corresponds to total expenditure by regional and local governments expressed as a share of general government expenditure (excluding capital transfers). The country ranking in this figure does not necessarily correspond to the comparative fiscal autonomy of lower governments.
2. For Finland, Luxembourg and United Kingdom: 2000. For Portugal and Mexico: 1998. For Canada, France and the United States: 1997. For Ireland and Switzerland: 1996. For Greece: 1995.

Source: OECD, *National Accounts;* OECD, *Revenue Statistics,* 1965-2000 and Hungarian Ministry of Finance.

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third of their current budget and "external" finance for the remaining two-thirds (capital budgets are dealt with separately; see below). The latter comprise the local share in the yield from the business rate, which is a tax on commercial property collected by the local authorities, paid into a central fund and redistributed on a simple per capita basis, and government grants. Of the government grant around 90 per cent is general and the remainder is ring-fenced, *i.e.* tied to specific expenditure programmes, mostly education.

Problems have been identified with regard to both types of grants:

– The *general grant* to local authorities is based on a formula to determine their "standard spending assessment" (SSA) and the amount of revenues they could raise by charging a standard rate of council tax together with their share in the yield from business rates.[115] The SSA formula has been widely criticised because the grant level varied sharply from one year to another, thus hampering sensible forward planning.[116] Therefore, from 1999, the Government introduced a moratorium on formula changes, and local authorities henceforth received a minimum grant increase of 1½ per cent per annum for education and social services – which comprises the bulk of current expenditure. However, this is a temporary measure, awaiting further decisions. In particular, the grant formula may be revised every two or four years, on a timetable aligned with the Spending Review, while volatile data changes entering the grant formula would be smoothed.

– The use of *ring-fenced* grants has increased over time because the Government has considered that the general grant system does not provide any direct means by which local governments can be induced to meet its commitments to increase education spending and to raise standards. However, the system of earmarked grants has been criticised for its negative impact on accountability at the local level and has also produced excessive red tape, affecting schools in particular. The green paper suggests that incentives and rewards for achieving targets in the Spending Reviews could be built into the general grant system. This is being developed through a programme of Local Public Service Agreements to link funding to service delivery. As noted in Box 4, the 2000 Spending Review contained 20 Local PSAs as a pilot exercise, which are currently being rolled out to 130 local authorities as part of the upcoming Spending Review.

The funding of capital expenditure of local governments is separate from that of current expenditure and has also been prone to problems. Roughly one-third of capital expenditure is debt-funded, with the amount of borrowing constrained by a system of strict top-down credit approvals. While protecting local authorities from running unsustainable debt levels, it blurs accountability and has

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become an obstacle to capital investment. The green paper suggests removing the credit approvals while local governments would need to report a core set of prudential indicators. This would represent a major improvement since it provides local government with more flexibility as to the timing of investment projects. Central government would, however, continue to decide in Spending Reviews how much investment in individual programmes it would support via grants. It also intends to continue to provide ring-fenced support to private finance deals under the PFI.[117]

The green paper rightly identifies scope for improving the efficiency of the existing system of local taxes and charges. For example, it notes that while properties are re-valued for the business rate every five years, the council tax on household property is still based on its value in 1991. This undermines the fairness of the tax since relative property prices have changed considerably. Therefore the Government is moving to a fixed cycle for council tax revaluation which was long overdue. Moreover, local governments are encouraged to develop efficient charging policies, for example road user charges to tackle congestion. However, while the green paper considers giving local authorities limited freedom to vary the business rate in their jurisdiction, either by granting rebates or setting a supplementary rate, strings are attached. In particular, the supplementary revenues would need to be earmarked for additional expenditure agreed with local business.

The Government should revisit the system of local government funding along these lines once a window to do so opens up. An occasion to do this could be once devolution of executive and legislative power to a regional administrative layer in England – akin to the establishment of elected administrations of Scotland, Wales and Northern Ireland – figures firmly on the policy agenda. However, the government should guard against uncontrolled growth in local government spending once greater autonomy has been granted. Local governments provide individual welfare services that are strongly redistributive, and therefore distributional conflicts may result in an upward spending bias. These services are also typically monopolistic and prone to agency problems: producer interests are strongly and consumer interests weakly represented, although privatisation, contracting-out and opening up procurement for competition eases this problem to some extent. So far the UK Government has been rather successful in containing spending pressures by keeping a tight lid on local government's financing, but with devolution this may become more difficult. A strict no bailout rule for local governments would be one way to enhance fiscal prudence.

Summing up

History importantly affects any country's choice for a particular way of managing its public sector. Therefore, reforms aimed at greater efficiency of public expenditure typically rely on gradual change and learning by doing within a given

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set of cultural and socio-economic constraints. The approach to reform in the United Kingdom should be assessed against this backdrop. The sections above suggest that the reforms implemented since 1997 contain important innovations, but on the basis of the experience so far a number of weaknesses have been identified. These have led to recommendations for further progress that are discussed below; Box 8 provides a synopsis.

Fiscal management in the United Kingdom has come to be organised around the golden rule to address the serious concerns about the low level of capital expenditure in the past. Together with the sustainable investment rule, it is also instrumental in pursuing several key objectives of budgetary policy, including macroeconomic stability and fiscal sustainability. However, a main drawback is the risk of reduced allocational efficiency introduced by the somewhat arbitrary distinction between current and capital expenditure as well as between public and private investment. Sound cost-benefit comparisons of investment projects, and between public investment and investment through public-private partnerships, remain a necessity. Meanwhile, while the rules promote intergenerational equity, they do not ensure it. The rules' contribution in this regard cannot be fully assessed satisfactorily without knowing the ultimate incidence of the costs and benefits of both public expenditure and taxation, although long term projections and generational accounting, both of which the Government also undertakes, can be helpful in this regard.

The current set of fiscal rules provides a sensible anchor in the pursuit of better conditions for macroeconomic stability and accountability of policy. While the Council of the European Union has noted that in the medium term the government's finance would not be in line with the prescription of "close to balance or in surplus" contained in the Stability and Growth Pact, the authorities have argued *vis-à-vis* the European Commission that since Treasury projections for government revenues and the departmental expenditure limits are based on conservative projections for economic growth, the likelihood of breaching the Maastricht deficit ceiling in a recession would be smaller than the projections suggest. An alternative would be to base the projections on central rather than conservative assumptions and aim for a larger surplus on the current budget instead. Moving in that direction would also eliminate a built-in tendency for "pleasant surprises". Such surprises have already led to (so far small) top-ups of departmental expenditure limits in the 2000/01 Budget, thus raising the spending limits that were agreed less than a year earlier in the 2000 Spending Review. If future Budgets consistently make larger additions over the Spending Review allocations, the credibility of the Reviews may suffer.

The experience to date with public-private partnerships has been mixed. Through public-private partnerships, the Government purchases the services of public infrastructure, rather than the infrastructure itself, from a private provider, which may result in cost savings, provided that the higher interest cost associated with private funding and the cost of writing contracts and bidding for tenders is not

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Box 8. Synopsis of recommendations

1. The current set of fiscal rules favours public investment. While appropriate in view of the substantial backlog in public infrastructure, the Government should guard against distorting decisions on capital and current expenditure. In particular:
   - The trade-off between current and capital expenditure should be guided also by a comparison of their respective marginal cost and benefits to the extent these can be approximated.
   - The choice of public-private partnerships should be the outcome of a careful comparison between a range of options and should not be imposed as the favoured way of management of public services under all circumstances.
2. While the medium-term fiscal projections appear prudent enough, the authorities may wish to consider basing the fiscal projections on central rather than conservative assumptions and aim for a larger surplus on current balance to further promote transparency.
3. The scope for private provision of public services should be better exploited. In areas where public-private partnerships are being pursued (transport and support tasks), efforts should focus on the following issues:
   - Continued simplification of transactions in order to cut down further the costs of writing contracts and bidding for tenders.
   - A reduction in any tendency of the Government becoming dependent on the incumbent franchise or concession holders.
   - Weigh more carefully the pros and cons of the Government entering into partnerships as a shareholder.
4. There may be benefits to further devolution of spending and taxing power. In particular, local governments should be given:
   - More freedom to raise household and commercial property tax. Property valuation should be kept up to date.
   - More clarity about the public expenditure programmes for which they are accountable *vis-à-vis* the local electorate and which ones are in the domain of the central government.
   - More freedom to design structures of fees and charges that reflect the marginal cost of provision.

   Meanwhile the Government should guard against uncontrolled growth in local government expenditure once greater autonomy has been granted. The strict enforcement of a no bailout rule would be instrumental in this regard.

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Box 8. **Synopsis of recommendations** (*cont.*)

5. The Government should further improve the design of targets. Although there is a strong public commitment to deliver on the targets by the Government, appointing an external auditor that reports directly to Parliament and the public, such as the National Audit Office, might strengthen the framework further. In addition:
   - Spending departments should not focus excessively on quantifiable targets to the detriment of harder to specify objectives.
   - The Government could take further steps to encourage good performance against targets by granting financial bonuses or other rewards to departments or teams that perform well.
   - The Government should continue to improve performance measurement.

excessive. The Government should continue its work on simplifying transactions to reduce these costs. In some cases the Government participates in the capital of the provider through a joint venture. The advantages of this set-up are that partnerships can be tailor-made, while private sector skills are introduced in the public sector and benefits from higher efficiency may be shared with taxpayers. However, the taxpayer will also bear the financial risk of failure, and some potential efficiency gains may be foregone, because the incumbent provider likely faces less market scrutiny as compared with a situation where he would have to rely fully on private funding. The Government should therefore seek to reduce any tendency to become dependent on the incumbent franchise or concession holders. It should be noted, moreover, that the current plans to provide services privately in sectors such as health and education are modest. Such services are provided on a much larger scale privately in many OECD countries and greater ambition in this respect would raise competition and performance in these sectors as well.

Despite recent initiatives to devolve legislative and executive power to elected governments in Scotland, Wales and Northern Ireland, the United Kingdom still has one of the most centralised governments in the OECD area. While it is difficult, if not impossible, to determine the optimal split of local and central government expenditure on the basis of pure economic arguments (this is largely a matter of political preference heavily influenced by historical considerations), there may be benefits to a greater devolution of spending and taxing power. As it stands local governments are operating more like agents for the central government than as executives of their local electorate, as evidenced by the growing importance of earmarked grants, notably for education. This reduces the transparency and accountability of local policy. It

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would be advisable for local governments to be given more freedom to organise the expenditure programmes, for which they have been given responsibility, as they deem appropriate and to design better fees and charging structures. A related challenge is the need to reform the grant distribution system, which is complex and controversial, not least because of growing earmarked grants to promote national policy goals. Greater autonomy in borrowing policy should help to encourage investment in local infrastructure development. However, the Government should guard against uncontrolled growth in local government spending once greater fiscal autonomy has been granted. Moreover, borrowing should remain prudent, which requires the strict enforcement of a no bailout rule.

The core of the budgetary framework consists of the biennial Spending Reviews to grant three-year spending limits to departments and agencies, which in turn are being held accountable for achieving the policy targets specified in the Public Service Agreements. The current set of Agreements has benefited from the experience that was gained in the previous Spending Review held in 1998, which rested upon more numerous, but also more poorly designed targets. However, to strengthen the framework further, the auditing of the achievement of targets could be entrusted with a body that operates independently from the administration and directly reports to the parliament and the public, such as the National Audit Office. Moreover, the Government should pursue further improvements in the design of targets for policy outcomes in future Spending Reviews. In particular, it is important that targets cover a broader range of policies to avoid that spending departments focus excessively on quantifiable targets to the detriment of less specific but perhaps equally important policy objectives. The Government should also take further steps to encourage good performance against targets by more systematically granting financial bonuses or other forms of rewards to departments or teams that perform well. As set out by the Government in a recent report on performance information, this requires further efforts to improve the measurement of performance (HMT, 2001*c*).

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Notes

1. It has been argued that the gap between US productivity and growth performance on the one hand, and UK and euro area performance on the other, may be overstated because efforts to better measure the "new economy" have started later in Europe than across the Atlantic (not least because it took off later in Europe). Views differ on the importance of the possible statistical distortion, see *inter alia* Kodres (2001), Vaze (2001), Oulton (2001), King (2001), Wadhwani (2001), Lequiller (2001) and Schreyer (2000).
2. International comparisons of rates of return on capital are compromised by the often poor quality of capital stock data and different methodologies used in each country to calculate them.
3. On an inflation-adjusted basis – *i.e.* controlling for the real capital losses on nominal wealth caused by inflation – the saving ratio was significantly higher in 2000 than in the late 1980s, but its decline in the course of the 1990s is similar on both measures (Davey, 2001).
4. For the impact of different types of wealth increases on consumption, see Boone *et al.* (2001).
5. Annex II discusses the degree of overvaluation of sterling. Effective appreciation is driven by the weakness of the euro and masks a significant depreciation *vis-à-vis* the US dollar.
6. Youll (2001) documents the short-run noise imparted by bonus payments, noting that over the longer run their share in the total paybill tends to increase.
7. Demutualisations reached a peak in 1997, when the windfall amounted to £37 billion. E*x post*, it appeared that less than one quarter thereof was actually spent within a year.
8. In 1999, the United States accounted for 17 per cent of UK exports, while France and Germany accounted for, respectively, 9 and 12 per cent, and the European Union represented 53 per cent. For Germany the respective shares are 10 and 58 per cent and for France 10 per cent and 61 per cent. The data for France are for 1998.
9. With a remit defined in terms of inflation and not price level (see Chapter II), monetary policy would not necessarily have to tighten if the exchange rate shock were expected to have only a one-off price-level effect, without any tangible second-round effects.
10. Fiscal policy lags have been investigated recently by Blanchard and Perotti (2000) and Fatás and Mihov (2001), but using US data only. Given that the lags are shown to depend on the composition of the change in the stance – in particular on whether it stems from the tax or the spending side – and on the institutional set-up (*e.g.* tax collection lags) the specific numerical results obtained by these authors may not carry over to the United Kingdom.

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11. In fact, since the onset of inflation targeting in late 1992, the four-quarter ahead forecast as recorded by Consensus Economics has on average turned out to be about half a percentage point too high.

12. The exchange rate is by no means the only source of surprises. Policymakers have also been surprised by revisions of the past, notably because of a consistent downward bias plaguing preliminary GDP estimates, documented by Barklem (2000), Symons (2001) and, in a rather unflattering comparison across G7 countries, Faust *et al.* (2000).

13. If RPIX inflation deviates more than one percentage point on either side of the symmetric 2½ per cent target, the Governor has to write a public letter to the Chancellor of the Exchequer explaining why and setting out the measures being taken to bring inflation back to the target.

14. For example, the Treasury Select Committee recently concluded: "We commend the MPC on establishing a high level of credibility; however we are concerned that in an effort to establish such credibility the MPC may have biased policy towards undershooting the target" (Treasury Select Committee, 2001).

15. Among OECD countries, cases in point include Canada and New Zealand, although in both countries less emphasis is now put on such measures than hitherto.

16. A permanent one percentage point increase in the DMCI would correspond to a permanent increase of a bit more than one percentage point in the real interest rate, or to a permanent 21.7 per cent real effective exchange rate appreciation.

17. In Figure 10, the projected DMCI is based on the assumption that RPIX inflation evolves as does the central projection in the August 2001 *Inflation Report* constant interest rate-based fan chart and that the effective exchange rate depreciates by close to 2 per cent at a two-year horizon, as assumed in this report.

18. Announcing entry into the euro area at a weaker rate *vis-à-vis* the euro, if credible, could be thought to help. But irrespective of the political considerations associated with what amounts to a constitutional rather than a monetary policy decision, such a move might not lead to a weaker effective exchange rate over the medium run, if at that horizon the euro, which is widely regarded as being undervalued, were to appreciate a lot.

19. The impact on financial fragility of these aggregate credit trends importantly depends on heterogeneity across sectors, firms and households, but this aspect relates to supervision – discussed in Chapter III – more than to the monetary stance. It may also be noted that the 1974 Consumer Credit Act is being reconsidered, with a view to target loan sharks, to reduce burdens on legitimate businesses, to ensure that market changes are better reflected in consumer credit conditions and to provide more timely and effective advice to consumers when they take out loans.

20. Some of the suggestions appeared in a report prepared by D. Kohn, Director of Monetary Affairs at the US Federal Reserve Board. This external audit and the Bank's response were published in late 2000, even though they deal with a number of sensitive matters which by the standards of traditional central banking culture would be considered as strictly internal.

21. The previous *Survey* discussed the constant interest rate assumption and this debate is not reopened here. Another debate that is not entered into here revolves around the role asset prices should play in setting monetary policy, given their role via wealth and balance sheet effects (Cecchetti *et al.*, 2000). For a concrete example of how house and share prices can be taken into account in broad financial conditions indices, see Goodhart and Hofmann (2001).

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22. The bulk of the spread between RPIX and HICP inflation in recent years stems from the weighting methodology and from the treatment of housing:
    - At the lowest level of aggregation, prices are averaged using an arithmetic mean in the case of the RPIX, versus a geometric mean in the case of the HICP. In the presence of relative price variability, geometric averaging results in a lower measure of aggregate inflation. This is one of the features of the RPIX currently being reviewed by National Statistics (alongside quality adjustment, outlet selection, treatment of discounts and appropriate index population).
    - The RPIX encompasses an estimate of the notional amount that home owners would need to regularly set aside to preserve the quality of their estate, based on an index of house prices. In contrast, the HICP has no owner-occupied housing component.
23. In recent years, and largely reflecting rapid increases in house prices, the difference in coverage has on average accounted for around half a percentage point of the wedge between the HICP and the RPIX. It is hard to foresee how persistent this wedge will be in the future.
24. The long-standing Basix survey of inflation expectations shows that the general public, unlike other groups, continues to anticipate an inflation rate of close to 4 per cent. Several reasons may account for what might look like exceedingly sluggish adaptive expectations. *First*, the survey fails to specify the measure of inflation, possibly inviting respondents to take into account asset prices for example. *Second*, the survey asks to choose from a misleadingly wide range of figures (from "below zero" to "greater than 10 per cent"); a recent survey carried out by the same polling organisation for the Bank of England and offering a more restricted set of options (from "gone down" to "up by 5 per cent or more") suggests that the public's expectations are much lower and close to 2½ per cent. *Third*, the distribution of answers in the Basix survey is highly skewed, so that the mean is inflated by a few awkwardly high outliers. Moreover, if the public really expected 4 per cent inflation, nominal wage demands would presumably well exceed what is actually observed.
25. A more technical discussion of the optimal horizon for monetary policy is offered by Batini and Nelson (2000).
26. In theory, this could result in as many as 10 different views being aired: one for each MPC member plus the "collective view", which may not coincide with any of the individual views.
27. For the time being, dissenting views are reflected without attribution in Table 6B of the *Inflation Report*, which since August 1999 spells out the effects on RPIX inflation and GDP growth of assumptions deviating from those underlying the central projection.
28. This was, for instance, discussed by the House of Lords Select Committee on the Monetary Policy Committee of the Bank of England in February 2001.
29. In the United Kingdom, exchange rate policy is set by the Chancellor, while for the euro area the general orientation of exchange rate policy is set by the euro group.
30. The Chancellor indicated in June 2001 that the government's position on the conditions for entry into the euro area had not changed since October 1997 when the five economic tests were originally set out (see Box 3 in the previous Survey), and that an assessment of the economic case for joining would be carried out by the Treasury by mid-2003.
31. The stance is assessed here as the absolute change in the cyclically-adjusted public sector net borrowing (HMT, 1999).

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32. Under self-assessment, which was introduced in April 1996 and concerns in particular the 8 million self-employed, the tax bill is based on the figures provided by the taxpayer without Inland Revenue first checking and agreeing them. Hence, taxpayers are now responsible for ensuring that they pay the right amount of tax. In FY1999/2000, Inland Revenue collected tax receipts of about 2 per cent of GDP through the system.

33. Thus, UK bookmakers are to end the deductions they charged punters, and to repatriate their off-shore operations. The industry welcomed it saying: "For customers, bookmakers, the racing industry and the Government, this is a win-win-win-win situation."

34. It should be recalled in this regard that the monthly fiscal accounts display a fair measure of seasonality, with the balance typically much weaker in the first quarter of the fiscal year.

35. Most initiatives concern the United Kingdom as a whole or England and Wales. However, some initiatives, for instance, in education are not implemented in Scotland, reflecting its autonomy in this area.

36. Over time, the relative position of the United Kingdom has deteriorated (Stewart *et al.*, 2001).

37. See Bosworth (1999), DTI (2001*a*), Council for Excellence in Management and Leadership (2001) and, as regards the lack of specific implementation skills in the civil service, Montague (2001).

38. Some 80 per cent of teachers receive performance-related top-ups. The latter are criticised by the unions, on the grounds that the assessment of performance is entirely left to the head teacher, even though teachers have a right to appeal to an external commission.

39. These reflect mainly housing costs, which are substantially higher in these areas.

40. The recently published White Paper on "Excellence in Schools" (DfEE, 2001*b*) proposes to extend the areas of specialisation as well as the number of specialised schools. Specialised schools achieve higher exam scores and will be required to share practice and funding with less well-performing schools.

41. Some measures need further assessment. For example, the Office of Her Majesty's Chief Inspector of Schools in England reports that among the six pilot Education Action Zones (described in the previous *Survey*) there was too much variability to draw any conclusion as to their impact on schools (House of Commons Select Committee on Education and Employment, 2001).

42. While overall unemployment is relatively low, pockets of distress remain locally, as highlighted in the previous *Survey*.

43. The likelihood of women being economically active still varies considerably according to the presence, or not, of a partner, and the number of dependent children: 75 per cent of lone mothers with one child or more were economically inactive in spring 2000, against 23 per cent with a partner and one child, not least reflecting the high cost of childcare.

44. In practice, a number of young people falling in this category fail to enrol in the NDYP (*e.g.* some of the homeless residents of the charity Centrepoint).

45. This is confirmed by a comparison of the evolution of unemployment for different age groups. Over 1997-2000 or 1998-2000, total claimant unemployment of the 18-24 years old group fell less (in per cent) than total claimant unemployment for all ages, and marginally less than for 25-29-years-olds.

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46. This also implies that the dead-weight loss reported above is probably higher.
47. The way sanctions have been applied across options suggests that the ETF has been seen as the option of last resort. Most sanctions apply there to people declining to enter the option, whereas 58 per cent of the sanctions imposed on participants in the FTET option resulted from voluntarily leaving the option or misbehaviour.
48. See Riley and Young (2001) and Van Reenen (2001). Higher estimates, as provided by the Centre for Policy Studies for example (£14 300), reflect differences in netting out associated costs and benefits. Van Reenen (2001) undertook some sensitivity analysis to the assumptions underlying cost and benefits computations and found that in all cases social benefits exceeded social costs.
49. An early study suggested, however, that the actual destinations of those leavers were not significantly different from the known destinations (Hales and Collins, 1999).
50. Against the advice of the LPC, the Government did not lower the 21-year age limit, despite the fact that the wage distribution for the 21-year-olds is very similar to that of the 22-year-olds. Workers aged 18 to 21, especially the low-skilled, have relatively poorer labour market outcomes than those aged 22 and above. It was on this basis that the Government decided to retain 21-year-olds on the youth rate.
51. This is a measure of relative poverty, as opposed to the headline absolute poverty measure used in the United States (referring to the cost of a minimal basket of goods and services). For more detailed comparisons between the two measures, see for example Brewer (2001*a*).
52. The Gini coefficient for equivalised original income stood at 0.53 at the end of the 1990s, up from 0.46 in 1981 (it was broadly stable over the second half of the 1990s). The Gini coefficient measures income inequality and ranges from 0 to 1: the higher the coefficient, the more unequal the income distribution. Equivalisation adjusts household incomes to take into account their size and composition: for instance, a single person's income of £6 100 would be treated as equivalent to an income of £10 000 for a couple without children.
53. The reforms included in these simulations are the Working Families Tax Credit (October 1999), the child benefit (since 1997), the Council Tax Credit (April 2001), and the increase in income support since 1999.
54. The poverty gap – defined as the total shortfall of household equivalised income for each child below the poverty line – was expected to shrink a bit less in proportional terms than the headcount of poor children. Yet overall, and taking into account the upward shift of the poverty line entailed by the tax and benefit measures, child poverty would have been reduced by between one quarter and one third, by 2001.
55. Overall, most household types gained on average through the personal tax and benefit changes made during the last Parliament, but families with children and pensioners have benefited most (Brewer, 2001*b*). As 31 per cent of single pensioners and 59 per cent of lone parents are poor, compared with 23 per cent for all family types, the targeting was effective.
56. The Government has not yet published WFTC take-up rates, but the latest published statistics show that in May 2001 over 1.25 million families were benefiting from the WFTC. The Government estimates the long run caseload to be 1.4 million. The take up of Family Credit was between 66 and 70 per cent by caseload, excluding self-employed, and between 73 and 79 per cent by expenditure, for FY1998/99. However it is the lowest of all take-ups. For example, income support take-up was between 79 and 89 per cent by caseload, and between 88 and 95 per cent by expenditure in FY1998/99.

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57. So far, the Government estimates that fraud in social security benefits costs the taxpayer at least £2 billion per year. The draft Social Security Fraud Act 2001, which has recently been presented to Parliament, aims at reducing fraud by at least 10 per cent by March 2002. The Bill includes measures to increase information sharing, the possibility of reducing or withdrawing benefits, and financial penalties for employer fraud.
58. The take-up rates of many of the benefits for the disabled is only about 50 per cent (Walker *et al.*, 2000).
59. Only 25 000 disabled workers are benefiting from this credit, a small number given the 1.4 million people who wish to work.
60. A focus on total fixed investment, excluding housing, but including government, is justified because government investment also contributes to growth. Also, with the expansion of various PPPs, the boundary between public and private investment shifts over time.
61. However, this masks some disparities across sectors: except pharmaceuticals, aerospace and health, R&D as a proportion of sales is lower in the United Kingdom than the OECD average. Moreover, government R&D is low compared to other OECD countries and its share is declining.
62. Informal investment refers to individuals who invest in start-ups which are not their own.
63. See the consultation document on "Increasing Innovation", HM Treasury, Inland Revenue, March 2001.
64. Recent regulatory changes include the Working Time Regulation (1998), the Unfair Dismissal and Statement of Reasons for Dismissal Order (1999), the Employment Relations Act (1999), the Part Time Workers Regulation (2000) and the National Minimum Wage Act (1998).
65. So far, the measures adopted are a reform of the law on gaming machines and proposals to relax licensing restrictions on New Year's eve.
66. The incentive has proven popular as more than 480 companies had awarded EMI options to over 2 600 employees until the end of February 2001.
67. There is a special treatment of R&D for SMEs (introduced in the Finance Bill 2000) and of R&D capital expenditure in all firms. However, since R&D is made up of around 40 per cent wages and salaries, 50 per cent current expenditures and 10 per cent capital expenditures, it does not provide a very significant subsidy to overall R&D (Bloom *et al.*, 2001).
68. Since the 1980s, the Secretaries of State and Industry have publicly promised to base their own decisions only on competition criteria.
69. The first case of abuse of a dominant position to be fined is that of the pharmaceutical company NAPP, which supplied sustained release morphine to patients at excessively high prices, while granting hospitals discounts that blocked competitors. The OFT has fined NAPP £3.21 million and made proposals to end the infringement, in particular by reducing the price of the drug to the community and limiting the degree to which community prices can exceed hospital prices. NAPP has appealed to the CC Appeals Tribunal. The second case is Aberdeen Journals Ltd., found to be dominant in the market for the supply of advertising space in local newspapers, and to have engaged in predatory pricing. A £1.33 million fine was imposed.
70. The regulators have all the powers of the Director General of Fair Trading (DGFT) to apply and enforce the Act to deal with anti-competitive agreements or abuse of mar-

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ket dominance relating to relevant activities in their designated sector. The DGFT alone, however, has powers to issue guidance on penalties and to make and amend the DGFT's procedural rules.

71. The two sectors are increasingly linked: 40 per cent of electricity is now generated by gas, and companies are now active in both markets, often offering "dual fuel deals".
72. Since the previous survey, the telecommunications and broadcasting regulators have merged in a single regulator, OFCOM.
73. The earlier comprehensive reviews of company legislation are the Cohen Committee Report (1945) and the Jenkins Committee Report (1962).
74. Blake (2001) estimates that the BSP, which is around 16 per cent of today's national average earnings, will only represent 10 per cent by 2025.
75. Disney *et al.* (2001*a*) find a positive but small net effect on the saving rate of around 0.2 per cent of GDP in 1990, when the possibility of contracting out of state pensions was offered. Similar systems, as in Canada for example, did not trigger any rise in savings either.
76. Nevertheless, the Government has decided not to legislate on this issue, but rather has given the City two years to come up with its own proposals.
77. Namely: *i*) to confine decision making with professionals endowed with appropriate skills and expertise, *ii*) to establish clear objectives and time scales for managers, *iii*) to implement performances measurement, and *iv*) to produce regular reports on the investment strategy to members and the public.
78. This would require fund managers to intervene in companies, for example by voting, whenever they believe this can enhance corporate performance, and hence the value of the investment.
79. The MFR, created by the Pensions Act 1995, aims both at protecting pensioners in the case of a company's insolvency and safeguarding from fraud. It imposes a minimum level of assets that must be matched by liabilities. In practice, it defines benchmark discount rates that should be used for valuing a pension scheme's liabilities, most notably the market yield on government securities. In response, pension funds sought to minimise their exposure to interest rate fluctuations by allocating a greater share of their portfolios to government securities, at the expense of equities. This results in standardised portfolios, that is not necessarily efficient as a consumer umbrella, and can even distort financial markets (Blake, 2001).
80. At the same time, the need for reform was underscored by some lapses in supervision, revealed notably by the Mirror Group pension scandal, the collapse of Bank of Credit and Commerce International and of Barings Bank, and in the insurance sector the heavy losses incurred by Lloyds, which drove it to the brink of bankruptcy.
81. The merger process is expected to be completed in November 2001.
82. However, reports in the 1990s suggested growing dissatisfaction with the previous regime of self-regulation and the self-regulatory organisations (*e.g.* Mayer, 2000).
83. The procedure for a troubled insurance company is relatively straightforward. The Policyholders Protection Board (PPB) was established by the Policyholders Protection Act (1975 Act), and will be superseded by the Financial Services Compensation Schemes (FSCS) as a result of the Financial Services and Markets Act (FSMA) 2000 from December 2001. The rules governing the FSCS are a matter for the FSA, which is currently conducting a consultation process. Currently, the PPB is funded by the insurance industry. Claims under UK policies can be met by the PPB in two ways:

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i) Valid claims made under compulsory insurance, which includes third party motor insurance and compulsory employers' liability insurance are met 100 per cent.

ii) Valid claims made by private individuals under non compulsory insurance are payable to 90 per cent of the agreed value of the claim.

Claims by businesses, except for claims under compulsory insurance policies, will generally rank with other creditors of the company to be paid in due course by the provisional liquidator to the extent that funds are available.

84. Direct costs are linked to bailout operations, and more indirect and longer-term costs are due to the impact of financial markets on growth (Leahy *et al.*, 2001).

85. In 1984, it rescued Johnson Matthey Bankers Ltd. because of its stated concern that failure could trigger problems elsewhere, especially in the interbank gold market.

86. In UK policy documents reference is made usually to finances of the public sector, which is broader than general government. Capital grants from the Government to state-owned companies are included in general government outlays, and so is expenditure by public bodies outside government departments, unless they are part of state-owned companies (this is the case if for example, a regulatory activity is carried out by a state-owned company). Local authorities and social security institutions are also in general government. However, if public service providers are organised in trusts or partnerships selling their services to a government department, such providers are outside general government. This is the case in the United Kingdom, where National Health Service Trusts are part of the public sector but not comprised in general government. Hence out-of-pocket payments by users are not in general government revenue either and only the grants or fees paid by the relevant department on behalf of the users are included in general government expenditure – similar to subsidies to state-owned companies. Due to privatisation of public companies, the differences between general government and public sector spending levels have come to be insignificant.

87. For a number of reasons, international and inter-temporal comparisons of public expenditure may be misleading due to differences in institutions and accounting conventions with regard to social transfers, see Adema (2000). Specifically, the extent to which social benefits are taxed varies across countries and over time and mandatory or voluntary private arrangements providing close substitutes to public social expenditure are usually not taken into account.

88. Based on National Accounts numbers for general government.

89. This table reports expenditure as a percentage of trend rather than actual GDP in order to remove the impact of GDP volatility on the denominator.

90. Meanwhile, with the National Health Service being funded largely by general tax revenues and providing universal health care free of charge, the United Kingdom has the most redistributive health care system of a sample of countries including Denmark, Finland, France, Germany, Ireland, Italy, Netherlands, Portugal, Spain, Sweden, Switzerland and the United States. This reflects the large share of expenditure funded by general taxes, and its relative progressivity. See Wagstaff *et al.* (1999) and Van Dorslaer *et al.* (2000).

91. The privatisation of the National Bus Company has been less problematic as the coach operators recovered part of the clientele of the railways.

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92. Each budget cycle a ritual dance between spending departments and the Treasury would typically continue until time ran out and core Ministers (the Star Chamber) or the Prime Minister had to step in.

93. Accrual accounting and budgeting recognises the financial implications of transactions when they occur, irrespective when cash is paid or received.

94. The Government thus *de facto* pre-empted key elements of the IMF's *Code on Good Practices* and the OECD *Best Practices* on fiscal transparency, akin to the reforms introduced by New Zealand and Australia (the Fiscal Responsibility Act and the Charter of Budget Honesty, respectively).

95. The United Kingdom is not unique in this regard: in Germany the golden rule is enshrined in the constitution, and is used by most individual states in the United States, while Australia adopted it recently.

96. The basic assumptions underlying this projection are the following. Trend GDP growth is assumed to be 2¼ per cent per year rather than the central estimate of 2½ per cent. As a result, the output gap, which is estimated to be 0.6 per cent in 2000/01, would steadily fall to zero by the end of the projection period. Net investment is projected to gradually approach the target of 1.8 per cent of GDP.

97. The *Code* stipulates that discretionary fiscal policy could be used in support of monetary policy through changes in the fiscal stance, "where prudent and sensible". Its thrust is clearly to avoid a pro-cyclical fiscal stance, *i.e.* to stimulate in an upswing or to tighten in a downturn, but does not exclude anti-cyclical fiscal policy. The prominence given to automatic stabilisers has prompted the Government to provide estimates of the structural fiscal balances since 1997. The methodology adopted for these calculations is broadly similar to that used by the IMF, OECD and the European Commission.

98. Generational accounts for the United Kingdom suggest that intergenerational equity is practically achieved on the basis of current fiscal policy, given that a simultaneous increase in health and education spending, as intended by the Government, is directed to different age groups. See Agulnik *et al.* (2000), Banks *et al.* (2000) and Carderelli *et al.* (2000). On the other hand, it could be argued that the "unchanged policy" assumptions, on which such accounts are based, are not realistic.

99. In a system of pure accrual accounting public-private partnerships and publicly funded investment are broadly equivalent from a budgeting point of view, because capital charges would be the same in both cases. However, in national accounts terms, off-budget investment gives rise to a decline in the surplus on current account equivalent to the total capital charges whereas on-budget investment would have this effect only for the amount of the depreciation charge.

100. Van den Noord (2000).

101. Earlier work by the OECD suggests that the budget would need to be in structural surplus of around ½ per cent of GDP to reduce the probability of breaching the ceiling within five years to 10 per cent (Dalsgaard and de Serres, 2000). However, this is based on the previous policy framework which may have been conducive to larger economic volatility than the present framework.

102. The Government has started to produce detailed medium-term projections for public expenditure every two years for a planning horizon of three years, in the so-called Spending Reviews. The first Review was published in July 1998 and spanned the period from fiscal year 1999/2000 to 2001/02. The second Review was published in July 2000, and covered 2001/02 to 2003/04. The third Review for the period 2003/04 to 2005/06 has been scheduled for July 2002.

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103. While spending departments will be held accountable for success or failure of investment projects, the Treasury retains a role in monitoring and advising project teams at all stages of the investment process, including planning, procurement and implementation.

104. The five policy areas with a cross-departmental PSA are Sure Start (a programme for disadvantaged children aged 0-3), Welfare to Work (a programme providing employment opportunities for the young and the long-term unemployed), the Criminal Justice System, Action against Illegal Drugs and Local Government issues.

105. A striking example of this was the former PSA concerning the National Health Service, which set a target for the reduction of the number of patients waiting more than a year. This gave an incentive to treat new patients with priority and keep patients who had been on a waiting list for over a year waiting even longer. This was corrected in the new PSA, which targets a reduction in the maximum wait for treatment.

106. Unlike competitive tendering and outsourcing, the concept of "public-private partnerships" may have different meanings across countries. For instance, in the United States it often refers to programmes for technological innovation linking publicly funded research with industry application.

107. In the United States the use of private prisons has grown rapidly from a capacity of 1 200 prisoners in 1985 to almost 50 000 ten years later. Still, only 3 per cent of all prisoners are held in privately operated prisons. Savings from outsourcing this activity to private companies through competitive tendering generally amount to 10 per cent of the cost, largely due to publicly employed prison guards on average earning 15 per cent higher wages than private guards.

108. For example, the French toll road system allows rationing based on variation in toll levels during the day and managing traffic flows by expanding or reducing the number of tollgates.

109. The implications for long-term fiscal sustainability are similar in both cases. Consequently, the increased use of private finance of public services might call for reconsidering the present practice of not including public obligations under such schemes in the measures of public debt when evaluating the government's debt position.

110. For example the Lewisham concession of the Dockland Light Railway extension in east London was put into operation almost a year before planned.

111. Although, in a sufficiently large market this may not be a problem, since there would be a continuous flow of contracts despite their long duration.

112. DETR (2000). The Local Government Association (2000) largely shares these recommendations.

113. The recent devolution of legislative and executive power to Scotland, Wales and Northern Ireland have raised this share somewhat (the numbers in Figure 30 refer to 1997, the latest year for which internationally comparable data are available). However, the overall picture has not changed much to date (see Table 10).

114. The share of local government in the total tax take in the United Kingdom has been found to be the second-lowest of a sample of 19 OECD countries after the Netherlands, see OECD (1999). However, this stylised fact conveys little information on the UK's relative position against other OECD countries concerning sub-central tax autonomy, which depends also on the power of local governments to set tax rates and/or bases.

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115. The SSA formula attempts to capture variations in the cost of providing services due to factors that are beyond the control of any individual authority. Local authorities do not necessarily have to spend exactly the amounts indicated by the formula, as this depends on the level of efficiency achieved (higher efficiency means they could spend less) or the actual rate of council tax (a higher rate means they could spend more than the formula indicates).

116. This is due mostly to changes in the population data that enter the formula and *ad hoc* changes to the formula. Moreover, the grant system relies too much on the mechanical use of statistics and seldom draws on wider evidence.

117. The arrangements for investment in council housing would also remain separate.

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Glossary of acronyms

AGM	Annual General Meeting
AME	Annually Managed Expenditure
BRTF	Better Regulation Task Force
BSP	Basic State Pension
BT	British Telecom
CC	Competition Commission
CGT	Capital Gains Tax
CTC	Children's Tax Credit
CVA	Company Voluntary Arrangements
DEL	Departmental Expenditure Limit
DGFT	Director General of Fair Trading
DMCI	Dynamic Monetary Conditions Index
DTI	Department of Trade and Industry
EC	European Commission
ECB	European Central Bank
EMI	Enterprise Management Incentive
ETF	Environmental Task Force
EU	European Union
EUR	Euro
FMD	Foot-and-Mouth Disease
FSA	Financial Services Authority
FSCS	Financial Services Compensation Schemes
FTET	Full-Time Education and Training
FY	Financial Year
G10	Group of ten countries (Belgium, Canada, France, Germany, Italy, Japan, Netherlands, Sweden, United Kingdom, United States) plus Switzerland
GAR	Guaranteed Annuity Rate
GDP	Gross Domestic Product
GP	General Practitioner
HB	Housing Benefit
HICP	Harmonised Index of Consumer Prices
HMT	Her Majesty's Treasury
ICT	Information and Communication Technology
IMF	International Monetary Fund
ISA	Individual Savings Accounts
IT	Information Technology
JSA	Job Seeker Allowance
LEA	Local Education Authority

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LFS	Labour Force Survey
LOLR	Lender Of Last Resort
M&A	Mergers and Acquisitions
MAFF	Ministry of Agriculture, Food and Fisheries
MCI	Monetary Conditions Index
METR	Marginal Effective Tax Rate
MFR	Minimum Funding Requirement
MIG	Minimum Income Guarantee
MPC	Monetary Policy Committee
NAO	National Audit Office
NDDP	New Deal for Disabled People
NDLP	New Deal for Lone Parents
NDLTU	New Deal for Long-Term Unemployed
NDYP	New Deal for Young People
NHS	National Health Service
NIC	National Insurance Contributions
NMW	National Minimum Wage
OFGEM	Office of Gas and Electricity Markets
OFT	Office of Fair Trading
OPRA	Occupational Pensions Regulatory Authority
PBR	Pre-Budget Report
PFI	Private Finance Initiative
PPB	Policyholders Protection Board
PPP	Public-Private Partnership
PSA	Public Service Agreements
PSBR	Public-Sector Borrowing Requirement
R&D	Research and Development
RIU	Regulatory Impact Unit
RPIX	Retail Price Index excluding mortgage interest payments
RPIY	Retail Price Index excluding mortgage interest payments and indirect taxes
SBS	Small Business Service
SERPS	State Earnings-Related Pension Scheme
SME	Small and Medium-sized Enterprises
SR	Spending Review
SRA	Strategic Rail Authority
SSA	Standard Spending Assessment
UMTS	Universal Mobile Telephone Systems (third generation mobile telephone systems)
VAT	Value Added Tax
WBTYP	Work-Based Training for Young People
WFTC	Working Families Tax Credit
WRPA	Welfare Reform and Pensions Act

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Annex I

The foot-and-mouth crisis

The United Kingdom recently experienced its worst crisis of foot-and-mouth disease (FMD) ever, on a scale implying tangible macroeconomic effects, in particular on output, inflation and the budget. By late September 2001, more than 2 000 cases had been spotted on nearly 9 500 different premises and 3.9 million animals had been slaughtered (of which 3.1 million sheep, 0.6 million cattle and 0.1 million pigs).[1] The bulk of the confirmed cases was concentrated in the North of England. This annex recalls how the infection arose and spread and discusses its economic consequences.[2]

FMD does not kill adult animals (nor does it harm humans, unlike bovine spongiform encephalopathy) but it diminishes their economic value and is extremely infectious. Cattle, for instance, lose up to half of their milk production following the infection, and put on insufficient weight. As compensation is available, it is more economical for a farmer to kill the animal than to keep it. Vaccination is not an obvious solution to contain the spread of FMD because the standard test accepted by the relevant international body – the Office International des Épizooties – looks for antibodies against FMD as a sign of infection, but these are the same antibodies that vaccination produces. Immunised animals therefore can no longer be exported.[3]

The United Kingdom had last suffered a major outbreak of FMD in 1967-68.[4] That epidemic was probably caused by infected Argentine lamb that had been legally imported and legally entered the animal food chain. The origin of the 2001 epidemic remains to be established with certainty. On 19 February, a veterinary inspector at an abattoir in Essex suspected FMD in pigs being held for slaughter. The particular virus was identified the next day as O Pan-Asiatic, a highly virulent strain. By 23 February, there were six confirmed cases, and a national ban on animal movements was introduced. A farm at Heddon-on-the-Wall in Northumberland is the most likely source of the primary outbreak. From there the virus probably spread by airborne plume to seven farms in Tyne-and-Wear and one of these sent infected sheep to the Hexham market on 13 February. Some of these animals were sent via dealers to markets in Cumbria on 15 and 22 February and then further dispersed. The primary outbreak which triggered the current epidemic was thus never reported. FMD was only detected after animals had been sent to an abattoir hundreds of miles away. By then, infection had already spread to other farms across the country.

In the 1967-68 outbreak, 94 per cent of all the confirmed FMD cases – 2 228 in all – were concentrated in the North-West Midlands and North Wales. In contrast, the 2001 outbreak became a national epidemic. Indeed, the spreading of the disease occurred differently this time. Nearly all the secondary outbreaks in the 1967-68 epidemic were attributed to local spread caused by wind, birds, rodents, and other fauna. Only one confirmed case was attributed to animal movements. In 2001 instead, the Ministry of Agriculture, Food and Fisheries (MAFF)[5] believe that animal movements, particularly of sheep, lie behind the wide geo-

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graphical dispersion of the disease. Sheep travel a lot more than three decades ago, partly because of the concentration of livestock markets and slaughterhouses that has taken place since.[6] Sheep from different farms are mixed to create uniform batches, thereby vastly increasing the number of animal contacts. The same animal thus often moves several times within a few days. Against this background, MAFF estimated that the overall number of sheep moved after the disease entered the country and before the ban on movement was imposed may well have exceeded 2 million.

FMD severely affected agriculture and tourism in a number of regions. However, livestock culling has little immediate effect on agricultural output, because the national accounts measure livestock production by natural growth of the stock plus births, and culling is treated as a catastrophic loss that does not score as an inventory change. Thus lost output is the forgone growth of the stock and births that would otherwise have occurred. This is spread out over time, and with livestock farming accounting for only ½ per cent of GDP the associated direct effect on GDP is marginal. The closure of numerous footpaths, roads and canals cut significantly into local demand for tourism-related services but the aggregate impact was less clear-cut. It depends on the degree to which planned tourism expenditure in rural areas was switched to spending on tourism elsewhere or on other goods and services. Day trips account for around half of the 7 per cent of GDP worth of total tourism outlays and such spending was probably largely diverted to other goods and services. For longer holidays, some domestic residents will rather have travelled abroad, and some visits from overseas will have been deterred. Overall, estimates suggest that FMD depressed GDP by less than a quarter of one per cent.

FMD reduced the supply of, as well as the demand for, UK-produced meat. The cut in domestic supply was met by increased imports. In the very short run, this pushed the price of imported meat up by about 20 per cent. As more supply from overseas became available and UK livestock production recovered, the associated impact on the retail price index was largely reversed. The indirect effects of FMD on tourism have probably tended to reduce demand relative to potential supply, thus marginally weakening aggregate inflationary pressures for a while. To the extent that the FMD crisis worsened confidence in the general economic situation, the ultimate effects on activity and prices may have been more significant, although they are likely to unwind fairly swiftly.

The impact on farmers and other affected sectors was mitigated by government compensation payments and measures to ease cash-flow constraints. The Government has committed £0.9 billion to farmers in statutory compensation for the purchase and slaughter of their livestock, on account either of direct contact with the disease or of dangerous proximity to or connection with a case. Another £0.4 billion has been committed to pay for the associated costs of the outbreak, such as slaughtering, transportation and disposal of carcasses, and disinfection of premises.[7] In addition, the Government has operated a Livestock Welfare Disposal Scheme to ease financial problems in farms where livestock has been prevented by movement restrictions from entering the food chain as normal. Furthermore, the Government has announced various measures benefiting non-agricultural businesses in rural areas (mainly related to tourism), but none of them carry a significant budgetary cost. The direct costs of the eradication of FMD are partly reclaimable from the EC Budget.[8] On the revenue side, the timing and amount of tax receipts will be affected, although the Government expects the net impact, taking into account the displacement of consumer demand, to be small.

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Notes

1. In 2000, the sheep headcount was 27.5 million, the cattle headcount 10.9 million, and the pig headcount 11 million.
2. The epidemic was not confined to the United Kingdom. The Netherlands in particular were severely hit as well.
3. There are a number of other problems with vaccination, including as regards the effectiveness to eradicate the disease and the cost.
4. The early 1950s also saw a substantial epidemic.
5. Following the general elections, restructuring of government departments led to the creation of a Department for Environment, Food and Rural Affairs in lieu of MAFF.
6. Ironically, the concentration of slaughterhouses was *inter alia* a response to rising hygiene standards following the United Kingdom's accession to the European Economic Community.
7. Cleaning and disinfection operations were suspended in late July, however, in view of concerns about their escalating cost and possible misuse of public monies, following allegations of collusion between farmers and livestock valuers to inflate the value of culled animals.
8. Specifically, under Council Decision 90/424/EEC, 60 per cent of the eligible costs incurred by the concerned EU Member States are to be borne by the EU budget. A first advance of € 355 million was allocated in August 2001 to the United Kingdom. The final and total amount to be paid will not be fixed until the Commission has further pursued financial and veterinary inspections in the United Kingdom, and official final claims have been filed.

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Annex II
The pound's "fair" value

The pound is widely seen to be overvalued, including by the Bank of England, although the latter has not published any estimates of what might be the extent of the misalignment. This annex briefly recalls the evolution of the pound's bilateral exchange and effective rates and presents the results of econometric and other studies that have attempted to estimate some sort of "equilibrium" rate. It should be noted that effective equilibrium exchange rates can fluctuate over time implying some caution should be adopted in interpreting the results.

Exchange rate developments

The real effective exchange rate, based on a broad sample of partner countries and on consumer prices, collapsed following the exit from the European Exchange Rate Mechanism (ERM) in late 1992 (Figure A1, Panel A). For about three years, it fluctuated within a narrow range but in 1996-97 it experienced a surge to levels not witnessed since the early 1980s. Since 1998, it has again remained within a narrow range, but around a level which is some 26 per cent stronger than the 1993-95 average and some 14 per cent stronger than its long-run average.

The main underlying nominal bilateral exchange rate developments have seen greater changes (Figure A1, Panels C and D). During the second half of the 1990s, the pound traded in a relatively narrow band against the dollar, but between the start of 2000 and August 2001, the pound significantly lost ground. In fact, over these 20 months, it followed the euro in its fall *vis-à-vis* the dollar, although not all the way. Movements of the pound against the dollar and the euro are illustrated in Figure A2. Looking at monthly movements within this 20-month period, it appears that the pound fluctuated within a ±4 per cent range around €/£1.64 but within a ±8 per cent range around $/£1.52.

A generally shared diagnosis: overvaluation

While this year the pound has followed the euro more closely than the dollar, it is strong *vis-à-vis* the euro from a historical perspective. A symptom of overvaluation is that the UK goods market share in the euro area shrank from 18.5 per cent in 1997 to 16.0 per cent in 2000. In contrast, the pound is historically weak *vis-à-vis* the dollar, though not perhaps to the same extent as its strength against the euro.

There are several ways to gauge how far away from some notion of "equilibrium" the pound may be, whether in bilateral or in effective terms. The most common ones appear in Table A1, which summarise the results of the available empirical studies. Most of them corroborate the impression that the pound is overvalued *vis-à-vis* the euro, although it should be borne in mind that the reference periods used differ and that "equilibrium" values them-

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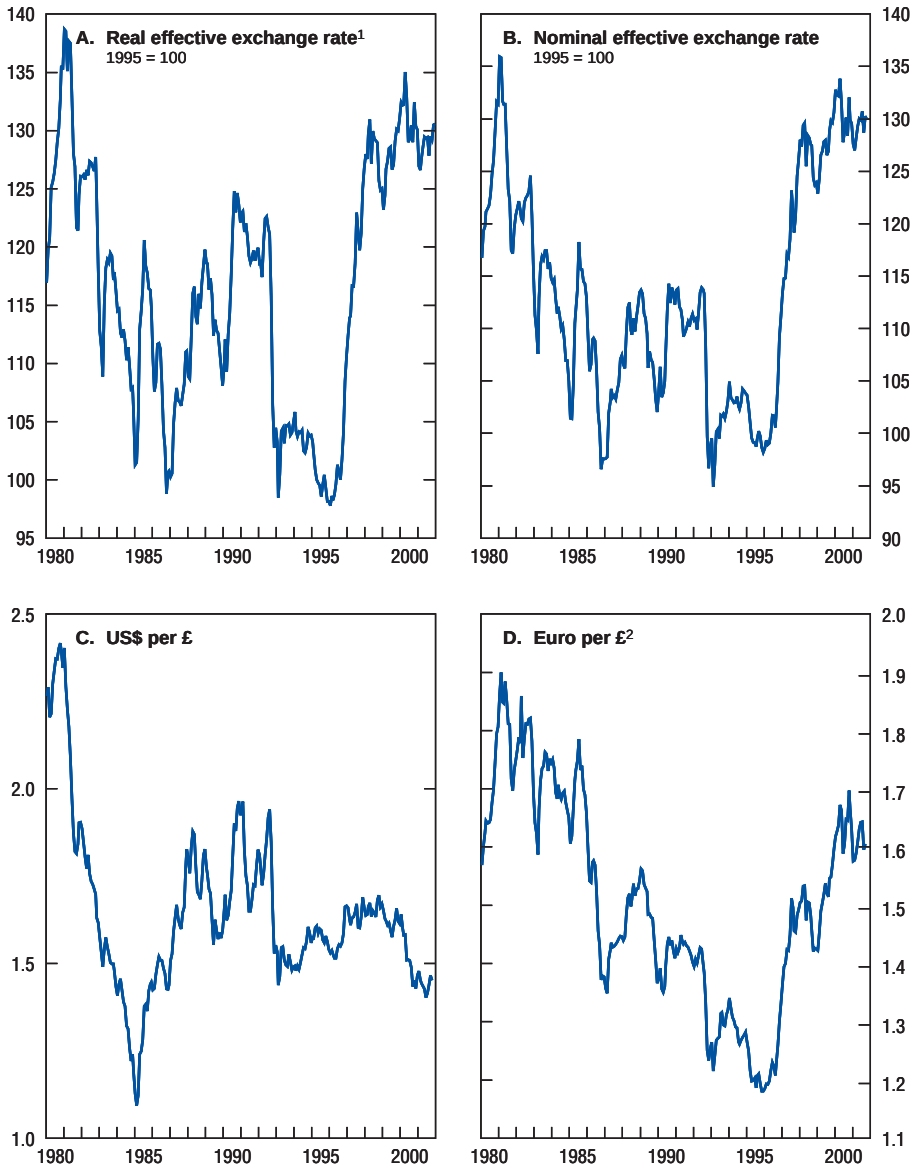
Figure A1. **Key exchange rates**



1. Deflated by the consumer price index.
2. ECU per £ before 1999.

Source: OECD.

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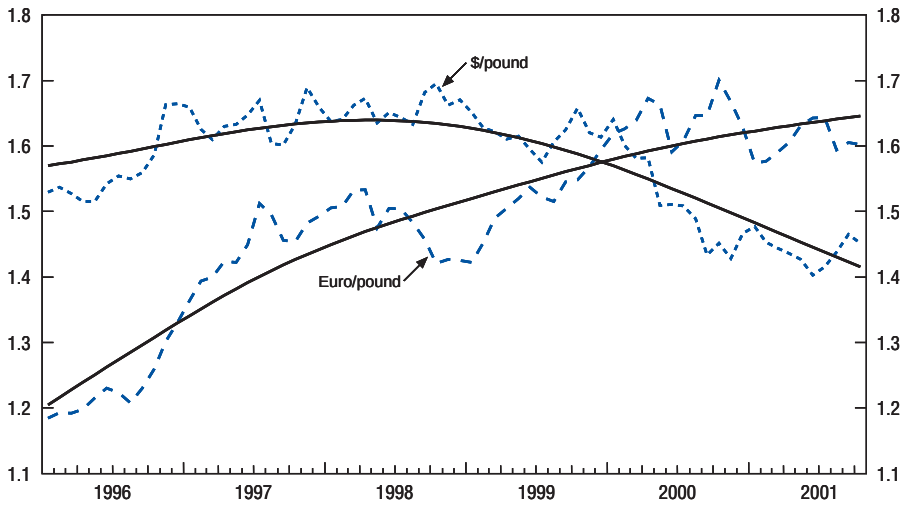
Figure A2. **Sterling *versus* the euro and the dollar**



Source: OECD.

selves vary over time, implying that the point estimates or ranges shown are not directly comparable across studies. Moreover, the concept of an equilibrium rate may not necessarily coincide with the prescription for a hypothetical euro area entry rate. There are relatively fewer studies on the $/£ rate, but those featuring in Table A1 suggest that the pound is undervalued *vis-à-vis* the dollar, although in absolute terms the degree of misalignment is less than *vis-à-vis* the euro. In effective terms, the available studies also point to some overvaluation.

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Table A1. **Alternative estimates of the pound's "equilibrium" value**[1]

Study/Basis	Methodology	Reference period	Equilibrium value
Alberola *et al.* (1999)	Internal/external balance model	End-1998	EUR/GBP 1.23
Alberola *et al.* (2001)	Internal/external balance model	End-1999	EUR/GBP 1.39
Church (1999)	FEER model	1999 Q2	23% below market rate
Wren-Lewis and Driver (1998)	FEER model	2000	EUR/GBP 1.04 to 1.27
Barrell *et al.* (2000)	Unspecified	Entry in euro area	EUR/GBP 1.55
Goldman Sachs (2000)	DEER model	End-May 2000	USD/GBP 1.57 and EUR/GDP 1.29
Goldman Sachs (2001)	DEER model	1 February 2001	USD/GBP 1.56 and EUR/GBP 1.30
Huhne (2000)	Various approaches	Entry in euro area	EUR/GBP 1.25 to 1.45
Hansen and Roeger (2000)	Internal/external balance model	1999Q3	10 to 20% below market rate
CBI	Survey of members in 1999	Entry in euro area	EUR/GBP 1.33-1.38
	Survey of members in late 2000[2]	Entry in euro area	Around EUR/GBP 1.48
TUC (2000)	Judgement on competitiveness based on other studies	July 2000	EUR/GBP 1.4
OECD PPP estimates	GDP PPP	2000	USD/GBP 1.53 and EUR/GBP 1.40
Schulmeister (2000)	Tradeables PPP	Mid-2000	EUR/GBP 1.29
Wadhwani (1999)	ITMEER	September 1999	Around EUR/GBP 1.53
Zyblock and Madsen (2000)	Eclectic combination (for medium run) and producer price PPP (for long run)	Late 1999	Medium run: USD/GBP 1.63 and EUR/GDP 1.5 Long run: USD/GBP 1.52 and EUR/GBP 1.34
Jones and Fornasari (2001)	PPP adjusted for demographic trends	Long run	EUR/GBP 1.33
O'Sullivan (2001)	FEER model	Mid-2001	EUR/GBP 1.43
	GDP PPP	2000	EUR/GBP 1.46
HSBC (2001)	Unspecified	Entry in euro area	EUR/GBP 1.48 to 1.53

1. PPP: Puchasing Power Parity; FEER: Fundamental Equilibrium Exchange Rate; DEER: Dynamic Equilibrium Exchange Rate; ITMEER: Intermediate-term, model-based equilibrium exchange rate.
2. This survey was less comprehensive than the 1999 one, and therefore less representative.

Source: OECD.

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Annex III
The reverberations of the oil price shock

In early 1999, the dollar price of oil stood at its lowest level since the mid-1980s (Figure A3). In real terms, it had declined to levels not witnessed in decades. In the course of 1999 and 2000, however, the oil price trebled.[1] In relative terms, the nominal price jump was of the same order of magnitude as the one experienced in the late 1970s and larger than the temporary blip associated with the Gulf war in the early 1990s. In real terms, however, the level of oil prices remains well below that prevailing in the late 1970s and early 1980s. Moreover, the economy's reliance on oil has diminished considerably since then. Against this background, and taking into consideration the fact that unlike many other OECD countries the United Kingdom is a net oil exporter, the question arises of the impact on the UK economy of the 1999-2000 oil price shock.

Channels

At the enterprise level, the shock pushes up the costs of firms using oil as a production input. Even if they can pass on some of the increase in costs, the shock tends to reduce profits, possibly depressing employment and investment, and thus real GDP. This domestic impact is compounded by the adverse effect of higher oil prices on demand overseas and thereby on UK exports. In volume terms, the latter may be further slowed if higher oil prices contribute to sterling appreciation. The favourable impact of the shock on the oil industry itself is too small to fully offset these negative effects on GDP. The oil sector represents only about 6 per cent of industrial output and 2 per cent of GDP, and oil companies are unlikely to spend or distribute all of their extra profits in the short run.[2]

As regards households, the shock translates into higher retail prices, both directly owing to rising gasoline and heating oil prices and indirectly as higher oil costs are reflected in other retail prices. This bites into real incomes and therefore dampens consumer spending. Over a longer time span, wage earners may try to recover the lost real income and press for higher wages. An incipient wage-price spiral in turn may prompt the central bank to tighten monetary policy, slowing growth further.

On the external side, as net oil exports are equivalent to about half a per cent of GDP, the shock improves the United Kingdom's terms of trade and external balance somewhat. Most of the North sea oil exports are destined to other EU countries, and oil imports come from non-EU countries. Hence, notwithstanding sterling's sizeable appreciation *vis-à-vis* the euro in 1999-2000, the UK's trade balance with the rest of the EU improved significantly.

The fiscal position is adversely affected by the negative impact on aggregate demand of higher oil prices, but this is partly offset by the additional North Sea revenues stemming from the corporate tax levied on oil companies, the petroleum revenue tax and royalties. Fuel duties are levied as a fixed amount per litre and hence their yield is not affected much, with

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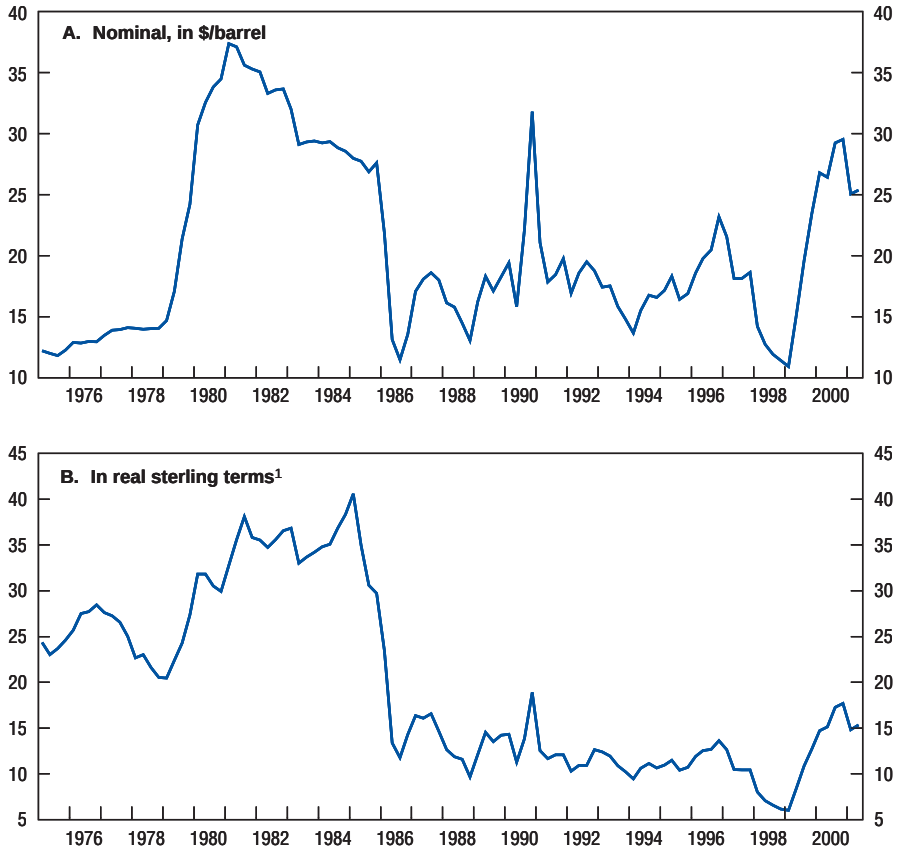
Figure A3. **Oil price**



1. Deflated by GDP deflator, using 1995 prices.
Source: OECD.

demand fairly inelastic in the short run. Higher value-added tax (VAT) receipts on fuel largely displace VAT receipts from other household spending, while VAT on fuel purchased by businesses is generally reclaimed.

Magnitudes

Model-based simulations may gauge the quantitative impact of the oil price shock on GDP, inflation and the current account. Defining the shock as a lasting $10 per barrel increase (roughly corresponding to the change between the average price in 1999 and the average

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price in the first half of 2001),[3] and based on simulations carried out in the Autumn of 2000 with Oxford Economic Forecasting's global macroeconometric model, the immediate impact (in the first year) is a small, 0.1 percentage point, cut in GDP. However, one year later, once the shock has had more time to work through the economy, a loss of close to half a percentage point of GDP is incurred. Inflation is pushed up by 0.2 percentage points in the very short run, and by half a percentage point two years down the road.[4] Unlike in the United States or in the euro area, the current account improves by 0.2 percentage points of GDP in the first year and by half a percentage point of GDP in the second year.[5]

Notes

1. For an analysis of the factors that drove up the oil price, see the *Oil Market Report* of the International Energy Agency.
2. Gross trading profits of the Continental shelf companies jumped from £13.6 billion in 1999 to £21.4 billion in 2000.
3. The average price in 1999 is itself roughly equal to the average in the second half of the 1990s (in nominal terms). The average price in 2000 was a bit higher than in the first half of 2001.
4. By way of comparison, the mechanical contribution of the increase in the petrol and oil price component of the RPIX to overall RPIX inflation was 0.6 percentage point in 2000.
5. Young (2000) presents a somewhat different simulation which *inter alia* highlights that the fiscal impact is positive in the very short run but negative over the longer run, and that the effective exchange rate appreciates, doing much of the work higher interest rates would otherwise need to do.

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Annex IV

Asset-based welfare

Two new asset-based welfare measures have been put up for consultation: the Child Trust Fund and the Saving Gateway (HMT, 2001*b*). They both aim at fostering saving among groups that traditionally have little if any financial savings on the grounds that this can help them become more independent and secure a more promising future for their children. They complement a series of initiatives that have already been put in place, including the introduction of tax-free individual savings accounts (ISAs) in 1999 and of so-called stakeholder pensions in April 2001 (see Inland Revenue, 2001).

Endowing children

The Child Trust Fund would be an account opened for all children at birth.[1] The Government would pay in a grant which would be inversely proportional to household income. Family and others would make supplementary contributions, which might be encouraged by tax incentives. The government's contribution could be paid in instalments, helping to remind parents that the money is there and building up. Access to the funds accumulated in the account would be restricted until adulthood. At maturity, the uses of the funds might be confined to investments in education, enterprise or housing (as is the case with individual development accounts in the United States).

Illustrative examples have been put forward in the Treasury's consultation document involving an initial endowment of £500 for the poorest families, followed by £100 contributions when the child turns five, 11 and 16. All other families would receive half as much. Taking into account tax-free compound interest of 5 per cent per annum in real terms and assuming modest parental contributions of £5 a month (*i.e.* less than one per cent of the salary of a minimum wage earner), a child from a lower-income family would end up with £3 376 in real terms in his or her account by age 18.[2]

Matching low-income families' saving efforts

The Saving Gateway consists of a new type of savings account which could be opened only by low-income households. They would be encouraged to build it up by matching grants from the Government, up to some upper limit. The account would run for a fixed period of time as a springboard to other existing savings vehicles such as ISAs or stakeholder pensions. Incentives could be structured so that those who save regularly are rewarded most: for example, instead of a single annual limit for savings eligible for matching, the Government could set smaller, monthly limits. During the lifetime of the Saving Gateway, users could access funds so that these savings can actually be mobilised on a rainy day.

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The illustrative examples provided by the Treasury involve a fixed three-year period for the account, with the Government matching every pound deposited into it by the individual on a 1:1 basis, up to a monthly ceiling of £50. Assuming a 2.5 per cent annual rate of return in real terms, and a monthly saving effort of £25, the beneficiary would end up with £1 870 in real terms.

Merits and problems of asset-based welfare

In the view of the Treasury, lower-income households' saving incentives need to be enhanced. These families save very little: by 1996, one in ten households had no savings (be it in the form of housing, life assurance, private pension rights or financial savings other than current accounts), a proportion almost twice as high as in the early 1980s (Banks and Tanner, 1999). Savings would provide these families with a buffer against rainy-day needs as well as a source of independence and opportunity. The very act of saving encourages greater self-reliance, forward-planning and an increased willingness to make personal investments. There is indeed some evidence that young people with assets tend to enjoy better prospects in life (Bynner and Despotidou, 2001). It can also be argued that some of the existing tax breaks encouraging higher-income earners to save do not benefit those at the bottom of the income distribution and who pay no taxes and that some of the capital limits for benefit eligibility discourage the latter to save. Moreover, dispensing financial education to people who have no savings might be ineffectual, and saving might be a habit-forming activity, hence the merit of providing assets rather than simply additional income.

Asset-based welfare schemes nonetheless raise questions. As regards the Child Trust Fund, to what extent are traditional student grants or subsidised loans not sufficient instruments to help liquidity-constrained young adults? As regards the Saving Gateway and its role as an insurance device, it is not obvious that the social safety net is not a better-targeted form of assistance to people losing their job or suffering other adverse contingencies. Furthermore, there could be a risk that means-testing induces individuals to reduce their labour supply so as to qualify for higher support. A similar risk could be that they would save less than they would otherwise have done, although careful targeting so as to help only those who typically save extremely little might avoid this perverse outcome.

These uncertainties highlight the importance of the specific features of the Child Trust Fund and the Saving Gateway as they will emerge from the ongoing consultation process.

Notes

1. The idea of a capital grant goes back at least to the late 18th century, when Tom Paine (1797) argued that all individuals should receive £15 upon turning 21 out of a National Fund financed through an inheritance tax.
2. These amounts are more modest than those envisaged by academics pushing for a scheme of this sort, such as Nissan and Le Grand (2000), who proposed a £10 000 grant to be paid to all young people at the age of 18.

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Annex V

Interaction of some benefit expenditures

Social security benefits and related tax credits amounted to 11.2 per cent of GDP in FY2000/01. They interact in several ways.

Housing benefit (HB) is payable to low income earners who pay rent on their property (mortgage interest payments may only be met through income support). People on income support (IS) or Job seeker allowance (JSA) are automatically entitled to the full level of HB, which covers the contractual rate of rent per week, less some charges. It is capped at a "local reference rent", which is determined by the local authority. For those not on IS or JSA, the amount of HB payable depends upon personal income, according to the following formulae:

HB = (*rent* – 0.65 * *excess income*) – *non-dependent deductions*

and

excess income = (*earning* – *disregard*) + *other income* – *needs*

where earnings are after income tax and social security contributions, disregard is a small amount depending on family status, other income includes income from all other transfer programmes, non-dependent deductions represent notional contributions to the rent of other adults in the household, and needs is a function of household demographics. Hence, any tax credit that increases earnings will trigger a reduction in HB.

Council tax benefit (CTB) is a rebate scheme operated by local authorities to provide help with council tax payments. The formula is:

CTB = *council tax* – (0.20 * *excess income*)

Both the working families tax credit (WFTC), which is also means-tested, and the child benefit, which is universal, are treated as part of the claimant's net income in the above calculations. The WFTC, paid to families where either the applicant or the partner work for at least 16 hours a week and are responsible for one or more children under 16 (or 19 in full time education), is computed as follows:

Maximum WFTC = *adult basic credit* (*one per family*) + *child credits* + 0.70 * *eligible childcare cost*

and some 30 hour credit for people who work more than 30 hours a week. If net income is less than the WFTC threshold of £92.90, maximum WFTC is payable; if it is more, 55 p of every excess £1 is deducted.

The close relationship between the various benefits may create or exacerbate poverty traps by increasing effective marginal tax rates. Thus, it is estimated that the combined effect of the WFTC with other benefits lowers incentives to earn more than the minimum wage: leaving aside tax and social security contributions, a WFTC/HB recipient could face a combined taper of about 75 per cent (Bingley and Walker, 2001). The high taper, together with the generosity of the entitlement, implies that income substitution effects reinforce each other and curtail labour supply.

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Annex VI

The medium-run framework for fiscal policy: some theoretical considerations

This Annex presents a formal though somewhat simplified exposition of the UK's fiscal framework.

The framework rests on two fiscal rules. The first one is the so-called *golden rule*, stipulating that the Government will borrow only to fund net fixed investment and not to fund current spending. The second one is the *sustainable investment rule*, requiring that the ratio of public sector net debt to GDP be held stable at a prudent level. These rules are presumed to hold on average over the economic cycle, *i.e.* do not need to be met necessarily on a year to year basis, and serve two main purposes. First, they aim to avoid investment outlays being crowded out by increases in current expenditure or declines in tax revenues, might these occur, while ensuring sound public finances over the longer haul. Second, they aim to promote intergenerational equity, by ensuring that government borrowing is at least matched by net investment in the public capital stock. It will be demonstrated that the two rules together provide a unique solution for the level of net investment (gross investment less depreciation) by the public sector *only* if they are both binding.

The following budget identity for the public sector is assumed to hold:

(1) $dB = iB + G^C + G^I - \theta K^G - T$

where d is the first-differential operand, B = net public debt, i = the rate of interest on government debt, K^G = the public capital stock, T = tax revenue, θ = the rate of return on the public capital stock and G^C and G^I denote public consumption and public investment, respectively. If lower-case characters denote ratios to GDP, the above identity may also be written as:

(2) $db = (i - n)b + g^C + g^I - \theta k^G - t$

in which n = rate of growth of nominal GDP. Net investment as a share of GDP g^{In} is defined as

(3) $g^{In} = g^I - \delta k^G$

with δ denoting the depreciation rate of public sector capital. The golden rule implies that current revenues, consisting solely of tax revenue and the return on the public capital stock, cover at least current expenditure. Hence:

(4) $ib + g^C + \delta k^G \leq \theta k^G + t$

Combining the identities (2) and (3) with the golden rule (4) implies that the ratio of net investment over GDP will be constrained according to the following relationship:

(5) $g \geq nb + db$

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in which the right-hand side is in fact the overall budget deficit, as can be checked via equation (2). Furthermore, it follows from the sustainable investment rule that the ratio of net debt over GDP should stay at or below a prudent level b^*:

(6) $b \leq b^*$

From inequalities (5) and (6) four cases can be derived: [a] neither rule is binding; [b] the sustainable investment rule is binding but the golden rule is not binding; [c] the reverse case; and [d] both rules are binding. These four cases are summarised in the table below:

Sustainable investment rule	Golden rule	
	Not binding	Binding
Not binding	[a] $g > nb + db$	[b] $g = nb + db$
Binding	[c] $g < nb^*$; $db = 0$	[d] $g = nb^*$; $db = 0$

It is now immediately clear that if both rules are binding (case [d]), the ratio of net investment to GDP is exactly equal to the product of the growth rate of the economy and the ratio of net debt over GDP. With the official estimate of the prudent net debt ratio at around 40 per cent and the medium-run (nominal) growth rate of the economy assumed to be in the range of 4¼ to 5¼ per cent,[1] this would imply that both net investment and the overall deficit can fall in the range of 1.7 to 2.1 per cent of GDP. This roughly corresponds to the official medium-term target for investment.[2] However, if one or both rules are not binding, as is currently the case, investment is undetermined by the fiscal rules *ex ante*. Specifically, investment may exceed the overall deficit (cases [a] and [c]), or be just equal to it but without the deficit being constrained by the debt ratio (case [b]).

Therefore, the fiscal rules will determine the investment level *ex ante* only in the exceptional circumstance where both rules are binding, *i.e.* in a fiscal crisis where debt threatens to exceed its "prudent level" and a current deficit is about to open up. The fiscal rules then offer a floor for net investment in the range of 1.7 to 2.1 per cent of GDP, as noted. Under current circumstances, in theory, the investment level can be chosen, and hence raised. However, in practice public investment is subject to a number of additional constraints: *i*) it needs to be consistent with the predicaments of cost-effectiveness; *ii*) the pace of increase in investment is limited by the available capacity for planning, design and production; and *iii*) the associated demand stimulus must be consistent with the aim for macroeconomic stability and not excessively burden monetary policy.

Notes

1. This assumes that nominal GDP growth will be in the range of 4.25 to 5.25 per cent on average per annum over the cycle (with inflation and real GDP growth assumed to be in the ranges of 2 to 2.5 per cent and 2.25 to 2.75 per cent respectively).
2. The official deficit target for the medium term is 1 per cent of GDP, suggesting that the government in fact will not allow the golden rule to become binding.

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Annex VII

Reforming the National Health System: recent progress

The National Health Service (NHS) is a defining national symbol for many UK citizens. It was established on the basis of universal provision, largely free of charge, by the Labour government in 1948, but has been supported by all governments since then. Most of the funding of the NHS is provided by general taxation, while the rest is paid from national insurance contributions paid by employers and employees and from fees for some services – *e.g.* eye tests or dental treatment – and drug prescription charges. As in other countries, healthcare costs are rising faster than average prices, health care demand rises fast and the population is about to age, although the latter is less acute than in other OECD countries. The principle that most NHS care is free at the point of use has limited the amount of private provision of health care. While the private sector is gaining importance, partly in response to longer waiting times and partly because of the increasing popularity of employer-funded private health insurance, it remains relatively small.

The NHS of the late 1990s has been characterised by the Government as a 1940s system suffering from chronic underfunding, lacking national standards, old-fashioned demarcations between staff and barriers between services, insufficient incentives and levers to improve performance, over-centralisation and disempowered patients (Department of Health, 2000). The NHS has been subject to a string of reforms, which mostly failed to solve these key problems. Ambitious further reforms were outlined in a 1997 white book on health care (Department of Health, 1997), which are being implemented. The previous S*urvey* (OECD, 2000*b*) offered a number of recommendations pertaining to the overall architecture as well as to some more specific aspects. Generally, some prioritisation seemed in order, and there was a need to ensure that primary care providers faced the right incentives and that a sufficient degree of contestability prevailed for secondary care. More specifically, the S*urvey* recommended that: *i*) the recruitment of specialists be accelerated, at least in shortage areas, and the financial incentives for the current ones be enhanced, within suitably controlled increases in hospital budgets; *ii*) the restructuring and modernisation of the NHS physical infrastructure continue, but without (re-)creating local oversupply; *iii*) the financial control of trusts be strengthened and asset registers be used more actively for management decisions; and *iv*) performance indicators be developed and refined further, and published with the proper caveats. A number of these problems are being addressed:

– The resources provided for in Budget 2000 are to enable the NHS to add 7 000 beds as well as 500 new one-stop primary care centres by 2004 and over 100 hospitals by 2010 (with heavy recourse to the Private Finance Initiative, see Annex III of the previous S*urvey*); to equip hospitals and general practitioner (GP) surgeries with modern information technology systems; to offer cleaner wards and better hospital food; and to hire – partly from abroad – an extra 7 500 consultants, 2 000 GPs and 20 000 nurses by 2004.

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- A concordat with private healthcare providers is envisaged so that the NHS can make better use of facilities in private hospitals, but with NHS care remaining free at the point of delivery, whoever provides it.
- Specific targets have been spelled out, such as guaranteeing patients a GP appointment within 48 hours by 2004 and reducing the maximum waiting time for routine outpatient appointments to three months and for inpatient ones to six months by 2005.
- Additional resources were committed in Budget 2001, *inter alia* to pay for new equipment such as scanners, to replace 1930s-style wards for the elderly, and to set up a new fund for staff recruitment and retention. A £5 000 golden hello is to be granted to all new GPs joining the NHS; a payment of up to £5 000 to every GP who returns to NHS work; a £10 000 golden goodbye to GPs who wait until they are 65 to retire; and an extra £5 000 for newly-qualified GPs who go to work in deprived areas.
- An assessment of the technological, demographic and medical trends affecting the NHS over the next two decades has been commissioned, which will feed into the 2002 Spending Review.

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Annex VIII

Calendar of main economic events

2000

April

The auction process of licenses for third-generation mobile-phone licenses is concluded, raising £22.5 billion in total.

The married couples allowance is repealed, to be replaced in April 2001 by a Children's Tax Credit.

May

The London Stock Exchange and Deutsche Börse announce that they plan to merge to create a new company, iX (eventually, the project failed to materialise).

The Financial Services Authority (FSA) publishes the outcome of a consultation on its future approach to prudential regulation, which endorses the organisation of its prudential requirements for firms on a risk-by-risk basis across the whole financial services sector, in lieu of the previous sector-by-sector approach.

The Office of Telecommunications (OFTEL) requires British Telecom (BT) to provide the necessary services to enable other operators to supply unmetered Internet access over BT's local network.

June

The hourly national minimum wage for those aged 18-21 increases from £3.00 to £3.20.

The Financial Services and Markets Act achieves Royal Assent.

July

Spending Review 2000 is published, setting spending priorities over the next three years (notably health, education, and transport).

A wide-ranging plan to reform the National Health Service (NHS) is published.

OFTEL issues a draft direction requiring BT Cellnet to stop cross subsidising its own mobile phone service providers so as to ensure that independent service providers can compete on a fair basis.

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September

The Prime Minister launches a new UK online campaign, announcing a raft of initiatives and major investment to get people, business and Government itself online.

October

The hourly national minimum wage for adults increases from £3.60 to £3.70.

The Secretary of State for Trade and Industry announces a merger policy reform, which would largely remove ministerial involvement from the control process.

The Government announces a concordat with the Independent Healthcare Association to set out the parameters for a partnership between the NHS and private and voluntary health care providers.

November

The Pre-Budget Report is released.

The FSA publishes proposals for reforming the information given to consumers about investment products and services (including mortgages).

2001

January

A report by OFSTED (Office for Standards in Education) and the Audit Commission finds an unacceptably wide variation in the performance of local education authorities.

February

The Prime Minister tells the House of Commons that an assessment of the five tests conditioning the adoption of the euro is to be carried out within two years after the general election.

The Bank of England repo rate is cut by 25 basis points to 5¾ per cent.

The outbreak of foot-and-mouth disease starts.

The Department of Health proposes a new approach to hospital consultant contracts.

OFTEL confirms that it will continue with controls on BT's residential call prices and on BT's wholesale network charges for operators interconnecting with BT's network.

March

The 2001/02 Budget is unveiled.

The Government announces that the hourly national minimum wage for adults is to be raised to £4.10 in October 2001, and to £4.20 in October 2002 if economic conditions permit.

The Government announces that the New Deal will be extended to include a new option focusing on information technology training.

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Parliament's Select Committee on Environment, Transport and Regional Affairs issues a report concluding that Railtrack, the rail network operator, has failed to properly maintain, renew and develop the national rail network.

A pharmaceutical company is fined over £3 million for abusing a dominant market position – the first financial penalty set by the OFT (Office of Fair Trading) under Competition Act 1998.

The OFT recommends that the professions be fully subject to competition law and that unjustified restrictions on competition be removed.

The FSA proposes to introduce more flexible prudential standards for insurance companies based on some of the concepts of the new Basel Capital Accord for banks.

April

The Bank of England repo rate is cut by 25 basis points.

The threshold for the 10 per cent starting rate of the personal income tax is raised by £300 on top of indexation for inflation.

The Working Families Tax Credit is significantly increased over and above indexation for inflation.

The climate change levy comes into effect.

The basic state pension is raised by 7.4 per cent.

The Government sets out its plans for promoting patient safety.

The Financial Services Authority publishes a Code of Market Conduct applying to trading on any of the United Kingdom's eight commodity and financial exchanges.

The Office of Gas and Electricity Markets publishes a list of 396 generators accredited as qualifying renewable sources for exemption under the climate change levy.

May

The Bank of England repo rate is cut by 25 basis points.

June

Railtrack warns that train services will take at least three years to improve on the level of performance before the October 2001 Hatfield crash.

The general elections take place on 7 June. The Labour Party wins 413 of the 659 seats, the Conservative Party 166 and the Liberal Democratic Party 52. The Government is reshuffled.

The Government announces that the national minimum wage for those aged 18-21 is to rise to £3.50 in October 2001, and to £3.60 in October 2002 if economic conditions permit.

The Government announces a series of measures to boost productivity.

The Department for Education and Skills announces a big expansion in the beacon school programme.

The Government announces a review of the system of cash support for businesses with a view to improve targeting, make it less confusing and provide better value for money.

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The Chancellor of the Exchequer reaffirms the government's "prepare and decide" strategy on euro area membership first spelled out in October 1997, indicating that the Treasury will assess the five "tests" by mid-2003.

The Prime Minister announces a comprehensive review of energy policy, set within the context of meeting the challenge of global warming, with a view to ensuring secure, diverse and reliable energy supplies at a competitive price, including possibly by resorting to nuclear energy.

The Chancellor of the Exchequer launches the Spending Review for the three years to 2005-06 by announcing the first seven areas for cross-departmental reviews.

August

The Bank of England reduces the repo rate by 25 basis points to 5 per cent.

The Treasury announces proposals to make banking payment services more competitive, with the Office of Fair Trading becoming the regulator.

The Government launches an independent inquiry into the failing of Equitable Life.

September

The Bank of England reduces the repo rate by 25 basis points to 4.75 per cent in the aftermath of the terrorist attacks in the United States.

In an arrangement with the London insurance market, the Treasury provides an indemnity for third party war and terrorism liabilities to ensure that British airlines will continue to fly as planned in the wake of events in the United States.

October

The Bank of England reduces the repo rate by 25 basis points to 4.5 per cent.

Railtrack files for bankruptcy after the Government refused to make additional funding available over and above that provided through the Office of the Regulator. Railtrack is henceforth operating in a special form of Administration provided for under the Railways Act 1993, pending transfer of the assets to a new entity.

November

The Bank of England cuts the repo rate by 50 basis points to 4 per cent.

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